



Enforcement Rules of KOSDAQ Market Business Regulation

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CHAPTER I. GENERAL PROVISIONS

§1. Purpose

The purpose of these Enforcement Rules shall be to stipulate the matters referred by and the matters necessary for the enforcement of the KOSDAQ Market Business Regulation (hereinafter referred to as "the Regulation"). (Amended on February 3, 2009; July 31, 2009)

§2. Definitions

(1) The meanings of terms used in these Enforcement Rules shall be as follows. (Amended on February 3, 2009; April 12, 2023)

1. "Issue using the first trading price as the base price" refers to an issue whose the first trading price determined in accordance with [§22] of the Regulation becomes the base price of the day within the range of quotations within the minimum quotation price and the maximum quotation price noted in [Annex 1], and it is classified as follows:

(a) Relisted issue and issue with listing change;

(b) Issue whose paid-in capital is reduced (refers to the case where paid-in capital amount is reduced according to reverse stock split or stock retirement of stocks held by minority shareholders); and

(c) Issue that resumes trading after trading has been halted or suspended for thirty (30) trading days or more.

2. "Relisted issue" refers to stocks that are relisted in accordance with [§39] of the KOSDAQ Market Listing Regulation (hereinafter referred to as the "Listing Regulation"), as stocks issued by corporations noted in [§2(1)1c] of the Listing Regulation. (Amended on February 27, 2025)

3. "Issue with listing change" refers to stocks that are issued by corporations (excluding corporations surviving after carving out noted in Article 530-12 of the Commercial Act) surviving after split-off or merger after split-off of a corporation listed on the KOSDAQ market and then relisted in accordance with [§44] of the KOSDAQ Market Listing Regulations. (Amended on March 16, 2026)

4. "Issue listed after merger" refers to stocks that are issued by a corporation incorporated according to the merger between a special purpose acquisition company

noted in [§2(1)36] of the KOSDAQ Market Listing Regulation and a corporation that has not listed its stocks on the stock market, and that are listed in accordance with [§76] of the KOSDAQ Market Listing Regulation.

(2) “Prices set by the Enforcement Rules” in [§2(6)3] of the Regulation shall refer to each of the following prices: (Amended on February 3, 2009)

1. In the case of immediately executable offer limit quotation

The price of the highest bid quotation (excluding bid quotation submitted at mid-price quotation; the same hereinafter in this Article) at the time of receipt of the relevant offer quotation. Provided that, in cases where there are no bid quotations, it shall be the price (the lower price change limit shall be the minimum) which is one (1) quotation price unit lower than the lowest offer price (excluding offer quotation submitted at mid-price quotation; the same hereinafter in this Article), and in cases where there is no bid or offer quotation, it shall be the most recent market price (when such price does not match the quotation price unit, it shall be the closest price to such price among prices that are lower than such price and match the quotation price unit). (Amended on February 27, 2025)

2. In the case of immediately executable bid limit quotation

The price of the lowest offer quotation at the time of receipt of the relevant bid quotation. Provided that, in cases where there are no offer quotations, it shall be the price which is one (1) quotation price unit higher than the highest bid price (the upper price change limit shall be the maximum), and in cases where there is no bid or offer, it shall be the most recent market price (when such price does not match the quotation price unit, it shall be the closest price to such price among prices that are higher than such price and match the quotation price unit). (Amended on February 27, 2025)

(3) “Prices set by the Enforcement Rules” in [§2(6)4] of the Regulation shall refer to each of the following prices: (Amended on February 3, 2009)

1. In the case of best limit offer quotation: The lowest offer price. Provided that, in cases where there are no offer quotations, it shall be the most recent market price (when such price does not match the quotation price unit, it shall be the closest price to such price among prices that are higher than such price and match the quotation price unit). (Amended on February 27, 2025)

2. In the case of best limit bid quotation: The highest bid price. Provided that, in cases where there are no bid quotations, it shall be the most recent market price (when such price does not match the quotation price unit, it shall be the closest price to such price among prices that are lower than such price and match the quotation price unit). (Amended on February 27, 2025)

(4) “Price set by the Enforcement Rules” in [§2(6)7] of the Regulation shall refer to the simple arithmetic average of the best offer quotation price and the best bid quotation price at the time of continuous auction (anything less than KRW 1 is rounded down; hereinafter referred to as “mid-price”). [February 27, 2025]]

(5) “Conditions stipulated in the Enforcement Rules” in [§2(6)8] of the Regulation shall refer to conditions in each of the followings: [February 27, 2025]]

1. In the case of stop-limit sell quotations

The previous transaction price (if there is no previous transaction price, the base price is used; the same hereinafter in this Article) shall be equal to or lower than the stop price noted in [§2(6)8] of the Regulations (hereinafter referred to as the “stop price”).

2. In the case of stop-limit buy quotations

The previous transaction price shall be equal to or higher than the stop price.

[February 27, 2025]

(6) “An index specified in the Enforcement Rules” in [§2(8)1] of the Regulation shall refer to an index falling under any of the following subparagraphs (hereinafter referred to as the “index for index arbitrage trading”): (Amended on October 14, 2005; August 16, 2007; February 3, 2009; October 27, 2015; February 28, 2017; December 7, 2018; July 11, 2019)

1. KOSDAQ 150 (referring to a market capitalization weighted stock price index based on 150 issues listed on the KOSDAQ Market, which is calculated by the Exchange using the base index of 1,000 on the base date of January 4, 2010; the same hereinafter);

2. KRX 300 (referring to a market capitalization weighted stock price index based on 300 issues, from among the stocks listed on the KOSPI Market and the stocks listed on the KOSDAQ Market, which is calculated by the Exchange using the base index of 1,000 on the base date of January 4, 2010; the same hereinafter); and

3. KOSDAQ Global (referring to a market capitalization-weighted stock price index calculated by the Exchange, based on the shares of corporations designated by the Exchange in accordance with [§3] of the Guidelines on the Designation of Global Companies in the KOSDAQ Market, setting the index of 1,000 on the base date of November 18, 2022). [January 15, 2026]

(7) “A form set by the Enforcement Rules” in [§2(8)1] of the Regulation shall refer to any of the followings, and it shall include the case where a trade is carried out after splitting an order into two (2) or more orders. (Amended on June 28, 2005; February 3, 2009; March 21,

2018; December 7, 2018)

1. A trade in which the sale (including the final settlement of a buying contract) of futures contracts on an index for index arbitrage trading (including synthetic stock price index futures) is carried out at the same time or immediately after/before the purchase of a basket of stocks linked to the same index (hereinafter referred to as “a basket of stocks” in this Article); and

2. A trade in which the purchase (including the final settlement of a selling contract) of futures contracts on the same index (including synthetic stock price index futures) is carried out at the same time or immediately after/before the sale of a basket of stocks.

3. [Deleted on March 21, 2018]

4. [Deleted on March 21, 2018]

5. [Deleted on March 21, 2018]

6. [Deleted on March 21, 2018]

(8) "Sale of synthetic stock price index futures" in paragraph (7) shall refer to buying of index put options while selling index call options in trading of options on an index for index arbitrage trading of the domestic index options market noted in [§3(2)1] of the Derivatives Market Business Regulation (hereinafter referred to as the “trading of index options”), and the "purchase of synthetic stock price index futures" shall refer to selling of index put options while buying index call options in the trading of index options. [March 21, 2018] (Amended on December 7, 2018; February 27, 2025)

(9) “Identical person who is within the scope set by the Enforcement Rules” in [§2(8)2] of the Regulation shall be classified based on the trust assets of each fund and the proprietary assets. (Amended on February 3, 2009; December 7, 2018)

(10) “Specific number set forth in the Enforcement Rules” in [§2(8)2] of the Regulation shall refer to ten (10) or more (calculated including issues traded at multilateral trading companies). In such cases, the number of stocks shall be calculated separately for each of buy and sell. (Amended on February 3, 2009; December 7, 2018; January 24, 2019; February 27, 2025)

(11) Notwithstanding paragraphs (9) and (10), none of the quotations noted in each the following subparagraphs shall be deemed to be the quotations for non-arbitrage trading. [January 24, 2019] (Amended on February 27, 2025)

1. Liquidity providing quotations under [§7(1)17];

2. Quotations placed through the market making accounts under [§7(1)14c]; and

3. Quotations under items (j) through (m) of [§7(1)18]. Provided that, in the case of item

(m), this shall not apply to the case where it is otherwise specified in the market-making agreement. (Amended on January 15, 2026)

(12) “Condition specified in the Enforcement Rules” in [§2(16)] of the Regulation shall refer to the case where the price of different classes of stock of the day exceeds one point five (1.5) times of the price of common stock concerned. [January 14, 2010] (Amended on April 20, 2012; September 21, 2020)

CHAPTER II. OPERATION OF THE MARKET

§3. [Deleted on March 3, 2011]

§4. Change of trading hours

(1) “Case where it deems it necessary for market management” in [§4(4)] of the Regulation shall refer to any of the following cases: (Amended on June 28, 2005; June 1, 2007; February 3, 2009; December 29, 2009)

1. In the case of failures of the KOSDAQ Market systems and member systems, and other computer system that are known to perform similar functions thereof (hereinafter referred to as “the computer system failure”);

2. In the case of the first trading day of the year; and

3. In addition, other cases where the Exchange deems it necessary to change the trading hours.

(2) In the case of falling under paragraph (1)1, the trading hours in regular session shall, in principle, be extended for the duration of computer system failure, but the market closing time may be extended to the time that Exchange deems it necessary. Provided that, if the system is not fully recovered by the market closing time, it shall be deemed that the trading was closed at the time the system failure occurred. (Amended on June 28, 2005; February 3, 2009)

(3) Failure of the member systems mentioned in paragraph (1)1 shall refer to the case when the sum of the trades executed by the members who are experiencing a computer system failure (referring to the cases where members are unable to transmit quotations to the Market through the member computer system, but excluding computer system failures that are limited to specific offices of the members or specific regions; the same hereinafter) amounts to or exceed 75% of the total trading volume(based on the total volume of trades

executed during twelve (12) months prior to the last day of the month preceding the month to which the day the system failed belongs and the cases of admission of new members as well as the membership withdrawal shall take into account.; the same hereinafter). Provided that, in the case of total volume of trades of the members with the occurrence of system error being under 75% of the total volume of trades, pursuant to paragraph (1), the Exchange may regard it as an error of member system when the Exchange deems necessary considering market circumstances of each following subparagraphs: [June 28, 2005] (Amended on February 3, 2009; December 18, 2013)

1. Case of total volume of trades of the member with the occurrence of system error per member being over 75% of the total volume of trades in the KOSPI Market; and
2. Case of normal market operation being troubled due to the occurrence of member system error.

§4-2. Designation of Trading Types

“Case stipulated in the Enforcement Rules” in [§7-2(4)] of the Regulation shall refer to the case of trading noted in any of the following subparagraphs:

1. As a stock trade conducted pursuant to [§10(4)1 & 2] of the Regulation, when both the bid and offer quotations are submitted by a single member (in the case of member who received multiple member IDs pursuant to [§7(3)], it shall be limited to the quotations placed under the same member ID; the same hereinafter in [§24(2)]) and the relevant member has submitted the application for cash settlement to the Exchange in accordance with the [Annex: Form No. 14] three (3) days before placing the quotations, the trade the Exchange deems it necessary; and
2. The trade according to buy-in by the Exchange pursuant to [§22] of the Securities Market Clearing and Settlement Business Regulation. (Amended on February 27, 2025)

(Wholly amended on December 30, 2011)

§4-3. Guideline for Connection to Member System, etc.

(1) “Matters stipulated in the Enforcement Rules” in [§7-3(1)] of the Regulation shall refer to the matters noted in each of the following subparagraphs:

1. Network connection method between the members and the Exchange;
2. Method of applying for and allotting the communication lines and the sessions between the member and the Exchange;

3. Prerequisites of security device noted in [§39(2)] of the Regulation;
4. Criteria for allocation and operation of member session; and
5. In addition, the matters that the Exchange deems necessary for the efficient and reliable system operation.

(2) “Communication line” noted in paragraph (1) shall refer to the physical line used to transmit and receive the quotations and trade details etc. between the members and the Exchange, and “session” shall refer to the logical circuit that electronically transmit and receive the quotations and trade details etc. (Amended on February 28, 2014)

[December 28, 2011]

CHAPTER III. TRADING

§5. [Deleted on December 4, 2007]

§6. Quotation Receiving Hours

(1) “Quotation receiving hours stipulated in the Enforcement Rules” in [§9(1)] of the Regulation shall refer to each of the following hours: (Amended on February 3, 2009; March 19, 2009; December 29, 2009; July 29, 2010; December 30, 2010; June 24, 2014; May 19, 2015; June 21, 2016; April 3, 2019)

1. In the case of regular session, the hours noted in each of following items for each trading type:

(a) In the case of trading types other than those under items (b) and (c): From thirty (30) minutes before the opening of trading hours of the regular session (hereinafter referred to as “market opening”) to the closing of trading hours (hereinafter referred to as “market closing”).

(b) Regular session block trade & regular session basket trade: From the market opening to the market closing.

(c) Regular session auction-based block trade: From the market opening to thirty (30) minutes before the market closing

2. In the case of off-hours sessions, each of the following hours:

(a) For the pre-hours sessions, the hours classified for each trading type as follows:

(i) Off-hours closing price trade: From 07:30 a.m. to 08:30 a.m.; and

(ii) Off-hours block trade, off-hours basket trade and off-hours auction-based block trade: From 08:00 a.m. to 09:00 a.m.

(b) For the after-hours sessions, the hours classified for each trading type as follows:

(i) Off-hours closing price trade: From the closing time of the regular session to 04:00 p.m.;

(ii) Off-hours call auction trade: From 04:00 a.m. to 06:00 p.m. (In the case of determining closing prices, it shall be until the time when the price concerned is determined.); and

(iii) Off-hours block trade and off-hours basket trade: From 03:40 p.m. to 06:00 p.m.

(2) The Exchange may change the quotation receiving hours mentioned in paragraph (1) in the case falling under any of the following subparagraphs: (Amended on February 3, 2009)

1. Where the trading hours has been changed pursuant to [§4(1)]; and

2. In addition to subparagraph 1, the cases that are deemed necessary for the market management.

§7. Details of Quotation

(1) In cases where a member submits quotations pursuant to [§9(1)] of the Regulation, each of the following details shall be included: (Amended on July 29, 2010; January 26, 2011; September 24, 2012; March 25, 2013; December 18, 2013; June 24, 2014; December 1, 2014; May 19, 2015; March 25, 2016; February 28, 2017; December 7, 2018; July 11, 2019; December 21, 2022; August 8, 2023; November 23, 2023)

1. ID number of the member;

2. ID number of branch office;

3. Account number;

4. Following classification of trading sessions:

(a) When submitting quotations for trades other than those noted in subparagraphs 4(b) through 4(d), the following classifications: (Amended on July 29, 2010; June 24, 2014)

- (i) Pre-hours session
- (ii) Regular session
- (iii) After-hours session (off-hours closing price trade)
- (iv) After-hours session (off-hours periodic call trade)

(b) When submitting quotations for block trade (referring to the regular session block trade noted in [§19-2] of the Regulation and off-hours block trade noted in [§21] of the Regulation: the same hereinafter), the following classifications:

- (i) Pre-hours session;
- (ii) Regular session; and
- (iii) After-hours session

(c) In the case of quotations submitted for auction-based block trade (referring to the regular session auction-based block trade noted in [§19-3] of the Regulation and off-hours auction-based block trade noted in [§21-2] of the Regulation: the same hereinafter), following classification:

- (i) Pre-hours session; and
- (ii) Regular session.

(d) In the case of quotations submitted for basket trading (referring to the regular session basket trade noted in [§19-4] of the Regulation and off-hours basket trade noted in [§21-4] of the Regulation: the same hereinafter), following classifications:

- (i) Pre-hours session;
- (ii) Regular session; and
- (iii) After-hours session

5. Following indication of treatment method of quotations:

- (a) New quotation;
- (b) Correction of quotation already submitted; and
- (c) Cancellation of quotation already submitted.

6. Order number (in the case of correcting or canceling a quotation submitted, the order number of the original quotation shall be included)

7. Issue code

8. Classification of buy or sell

9. In the case of offer quotation, classification of each of the followings:

- (a) Offer quotation falling under any of [§9-2(1)] of the Regulation;
- (b) Covered short sale pursuant to [§9-2(2)] of the Regulation; and
- (c) Any other offer quotation.

10. Classification of own account transaction or customer account transaction;

10-2. One of the following items based on the method of generating quotation:

- (a) High-speed algorithmic trading quotation;
- (b) Algorithmic trading quotation excluding the quotation in item (a); or
- (c) Quotations excluding quotations in items (a) and (b).

10-3. In the case of submitting quotations through high-speed algorithmic trading account, matters in each of the following items:

- (a) A number that combines the trader registration number and risk management number pursuant to [§52-4(5)] (hereinafter referred to as the “high-speed algorithmic trading number”). Provided that, in the case of quotations falling under items 10-2(b) and (c), it is limited to cases where the self-match prevention condition pursuant to [§18-3] and the mass order cancellation pursuant to [§18-4].
- (b) Conditions in the case of quotations affixed with the self-match prevention condition pursuant to [§18-3]; and
- (c) Quotation group number in Annex Form 1-3 to apply the mass order cancellation pursuant to [§18-4].

11. In the case of quotation type pursuant to [§2(6)] of the Regulation, classification for each of such type;

12. Price. Provided that, this provision shall not apply to the case of market quotation, immediately executable quotation, best limit quotation, auction-based block trade quotation, mid-price quotation, and quotation participating in the off-hours closing price trade or the case of submitting a quotation to cancel the quotation already submitted. (Amended on February 27, 2025)

12-2. In the case of stop-limit quotation: Stop price; [February 27, 2025]]

13. Quantity;

14. In the case of accounts, the classification pursuant to each of the following items:

(a) In the case of submitting quotations pursuant to each subparagraph of [§7-2(1)] (including the case where a quotation is submitted through the account of an investor who has entered into an agreement for discretionary investment or through account opened per individual trust asset under members' names), each of such classifications; and

(b) In the case of placing quotations through an account that is exclusively for the trading of stocks for risk hedging prescribed in Article 115(2) of the Enforcement Decree of the Restriction of Special Taxation Act, the classification of the account concerned.

(c) In the case of placing quotations through an account which is exclusively for the trading of stocks that are subject to the market making agreement (hereinafter referred to as the "market making account") pursuant to Article 115(5) of the Enforcement Decree of the Restriction of Special Taxation Act, the classification of the account concerned.

(d) In the case of placing a quotation through foreigner's consolidated accounts under Article 6-7(7) of the Regulations on Financial Investment Business, the classification of such accounts.

(e) In the case of placing a quotation through the account exclusively for arbitrage trading that is prescribed in Article 115(12) of the Enforcement Decree of the Restriction of Special Taxation Act, the classification of such accounts.

15. In cases where the purpose of trade is to buyback the treasury stocks, each of the following classification:

(a) Trading of treasury stocks to deliver when the stock option is exercised;

(b) Trading subsequent to entering into the money trust contract for the treasury stocks; and

(c) Trading of treasury stocks for the purpose other than those noted in items (a) and (b).

16. In the case of trading the treasury stocks, classification of each of following trading method:

- (a) Treasury stock trading subject to [§21(3)] of the Regulation;
- (b) Treasury stock trading subject to both [§10(4) and §21(2)] of the Regulation; and
- (c) Treasury stock trading other than those noted in items (a) and (b).

17. In the case of the liquidity providing quotations stipulated in [§12-2(1)] of the Regulation (hereinafter referred to as the “liquidity providing quotations”, such classification;

17-2. In the case of the market making quotations stipulated in [to [§12-7(1)] of the Regulation (hereinafter referred to as the “market making quotations”), such classification;

18. In the case of quotation for arbitrage or hedge trading, classification for each of the following items:

- (a) Index arbitrage trading;
- (b) Sector index arbitrage trading;
- (c) Stock arbitrage trading;
- (d) Non-arbitrage trading while it is arbitrage trading of collective investment securities of ETF collective investment vehicle;
- (e) Arbitrage trading while it is not non-arbitrage trading of collective investment securities of ETF collective investment vehicle;
- (f) Non-arbitrage trading while it is arbitrage trading of ETN;
- (g) Arbitrage trading while it is not non-arbitrage trading of ETN
- (h) Arbitrage trading of DRs
- (i) Arbitrage trading of foreign stock DRs;
- (j) Hedge trading under [§9-3(2)5] of the Regulation and long hedge trading for the same purpose;
- (k) Hedge trading under [§9-3(2)6] of the Regulation and long hedge trading for the same purpose;
- (l) Hedge trading under [§9-3(2)6-2] of the Regulation and long hedge trading for the

same purpose;

(m) Hedge trading under [§9-3(2)7] of the Regulation and long hedge trading for the same purpose; and

(n) Other hedge trading.

19. In the case of quotations for trading a basket of stocks, classification for each of following items:

(a) Non-arbitrage trading;

(b) Non-arbitrage trading for the creation of collective investment securities of ETF collective investment vehicle; and

(c) Trade conducted for the creation of collective investment securities of ETF collective investment vehicle while it is not non-arbitrage trading.

19-2. [Deleted on July 11, 2019]

20. In cases where the customer is a foreigner, whether or not there is an identification means (hereinafter referred to as the “foreigner identification means”) under subparagraph 14 of Article 6-1 of the Regulations on Financial Investment Business and whether or not they reside in Korea. Provided that, in the case of foreigners treated as citizens (hereinafter referred to as the “foreigner treated as a citizen”) under subparagraph 2 of Article 6-1 of the Regulations on Financial Investment Business, they shall be classified as not having foreigner identification means;

21. Investor code. Provided that, in the case of trading linked to the contract for difference (hereinafter referred to as the “CFD”) prescribed in Article 5-59-2 of the Financial Investment Business Regulations, it is based on the investor who concluded the CFD;

22. In the case of investor who has to deposit the upfront good faith deposit pursuant to [§42] of the Regulation;

23. In the case of quotation affixed with any of the conditions noted in subparagraph 17 of [§40], such condition;

24. Data (the private IP & MAC address when using the internal communication network of the member or KOSCOM) that is necessary to identify the order input device specified in [§41(4)2]

24-2. Specification of whether or not a trading market (referring to the securities market

and multilateral trading company) is designated; [February 27, 2025]

24-3. In cases where a customer or a member receives the short selling registration number (hereinafter referred to as “short selling registration number”) noted in Article 6-37, Paragraph 2 of the Financial Investment Business Regulation, such short selling registration number (limited to the case of stocks and stocks of investment company for business development collective investment vehicle); [March 26, 2025] (Amended on March 16, 2026)

25. Country code;

26. In the case of margin trading prescribed in the Regulations on Financial Investment Business, the classification for such trading;

26-2 In the case of trading linked to the CFD, such classification; and

27. In the case of receiving an entrustment from other investment traders or brokers, ID number that identifies the investment trader or broker that has entrusted the relevant.

(2) Notwithstanding paragraph (1), when submitting quotations for block trade, basket trade or auction-based block trade, the member shall make use of any method noted in the following subparagraphs: (Amended on July 29, 2010; January 26, 2011; June 24, 2014; March 25, 2016; July 11, 2019; March 12, 2021; December 21, 2022)

1. Case of submitting quotations for block trade or basket trade:

(a) The details specified in each subparagraph of paragraph (1). Provided that, the details noted in subparagraphs 10-3(b) and (c), 11, 12-2, 17, 17-2, and 23 shall be excluded; and (Amended on February 27, 2025)

(b) Negotiation number, detailed negotiation number and names of negotiating parties. Provided that, in the case where the block trade in the regular trading session or the block trade in the after-hour trading session is made by the method in accordance with [§22-2(1)2], member number and account number of the other party and the time when the negotiation was completed shall be inputted.

2. Case of submitting quotations for auction-based block trade, the details specified in each subparagraph of paragraph (1). Provided that, the details noted in subparagraphs 15 through 17-2 shall be excluded.

(3) The Exchange may issue multiple ID numbers noted in paragraphs (1)1, (2)1(a) and (2)2 to a member when it is deemed inevitable to do so due to a delay in the modification of member computer system following the merger between members. (Amended on July 29, 2010)

(4) When placing a quotation upon receiving an entrustment from other investment brokers, the member shall input the account number and investor classification code on the basis of the customer who entrusted the order to the relevant investment broker.

(5) In cases where the branch office number or account number has been changed, the member shall immediately notify the Exchange of the details of such change.

(6) In cases where the Exchange notifies other quotation information to input in addition to paragraphs (1), (2) and (4), the member shall comply with such request.

(Wholly amended on March 19, 2009)

§7-2. Collective Quoting of Order Details Relating to Several Accounts

(1) “Cases stipulated in the Enforcement Rules” in the proviso to [§9(1)] of the Regulation shall refer to any one of the following subparagraphs: (Amended on February 3, 2009; September 24, 2012; September 10, 2019; November 23, 2023)

1. Where a member engaged in the discretionary investment business submits quotations using an account in its own name upon receiving entrustment of orders in order to manage individual discretionary investment property efficiently pursuant to Article 99(2)4 of the Enforcement Decree of the Financial Investment Services and Capital Markets Act (hereinafter referred to as “the Enforcement Decree of the Act”). In such cases, the person responsible for the discretionary investment business shall be clearly noticeable;

1-2. Where a member engaged in the trust business submits the quotations using an account in its own name upon receiving entrustment of orders in order to manage individual trust property (excluding trust property intending to acquire or dispose the treasury stocks) efficiently pursuant to Article 109(1)5 of the Enforcement Decree of the Act. In such cases, the person responsible for the trust business shall be clearly noticeable;

2. Case of quoting the order details using an account in the name of a foreign financial investment company or a representative investor or an account in the name of an investment broker to manage the investment of foreign investor groups (excluding foreigners treated as citizens) prescribed in the Regulations on the Financial Investment Business of the FSC; and

3. Additionally, cases where, according to the relevant statutes, it is deemed necessary to quote order details using such accounts as those in investment broker’s name.

(2) In the case of quoting order details relating to multiple accounts pursuant to paragraph (1), the member shall use a separate account. (Amended on February 3, 2009)

[August 16, 2007]

§7-3. Quotation Types

The type of quotation that the members may submit according to the type of securities pursuant to [§9(3)] of the Regulation shall be as follows:

1. Case of stocks, DRs of foreign stocks and collective investment securities of ETF collective investment vehicle;

Limit quotation, market quotation, limit-to-market-on-close quotation, best limit quotation, immediately executable quotation, quotation for auction-based block trade, mid-price quotation, or stop-limit quotation (Amended on February 27, 2025)

2. Case of subscription warrant, subscription right certificates, and collective investment securities of business development collective investment vehicle;

Limit quotation (Amended on March 16, 2026)

[December 29, 2009]

§8. Restrictions on Placement of Quotations

(1) In cases where market quotations and limit-to-market-on-close quotations fall under any of the following subparagraphs, a member shall not input such quotations: (Amended on May 16, 2005; June 28, 2005; July 7, 2006; February 3, 2009; March 19, 2009; March 30, 2009; July 29, 2010; December 30, 2010; January 26, 2011; October 26, 2012; June 24, 2014; October 17, 2014; February 28, 2017; March 21, 2018; December 7, 2018; July 11, 2019; November 26, 2020; April 12, 2023)

1. Case of the quotations for covered short sales under the price restriction pursuant to [§9-3] of the Regulation, liquidity providing quotations stipulated in [§12-2(1)], market making quotations, quotations for trading of treasury stocks, quotations for trading of treasury stocks under trust contract, quotations for block trade, quotations for auction-based block trade, quotations for basket trade, quotations for off-hours closing price trade or quotations for off-hours periodic call trade;

2. Case of placing quotations (temporary overheated issue is limited to limit-to-market-on-close quotation) to trade temporary overheated issue noted in [§23-2(1)] of the

Regulation (hereinafter referred to as “temporary overheated issue”) or issues that are permitted to be traded for a certain period of time in accordance with [§23] of the Listing Regulations (hereinafter referred to as “issue scheduled to be delisted”); (Amended on February 27, 2025)

2-2. Case of the quotation receiving hours stipulated in [§20(1)2] (applicable only to the limit-to-market-on-close quotations);

2-3. Cases of the quotations placed for the transaction of issues whose the method of trade execution is been changed pursuant to [§23(1)4] of the Regulation (hereinafter referred to as “issue subject to call auction due to abnormally soaring price”), the low liquidity issues subject to call auction noted in [§28-7(1)] and the different classes of stock issues subject to call auction noted in [§28-8(1)] (limited to the limit-to-market-on-close quotations); (Amended on February 27, 2025)

3. Case of placing quotations for the determination of the first price on the first trading day of the issue using the first trading price as the base price and the initially listed issue (limited to stocks and DRs of foreign stocks falling under [§17(1)2a]; the same hereinafter in this Article);

3-2. [Deleted on July 11, 2019]

3-3. [Deleted on July 11, 2019]

4. Quotations affixed with the self-match prevention condition under [§18-3];

5. Quotation affixed with conditions under subparagraph 17 of [§40] (limited to the limit-to-market-on-close quotations); and [February 27, 2025]

6. Other cases that the Exchange deems it necessary for market management.

(2) In cases where immediately executable limit quotations, best limit quotations and any other quotations (excluding quotations for auction-based block trade) that are affixed with the conditions specified in subparagraph 17 of [§40] fall under the cases noted in any of following subparagraphs, the member shall not input such quotations: (Amended on February 3, 2009; March 19, 2009; July 29, 2010; December 21, 2022)

1. Cases falling under paragraphs (1)1 through (1)4 (excluding subparagraph 2-2). Provided that the relevant quotations can be submitted in the following cases;

(a) In the case of market making quotations noted in paragraph (1)1: Best limit quotation; and

(b) In the case of paragraph (1)4: Immediately executable limit quotations, best limit

quotations, and quotations with condition under [§40], subparagraph 17, item (a)].

2. Case of quotation receiving hours for call auction pursuant to [§20];

3. Best limit quotation affixed with conditions under subparagraph 17 of [§40]; and [February 27, 2025]]

4. Additionally, the cases where the Exchange deems it necessary for the market management.

(3) In cases where the quotation for auction-based block trade or limit quotation falls under any of the following subparagraphs, the member shall not input such quotation: [July 29, 2010] (Amended on June 24, 2014)

1. Case of quotations for auction-based block trade

(a) Case where the quotation is submitted for the regular session trade (excluding the quotations for regular session auction-based block trade), off-hours closing price trade, off-hours periodic call trade and off-hours block trade, off-hours basket trade; and

(b) Case where the quotation is submitted for auction-based block trading of issue scheduled to be delisted or issue designated as administrative issue.

2. Case of limit quotations

In cases where the quotation is submitted for auction-based block trade.

(4) In cases where the quotation quantity exceeds the quantities specified in each of the following subparagraphs, no member shall input such quotations. Provided that, this provision shall not apply to the quotations for block trading, basket trading, auction-based block trading, or the quotations placed pursuant to [§22] of the Securities Market Clearing and Settlement Business Regulation. (Amended on February 3, 2009; March 19, 2009; July 29, 2010; June 24, 2014; September 12, 2018; February 27, 2025)

1. Where the amount calculated by the Exchange for every trading day by multiplying the base price determined in [Annex 1-2] (referred to as the “base price for the date of quotation placement” hereinafter in this Paragraph) by the number of listed securities (referred to as the “market capitalization for the date of quotation placement” hereinafter in this Paragraph) is KRX 10 trillion or more; the quantity calculated by dividing KRW 100 billion by the base price for the date of quotation placement (the quantity less than the trading unit of the regular session shall be rounded off to the trading unit; the same hereinafter in this Paragraph);

2. Where the market capitalization for the date of quotation placement is KRX 100 billion or more but less than KRW 10 trillion; the quantity equivalent to 1/100 of the number of listed securities;
 3. Where the market capitalization for the date of quotation placement is KRX 20 billion or more but less than KRW 100 billion; the quantity calculated by dividing KRW 1 billion by the base price for the date of quotation placement; and
 4. Where the market capitalization for the date of quotation placement is less than KRW 20 billion; the quantity equivalent to 5/100 of the number of listed securities.
- (5) In cases where the quantity of entrustment that a member has received from a customer falls under the quantity specified in paragraph (3), the quotations shall be placed by splitting the order quantity. (Amended on February 3, 2009)
- (6) Pursuant to [§9(4)] of the Regulation, the member shall not submit the quotation falling under any of the following subparagraphs: (Amended on December 29, 2009; December 30, 2010)
1. In the case of determining the opening price of the first trading day for the issue using the first trading price as the base price, the quotations at the prices that are higher than the highest quotation price or lower than the lowest quotation price, which are specified in [Annex 1];
 2. In the case of issue falling under any of the following items, the quotation for covered short selling under the price limit pursuant to [§9-3] of the Regulation:
 - (a) Case of determining the opening price of the first trading day for the issue using the first trading price as the base price and the initially listed issue; and
 - (b) Case of determining the first price of initially listed issue, which are a subscription warrant and subscription right certificate.
 3. In the case of falling under each of the following subparagraphs, quotations with self-match prevention condition pursuant to [§18-3]:
 - (a) Issues scheduled to be delisted;
 - (b) Temporary overheated issues;
 - (c) Issues subject to call auction due to abnormally soaring prices; and
 - (d) Low liquidity issues subject to call auction noted in [§28-7(1)] and different

classes of stock issues subject to call auction noted in [§28-8(1)]. (Amended on February 27, 2025)

4. In the case of limit-to-market-on-close quotations, a quotation falling under any of the following items: [February 27, 2025]

(a) A bid quotation that specifies the price as the upper limit price; and [February 27, 2025]

(b) An offer quotation that specifies the price as the lower limit price. [February 27, 2025]]

5. In the case of stop-limit quotations, a quotation falling under any of the following items: [February 27, 2025]

(a) A quotation whose stop price exceeds the upper limit or falls below the lower limit; and [February 27, 2025]

(b) A quotation whose stop price does not match the quotation price unit specified in [§18(2)]. [February 27, 2025]

(7) [Deleted on February 27, 2025]

(8) Members shall not enter a mid-price quotation in any of the following cases: [February 27, 2025]]

1. In cases of falling under subparagraphs 1 through 4 of paragraph (1); [February 27, 2025]]

2. In cases of falling under paragraph 2(2); [February 27, 2025]]

3. In cases where an investment alert issue noted in [§5-3(1)] of the Market Oversight Regulation (hereinafter referred to as “investment alert issue”) or an investment risk issue noted in [§5-3(2)] of the Market Oversight Regulations (hereinafter referred to as “investment risk issue”) receives an action specified in [§30(4)1]; [February 27, 2025]

4. In cases where there is no quantity of quotations other than the mid-price quotation in either the buy or sell side or both sides during the continuous auction period; and [February 27, 2025]

5. Additionally, the cases where the Exchange deems it necessary for the market management. [February 27, 2025]

(9) Members shall not enter a stop-limit quotation in any of the following cases: [February

27, 2025]

1. In cases of falling under subparagraphs 1, 2, and 2-3 through 5 of paragraph (1); [February 27, 2025]

2. In cases where an investment alert issue or an investment risk issue takes an action specified in [§30(4)1]; and [February 27, 2025]

3. In cases where the Exchange deems it necessary for the market management. [February 27, 2025]

(10) In cases where, in relation to trading of stocks of foreign companies and DRs of foreign stocks, the Exchange restricts the submission of quotation because of the need for investor protection and market management, the members shall not submit the quotations falling under such restriction. In such cases, the Exchange shall make public the details of restriction on quotation submission without delay. [April 15, 2010]

(11) In the cases of paragraphs (1)3, (2)1 [referring to the cases falling under paragraphs (1)3], (6)1 and 2(a), the member shall not enter the relevant quotations until the first price is determined and notified. (Amended on May 7, 2021)

§8-2. Conversion of Limit-to-market-on-close Quotations

(1) Limit-to-market-on-close quotations shall be deemed, in accordance with [§9(4)] of the Regulation, to have been converted into the market quotations according to each of the following priority: (Amended on February 3, 2009; December 29, 2009)

1. Offer quotation at lower price shall have priority over offer quotations at higher prices and a bid quotation at higher price shall have priority over the bid quotations at lower prices; and

2. In the case of the quotations at the same price, priority shall be assigned according to the time when the quotations were received, thus the quotation received earlier having priority over the ones received later.

(2) In cases where a limit-to-market-on-close quotation is converted into a market quotation pursuant to paragraph (1), the converted market quotation shall be deemed to have been received at the beginning of the quotation receiving hours pursuant to the front part of main clause of [§20(1)2]. Provided that, it shall be deemed to have been received at the relevant time of resumption in the case of the latter part of the main clause of [§20(1)2], and it shall be deemed to have been received 10 minutes before the market closing in the case of the proviso of [§20(1)4]. (Amended on February 3, 2009; May 19, 2015)

(3) Pursuant to [§9(4)] of the Regulation, the priority for the validity of stop-limit quotations as limit quotations shall be as follows: [February 27, 2025]

1. In stop-limit sell quotations, a stop-limit quotation with a higher stop price takes precedence over a stop-limit quotation with a lower stop price; [February 27, 2025]

2. In stop-limit buy quotations, a stop-limit quotation with a lower stop price takes precedence over a stop-limit quotation with a higher stop price; and [February 27, 2025]

3. In cases where stop prices are the same, the stop-limit quotation received first takes precedence over the stop-limit quotation received later, based on the time the stop-limit quotation was received. [February 27, 2025]

(4) In applying [§17(2)2] of the Regulations to the stop-limit quotation whose validity as a limit quotation is triggered pursuant to paragraph (3), the time at which the stop-limit quotation triggers into a limit quotation shall be deemed as the time of receiving the stop-limit quotation. [February 27, 2025]

[June 28, 2005]

§8-3. Matters for Inspection of Quotation Suitability, etc.

“Matters specified in the Enforcement Rules” noted in [§9(7)] of the Regulation shall refer to matter noted in each of the following subparagraphs: (Amended on March 8, 2012; March 25, 2013; May 19, 2015; July 11, 2019; December 21, 2022)

1. Specifics on account noted in each of the following items:

(a) Account number under [§7(1)3]; and

(b) Classification of account under [§7(1)4]

2. Specifics about issue noted in each of the following items:

(a) Issue code under [§7(1)7]; and

(b) If the issue is suspended from trading pursuant to [§25] of the Regulation, the Listing Regulation or the KOSDAQ Market Disclosure Regulation (hereinafter referred to as “the Disclosure Regulation”). (Amended on February 27, 2025)

3. With regard to quantity of quotation, the matters in each of the following items:

(a) Trading quantity unit under [§18(1)];

- (b) Quotation quantity limit under [§8(4)];
- (c) Quantity limit of liquidity providing quotation under [§12-6(4)]; and
- (d) Quantity limit of quotation submitted to trade treasury stock under [§10(1)2].

4. Matter about quotation price in each of the following items:

- (a) Quotation price unit under [§18(2)];
- (b) Price limit under [§14] and [§23] of the Regulation;
- (c) Quotation price limit under [§8(6)1] and [§8(7)]; (March 16, 2026)
- (d) Price limit of liquidity providing quotations under [§12-5(1)] of the Regulation; and
- (e) Price limit of quotations submitted for treasury stock trade under [§10(1) & (5)] of the Regulation.

4-2. Matter about stop price in each of the following items: [February 27, 2025]

- (a) Restrictions on stop price pursuant to [§8(6)5(a)]; and [February 27, 2025]
- (b) Restrictions on the stop price quotation price unit pursuant to [§8(6)5(b)] [February 27, 2025]

5. Quotation type noted in each of the following items: (Amended on February 27, 2025)

- (a) Restriction on quotation type based on each subparagraph of [§7-3]; and (Amended on February 27, 2025)
- (b) Input restriction per quotation type based on {[§8(1) through (3)], excluding [8(2)2]}, [§8-8], and [§8-9]; (Amended on March 16, 2026)

6. Matters necessary for market management noted in each of following items:

- (a) [Deleted on July 11, 2019]
- (b) If the good faith deposit has been collected pursuant to [§42(5), (8) & (9)] of the Regulation; and

(c) Restriction that the Exchange imposes per customer and per issue for the management of market.

7. Matters in each of the following items when inputting the high-speed algorithmic trading number pursuant to [§7(1)10-3(a)]:

(a) Whether quotations are submitted through the high-speed algorithmic trading account reported pursuant to [§50-3(3)] of the Regulation; and

(b) Whether the high-speed algorithmic trading number linked to account in item (a) matches the high-speed algorithmic trading number inputted pursuant to [§7(1)10-3(a)]:

8. Other matters recognized as necessary by the member.

[December 28, 2011]

§8-4. Methods of Verifying Covered Short Sale

(1) “Manner stipulated in the Enforcement Rules” in [§9-2(3)3] of the Regulation shall refer to the preservation of the documents, tape recordings or electronic storage devices that validate the date and details of orders, which the member received from a customer, for a period of longer than three (3) years that is determined by the member.

(2) [Deleted on February 28, 2017]

[March 12, 2009]

§8-5. Restrictions of Quotations for Covered Short Sale

(1) “Covered short sale quotations placed to conduct the trades stipulated in the Enforcement Rules” in the proviso to the part other than subparagraphs of [§9-2(6)] of the Regulation shall refer to any of the followings: (Amended on March 12, 2009; July 29, 2010; December 18, 2013; February 28, 2017; March 12, 2021)

1. Quotations falling under any of subparagraphs 5 through 7 of [§9-3(2)] of the Regulation;

2. Liquidity providing quotations pursuant to [§12-2(1)] of the Regulation and market making quotations stipulated in [§12-7(1)] of the Regulation; or

3. Other quotations placed for the trades that the Exchange deems necessary.

(2) “Issues falling under the criteria set by the Enforcement Rules” in [§9-2(6)1] of the Regulation shall refer to the issues that fall under any of the following requirements (limited to the stock certificates and the DRs of foreign stocks, and hereinafter referred to as the “overheated short sale issues”). [September 24, 2012] (Amended on December 18, 2013; February 28, 2017; September 19, 2017; July 11, 2019; August 26, 2022; April 12, 2023; February 27, 2025)

1. Issues of which the stock price decline rate, the proportion of short sale trading value to the market, and the increase rate of short sale trading value meet all of the following Items:

(a) The closing price of the day shall be not less than 90/100 and not more than 95/100 of the base price of the day;

(b) The proportion of the trading value of covered short sale to the trading value of the day shall be at least three (3) times (if the value is greater than 0.2, it shall be set at 0.2) the proportion of the trading value of covered short sale (numbers shall be rounded off to the third decimal point) of the quarter immediately preceding the quarter in which the relevant trading day falls to the total trading value of the constituent stocks of KOSDAQ 150 index of the same period; and

(c) The trading value of covered short sale of the day shall be at least five (5) times the average of the trading value of covered short sale for the latest forty (40) trading days.

2. Issues of which the stock price decline rate and the increase rate of short sale trading value meet all of the following Items:

(a) The closing price of the day shall be 90/100 or lower of the base price of the day; and

(b) The requirement in Subparagraph 1(c) shall be satisfied.

3. Issues of which the proportion and the increase rate of the trading value of covered short sale meet all of the following Items:

(a) The average proportion of the trading value of covered short sale for the latest forty (40) trading days shall be 5/100 or more; and

(b) The requirement in Subparagraph 1(c) shall be satisfied.

4. Issues of which the stock price decline rate and the proportion and the increase rate of the trading value of covered short sale meet all of the following Items:

- (a) The closing price of the day shall be 97/100 or lower of the base price of the day;
- (b) The proportion of trading value of covered short sale to trading value of the day is 30% or more; and (Amended on February 27, 2025)
- (c) The trading value of covered short sale of the day shall be at least two (2) times the average of the trading value of covered short sale for the latest forty (40) trading days.

(3) When calculating the trading value of covered short sale, trading value of the day, and trading value of the constituent stocks of KOSDAQ 150 index in paragraph (2), the trading value at multilateral trading companies (limited to each trading value during trading hours when covered short sale is possible; the same hereinafter in the paragraph) shall be included in the calculation. Provided that, in cases where the Exchange cannot receive information on the trading value of a multilateral trading company due to system failure, etc., it may calculate it excluding the information. [February 27, 2025]

(4) Notwithstanding paragraphs (2) and (3), stocks falling under each of following subparagraphs shall be excluded from the overheated short sale issues: [February 27, 2025]

1. Issues using the first trading price as the base price; [February 27, 2025]

2. Newly listed issues noted in [§17(1)2(a)]; [February 27, 2025]

3. Issues for which trading is not established during the regular market hours of the day and the trading hours of multilateral trading companies corresponding to the regular market hours of the Exchange. In this case, if the trading information of the multilateral trading company cannot be received due to system failure, etc., the stock is considered as one for which no transaction has been concluded at the multilateral trading company; [February 27, 2025]

4. Issues scheduled to be delisted; [February 27, 2025]

5. Issues for which the number of trading days with executed trades during each trading hour, where covered short sale is possible during trading hours of the Exchange and multilateral trading companies, is less than twenty (20) days within the latest forty (40) trading days. In this case, if transaction information from the multilateral trading company cannot be received due to computer failure, etc., the stock is considered as one for which no transaction has been concluded at the multilateral trading company;

[February 27, 2025]

(5) The Exchange may restrict the quotations for covered short sale issues specified in paragraph (2) for one (1) day of the next trading day. Provided that, if the closing price of the relevant issue on the day when the restriction of covered short sale quotation is terminated is 95/100 or less of the base price of the day, the restriction of covered short sale quotation shall be extended until the next trading day and applied repeatedly at the end of every extension period. [August 26, 2022]

(6) Notwithstanding paragraphs (2) through (5), in cases where it is deemed necessary for the management of the market by the Exchange due to reasons including sudden changes in market conditions, the Exchange may set differently the criteria of overheated short sale issues under paragraph (2) and restriction period for quotation of overheated short sale issues under paragraph (5). [March 9, 2020] (Amended on August 26, 2022; February 27, 2025)

(7) The Exchange shall officially announce the overheated short sale issues specified in paragraph (2) immediately and notify it to the members. [February 28, 2017] (Amended on September 19, 2017; March 9, 2020; August 26, 2022)

(8) The notification to the members noted in paragraph (7) shall refer to the methods falling under any of the following subparagraphs: [November 26, 2020] (Amended on August 26, 2022; February 27, 2025)

1. Posting on the electronic media operated by the Exchange;
2. Posting on the securities information terminals;
3. Publishing in the Daily Stock Market Review; and
4. Notification in a written form

§8-6. Index Arbitrage Trades, etc.

(1) “Trade stipulated in the Enforcement Rules” in [§9-3(2)1] of the Regulation shall refer to the trade falling under any of the following subparagraphs:

1. Index arbitrage trades under [§2(8)1] of the Regulation;
2. A trade in which the sale (including the final settlement of a buying contract) of futures contracts on a sector index (referring to an index calculated by industrial group or category with listed stocks on the KOSDAQ market. The same shall applies hereinafter) is carried out at the same time or immediately before/after the purchase of

a basket of stocks linked to the sector index; and

3. A trade in which the purchase (including the final settlement of a selling contract) of futures contracts on a sector index is carried out at the same time or immediately before/after the sale of a basket of stocks linked to the sector index.

(2) The provision of [§9(3)] shall apply *mutatis mutandis* to the case of selling or buying pursuant to subparagraphs 2 and 3 of paragraph (1).

[March 12, 2021]

§9. Stock Arbitrage Trading

(1) “Trade that is stipulated in the Enforcement Rules” in [§9-3(2)1-2] of the Regulation shall refer to the trade falling under any of the following subparagraphs: (Amended on December 27, 2018)

1. A trade where the sale (including the final settlement of a buying contract) of single stock futures (including the synthetic stock futures) based on the relevant underlying stocks is carried out at the same time or immediately after/before the purchase of underlying stocks; and

2. A trade where the purchase (including the final settlement of a selling contract) of single stock futures (including the synthetic stock futures) based on the relevant underlying stocks is carried out at the same time or immediately after/before the sale of underlying stocks.

(2) “Sale of synthetic stock futures” mentioned in paragraph (1) shall refer to the purchase of a put option while selling a call option, and the “purchase of synthetic stock futures” shall refer to the sale of a put option while buying a call option. (Amended on December 27, 2018)

(3) The purchase and sale pursuant to paragraph (1) shall include the purchase and sale carried out through a single order or those carried out by splitting the order into several smaller orders.

[February 3, 2009]

§9-2. [Deleted on March 12, 2021]

§9-3. Arbitrage Trading of DRs

(1) “Trade stipulated in the Enforcement Rule” in [§9-3(2)3] of the Regulation shall refer to the trade that falls under any of the followings: (Amended on February 3, 2009)

1. Trades where the sale of the underlying stocks of DRs is carried out at the same time or immediately after or before the purchase of the relevant DRs (including DRs of foreign stocks: the same hereinafter in this Article); and

2. Trades where the purchase of the underlying stocks of DRs is carried out at the same time or immediately after or before the sale of the relevant DRs.

(2) The provisions of [§9(3)] shall apply *mutatis mutandis* to the purchase or sale pursuant to paragraph (1). (Amended on February 3, 2009)

[June 28, 2005]

§9-4. Restrictions on Quotation Prices for Covered Short Sale

(1) Pursuant to [§9-3(3)] of the Regulation, the proviso to [§9-3(1)] of the Regulation shall not apply to the case that falls under any of the following subparagraphs: (Amended on December 30, 2010)

1. Case where the opening price is not yet determined; and

2. When the opening price is the same as the most recent market price [in the case of determining the opening price of the first trading day for the issue using the first trading price as the base price, the appraisal price specified in Annex 1 (the lowest quotation price if no appraisal price is available), and in any other cases, it shall be the closing price of the most recent trading day, but if the base price is available, the base price shall be used], the case where no price that is different from the relevant price has been determined.

(2) The provisions of [§9-3] of the Regulation shall not apply to the regular session block trade, regular session auction-based block trade, regular session basket trade and off-hours session (excluding the off-hours periodic call trade). (Amended on July 29, 2010; June 24, 2014)

[February 3, 2009]

§9-5. Follow-up Management of Short Sale Quotations

(1) The member shall preserve the relevant records and relevant materials pursuant to [§9-4(1)] of the Regulation for the period determined by the member, which is longer than three (3) years. (Amended on September 24, 2012)

(2) In verifying the balance of securities held and quantity of securities to be settled pursuant to [§9-4(1)1] of the Regulation, if the customer has electronically registered the relevant securities through trust companies or depository institutions, members shall obtain a notification on the status of settlement shortage from the trust companies or the depository institutions in accordance with [Annex: Form No. 1], by 12:00 noon on the settlement date. In such cases, if a trust company or a depository institution notifies the customer of the information on settlement shortage via the information network of the Korea Securities Depository (hereinafter referred to as “KSD”) (limited to the case where reasons for the settlement failure are stated according to the classifications in [Annex: Form No. 1]), it shall be deemed that such notification has been made in accordance with [Annex: Form No. 1]. (Amended on September 24, 2012; December 18, 2013; September 10, 2019)

(3) “The latest six (6) months” in the part other than each subparagraph of [§9-4(4)] of the Regulation shall be calculated by counting from the day when the Exchange verified the fact that the customer sold the securities not in possession or securities that cannot be settled by the settlement day. (Amended on September 24, 2012; March 16, 2026)

(4) When the entire selling securities are collected as the entrustment guarantee money during the 120-day period from the trading day following the settlement date pursuant to [§42(5)2], each item under [§9-4(4)] of the Regulation shall not apply. [December 18, 2013] (Amended on December 27, 2018; March 16, 2026)

[March 12, 2009]

§10. Methods of Submitting Quotations for Trading of Treasury Stocks of Listed Corporations, etc.

(1) The quotations under [§10] of the Regulation shall be made according to each of the following methods: (Amended on October 14, 2005; September 8, 2006; February 3, 2009; December 30, 2010; April 20, 2012; April 26, 2013; April 12, 2023)

1. The quotations shall be placed at the price that is consistent with [§10] of the Regulation. In such cases, for the issues whose closing price of the previous day does not match up with the quotation price unit and the issues that have gone ex-dividends, ex-rights, and stock split or reverse stock split, and the initially listed issues falling under [§17(1)2a] on the day of placing such quotation, the base price of the day shall be deemed to be the closing prices of the previous day, and in the case of determining the first price of the first trading day of an issue using the first trading price as the base price, the appraisal price noted in [Annex 1] (if no appraisal price is available, it shall

be the lowest quotation price) shall be deemed to be the closing price of the previous day. (Amended on February 27, 2025)

2. In the case of placing quotations pursuant to [§10(1)] of the Regulation, the quotation quantity shall be within the larger quantity among the quantities specified in each of the following items (the quantity below the trading unit shall be rounded down to the trading quantity unit; the same hereinafter in this Subparagraph). Provided that, in cases where such quantity exceeds 1/100 of the total number of shares issued, it should be the quantity within 1/100 thereof:

(a) Quantities equivalent to 10/100 of the number of stocks intended to acquire (dispose), which the listed company reported to the Financial Services Commission for the purpose of acquiring (disposing) its treasury stocks; and

(b) Quantities equivalent to 25/100 of average daily trading volume for one (1) month retroactive from the day before the date when the listed company filed the report on acquiring (or disposing) its treasury stocks with the FSC.

3. In applying [§10(1)2] of the Regulation, if the higher price or lower price of the same subparagraph does not match the quotation price unit, the upper limit and lower limit of the same subparagraph shall be calculated according to the following items: [February 27, 2025]

(a) In the case of higher limit:

Among the price that is lower than the last price and matches the quotation price unit, the price that is five (5) quotation price unit higher than the closest price to such price. [February 27, 2025]

(b) In the case of lower limit:

Among the price that is higher than the last price and matches the quotation price unit, the price that is five (5) quotation price unit lower than the closest price to such price. [February 27, 2025]

(2) No member shall be allowed to cancel the quotation after placing a quotation pursuant to paragraph (1). (Amended on October 14, 2005; February 3, 2009)

(3) “The manner stipulated in the Enforcement Rules within the period stipulated therein” in [§10(3)] of the Regulation shall refer to “the submission of the application for purchase of treasury stocks of Listed Company [Annex: Form No. 1-2] during the period from the market closing time of the previous trading day to 18:00 hours” (Amended on December 4, 2007; February 3, 2009; March 12, 2009)

(4) The application under paragraph (3) shall be submitted in a form of electronic document. Provided that, in cases where due to the computer system failure, the application cannot be submitted in a form of electronic document or the details to be submitted cannot be confirmed, it may be submitted via facsimile, etc. [December 23, 2005] (Amended on December 23, 2005; February 3, 2009)

(5) In the case of the issues that have no record of trade execution in the regular session, the most recent execution price noted in [§10(1)2] of the Regulation shall be deemed the base price of the day, and when the expected best quotation price is announced pursuant to [§52(1)1], the best bid quotation and the best offer quotation in the same subparagraph shall be construed as the expected best bid quotation and the expected best offer quotation, respectively. [September 8, 2006] (Amended on December 4, 2007; February 3, 2009; March 19, 2009; May 19, 2015; February 27, 2025)

(6) In the case of the off-hours block trade pursuant to [§10(4) & (5)] of the Regulation, paragraph (3) shall apply *mutatis mutandis* to the matters concerning the submission of the application for transaction of treasury stocks. [September 8, 2006] (Amended on December 4, 2007; February 3, 2009)

§11. Special Case of Bid Quotation Price for Acquisition of Treasury Stocks

(1) When intending to acquire the treasury stocks of a listed company by way of the method stipulated in [§11(1)] of the Regulation, the member shall place the quotations in accordance with manner noted in each of the following subparagraphs: (Amended on October 14, 2005; December 4, 2007; February 3, 2009; December 30, 2010)

1. The quotations shall be submitted at the price that is consistent with each subparagraph of [§10(1)] of the Regulation. In such cases, the latter part of [§10(1)1] shall apply *mutatis mutandis* thereto; and
2. Quotation quantity shall be equal to or less than the quantity decided by the board of directors.

(2) The provisions of [§10] shall apply *mutatis mutandis* to the trading matters other than those mentioned in paragraph (1). (Amended on December 4, 2007; February 3, 2009)

§12. Trading Methods of Treasury Stocks of Listed Corporations under Money Trust Contract

Provisions of [§10] and [§11] shall apply *mutatis mutandis* to the case where a member places a quotation for trading of treasury stocks under money trust contract using the method stipulated in [§12] of the Regulation. In such cases, the quotation quantity in

[§10(1)2] shall be equal to or less than 1/100 of the total number of shares issued; and the quotation quantity in [§11(1)2] shall be equal to or less than the maximum acquirable quantity within the total money trust asset. (Amended on February 3, 2009)

(Wholly amended on September 8, 2006)

§12-2. [Deleted on March 25, 2013]

§12-3. Notification of Employee Responsible for Liquidity Provision Task

In cases where the employee responsible for the task of liquidity provision has been designated pursuant to [§12-2(2)2] of the Regulation, the member shall notify the employee concerned to the Exchange without delay and shall do the same when the employee responsible for liquidity provision task has been changed. [December 4, 2007] (Amended on February 3, 2009)

§12-4. Agreement for Liquidity Provision

(1) “Details stipulated in the Enforcement Rules” in [§12-3(1)] of the Regulation shall refer to each of the following details: (Amended on February 3, 2009; December 30, 2010)

1. Names of the member and the listed corporation;
2. Matters about the quotation spread;
3. Matters about the quotation quantity;
4. Term of the agreement for liquidity provision;
5. Matters about the service charge, etc. relating to liquidity provision;
6. In the case of including a clause that stipulates when the daily trading volume resulting from the liquidity providing quotations placed by a member during the day reaches to a certain quantity, such member is exempted from the obligation to place the liquidity providing quotations, such quantity. In such cases, the quantity concerned shall satisfy any one of the following items:
 - (a) It shall exceed 50/100 of the average daily trading volume of the previous month of the quotation submission day (in cases where the number of days when the relevant issue was traded is less than 50/100 of the trading days of the Market, it shall be advanced in a sequential order); and

(b) It shall be at least 5/1000 of the total number of listed shares.

6-2. In the case of stating that the requirement for submission of bid liquidity providing quotation shall be exempted, in the event that the quantity of stocks acquired through the liquidity providing quotations exceeds 2/100 of total listed shares (shall be based on the settlement date), until the quantity of shares exceeding 2/100 is brought down to 15/1000 of listed shares, the relevant details;

7. The clause stating that, in conjunction with the liquidity provision, the securities related laws and the regulations relating to the business of the Exchange shall be observed.

(2) When entering into an agreement for liquidity provision pursuant to [§12-3(2)] of the Regulation, terminating the relevant agreement thereafter, or changing the material details of the agreement, such facts shall be notified to the Exchange in accordance with [Annex: Form No. 6-2] at least three (3) trading days before the relevant agreement, etc. become effective. Provided that, in the case of unavoidable circumstance where the agreement for liquidity provision has to be terminated without delay, the Exchange may be notified at the time when such circumstance has occurred. (Amended on February 3, 2009)

(3) In cases where more than two (2) members enter into an agreement for liquidity provision with a same listed company, the details specified in paragraphs (1)2 and (1)3 shall be the same. (Amended on February 3, 2009)

[December 4, 2007]

§12-5. Exemption from Obligation to Submit Liquidity Providing Quotations

The “Cases stipulated in the Enforcement Rules” stated in the proviso to [§12-4(1)] of the Regulation shall be the cases falling under any one of the following subparagraphs: (Amended on February 3, 2009; March 19, 2009; December 30, 2010; March 3, 2011; March 25, 2013; April 3, 2019)

1. Where the quotation spread ratio is within the limit specified in each subparagraph of [§12-4(1)] of the Regulation. In such cases, when only offer (or bid) quotation has been submitted, the lower (upper) limit price shall be deemed to be the best bid (offer) quotation;
2. Where there is no quotation price unit that could reduce the quotation spread ratio within the range stipulated in each subparagraph of [§12-4(1)] of the Regulation;
3. When the price is determined by the call auction pursuant to [§20(1)], cases of the

quotation receiving hours and within five (5) minutes immediately after the closing of such quotation receiving hours;

4. In the case of determining the opening price pursuant to [§27], case of from thirty (30) minutes before the opening of the regular session to the time that has not passed five (5) minutes after the market opening;

5. [Deleted on December 30, 2010]

6. [Deleted on December 30, 2010]

7. In the case of a stock for which the details specified in [§12-4(1)6] has been included in the agreement for liquidity provision, when the trading volume exceeds that quantity;

7-2. As a case of stating the details noted in [§12-4(1)6-2] in the agreement for liquidity provision, in the event that the quantity of shares acquired through the liquidity providing quotations falls under the condition noted in the agreement, the bid liquidity providing quotation; and

8. Additionally, in cases where the Exchange deems them necessary for the market management for the reasons such as the sudden change in the quotation or trading conditions.

[December 4, 2007]

§12-6. Methods of Submitting Liquidity Providing Quotations

(1) Pursuant to the proviso to [§12-5(1)] of the Regulation, in cases where it is difficult to apply the price in each subparagraph of [§12-5(1)] of the Regulation, the quotation price shall be determined in the manner noted in each of the following subparagraphs: (Amended on February 3, 2009; March 19, 2009; December 30, 2010; March 3, 2011; February 28, 2014)

1. During the quotation receiving hours for call auction, the price determined in accordance with the main sentence of each subparagraph of [§12-5(1)] of the Regulation by assuming that the expected best offer (bid) quotation price is the best offer (bid) quotation price;

2. Where there is no quotation on both sides, the most recent market price shall be regarded as price determined in accordance with each subparagraph (in the case of trading hours for call auction, only the main sentence of each subparagraph) of [§12-5(1)] of the Regulation by assuming that the most recent market price is the best offer (bid) price. In such cases, when the most recent market price is different from the base

price during the quotation receiving hours for the determination of opening price, the base price shall deem to be the most recent market price, and in the case of calculating the opening price of the first trading day of the issue using the first trading price as the base price, the appraisal price specified in Annex 1 (if no appraisal price is available, it shall be the lowest quotation price) shall deem to be the most recent price;

3. Where only offer (bid) quotations have been placed, the price of bid (offer) quotation shall be the best offer (bid) price of issue concerned, and the lower (upper) price limit, which is the price [within the limit of lower (upper) limit price], shall be the lowest (highest) price among the prices falling within the ratio pursuant to [§12-4(1)1] of the Regulation. Provided that, no quotation at the best bid (offer) price shall be submitted during the trading hours for continuous call auction if the liquidity providing quotation at best offer (bid) price (including the liquidity providing quotations submitted by other member) has already been submitted; and

4. When the expected matching price is not published during the quotation receiving hours for determination of opening price, the price determined in accordance with the main sentence of each subparagraph of [§12-5(1)] of the Regulation shall be used by assuming that the base price is the best offer (bid) quotation price.

5. [Deleted on February 28, 2014]

(2) [Deleted on March 25, 2013]

(3) In cases where it is necessary to place a liquidity providing quotation on the other side immediately after placing a liquidity providing quotation on one side pursuant to the main sentence of [§12-5(3)] of the Regulation, the quotation shall be placed at the price that satisfy the range specified in [§12-4(1)] of the Regulation. Provided that, if there is no quotation price unit that makes possible the submission within the range specified in [§12-4(1)] of the Regulation, in the case of offer quotation, the quotation may be submitted at price that is one (1) quotation price unit higher than the best bid price; and in the case of bid quotation, the quotation may be submitted at the price that is one (1) quotation price unit lower than the best offer quotation. (Amended on February 3, 2009; March 19, 2009)

(4) In cases where a member submits a liquidity providing quotation pursuant to [§12-5(2)] of the Regulation, the quantity shall be higher than the amount specified in each of the following subparagraphs. Provided that, when providing the offer (bid) liquidity providing quotations at best bid (offer) quotation price, such liquidity providing quotations shall be of the quantity that is larger than the quantity specified in subparagraph 1 but less than the sum of the quantities of best bid (offer) quotations (shall not apply to the liquidity providing quotation submitted first, if both the offer quotation and bid quotation are not available): (Amended on February 3, 2009; March 3, 2011)

1. In the case of stocks, the quantity that the listed corporation has reported to the

Exchange, which is larger than ten (10) times the trading quantity unit.

2. [Deleted on March 25, 2013]

(5) In cases where pursuant to [§12-5(2)] of the Regulation, a member corrects the prices of the liquidity providing quotations which are not yet executed, the quotation quantity shall be larger than the smaller of the quantities specified in each of the following subparagraphs. Provided that, in the case of correcting the price of offer (bid) liquidity quotation for stocks to the best bid (offer) quotation price, the quantity shall be higher than the smaller of the quantities noted in each of the following subparagraphs, but less than the sum of quantities of bid (offer) quotations: (Amended on February 3, 2009; March 3, 2011)

1. The quantity specified in each subparagraph of paragraph (4); and
2. The entire unexecuted quantity.

(6) When submitting liquidity providing quotations, a liquidity providing member shall not entrust it to another member. [May 7, 2021]

[December 4, 2007]

§12-7. Exceptions to Obligation to submit Quotations on Both Sides

Pursuant to the proviso to [§12-5(3)] of the Regulation, in the case of falling under any one of the following subparagraphs, the liquidity providing quotations on the relevant side may not be submitted: (Amended on February 3, 2009; March 19, 2009; December 30, 2010; March 25, 2013)

1. Where either side of bid or offer quotations includes the liquidity providing quotation submitted by the relevant member, the case of placing a quotation on that side;
2. [Deleted on March 25, 2013]
3. Where the quotations fall under [§12-8(1-2)] or [§12-8(1-3)]; and
4. In the event that a liquidity providing quotation must be placed on the other side immediately after placing a liquidity providing quotation on one side, the case where a quotation price unit that would reduce the quotation spread ratio below the ratio noted in [§12-4(1)] of the Regulation is not available.

[December 4, 2007]

§12-8. Restriction on Submission of Liquidity Providing Quotations

Pursuant to [§12-5(4)] of the Regulation, the members shall not submit a liquidity providing quotation in the cases falling under any one of the following subparagraphs: (Amended on February 3, 2009; December 30, 2010; March 25, 2013; September 10, 2019)

1. Case of falling under the conditions under Article 71(2) of the Financial Investment Services and Capital Markets Act (hereinafter referred to as “the Act”);

1-2. Where the quantity held by the member company is less than the quantity specified in [§12-6(4)], the offer quotation;

1-3. Where the quantity held by the member company exceeds the quantity obtained by subtracting the quantity noted in each subparagraph of [§12-6(4)] from the number of total listed shares, the bid quotation;

2. Where quotations have been already submitted on any one side of offer or bid, the case of placing a liquidity providing quotation on such side.

[December 4, 2007]

§12-9. Assessment of Liquidity Providing Members

(1) The Exchange may, pursuant to [§12-6(1)] of the Regulation, assess the members who provide a liquidity providing quotation for stocks against the matters specified in each of the following subparagraphs for each quarter and make public the outcome thereof; (Amended on February 3, 2009; December 27, 2018)

1. The extent of obligation to submit liquidity providing quotation has been fulfilled;

2. The extent of contribution made to the improvement of quotation spread ratio of concerned issue following the submission of liquidity providing quotations; and

3. The eagerness in submitting liquidity providing quotations.

4. Compliance with the securities-related laws and regulations and the business-related regulations of the Exchange with respect to the liquidity provision.

(2) In conducting an assessment pursuant to paragraph (1), in cases where a member did not submit the liquidity providing quotations for any of the issues, to which it is obliged to submit liquidity providing quotations, for at least thirty (30) minutes on the average a day, the lowest rating shall be given to such member regardless of the performance on other issues. (Amended on February 3, 2009)

(3) Members shall notify the details that the Exchange requires for the assessment, including the specifics about the non-submission of liquidity providing quotations during the relevant quarter as a result of falling under any of the following cases, by the end of the quarter concerned: (Amended on February 3, 2009; December 30, 2010)

1. Any one of the cases in subparagraphs 7 through 8 of [§12-5]; and

2. Any one of the cases in subparagraphs 1 through 1-3 of [§12-8].

(4) In addition to paragraphs (1) through (3), the Exchange shall separately determine the assessment criteria, announcement methods and other matters necessary for the assessment of liquidity providing members. (Amended on February 3, 2009)

[December 4, 2007]

§12-10. Methods of Submission of Market Making Quotations, etc.

(1) “Quotations for market making in accordance with the manner stipulated in the Enforcement Rules” in the main sentence of [§12-7(1)] of the Regulation shall refer to the quotations submitted through market making accounts in the manner of meeting all the requirements of each of the following subparagraphs:

1. The quotation shall be a limit quotation or a best limit quotation;

2. The quotation shall be submitted during the quotation receiving hours in a regular session; and

3. In the case of a bid quotation, the quotation shall be submitted at a price lower than the price of the best offer quotation at the time of submission and in the case of an offer quotation, the quotation shall be submitted at a price higher than the price of the best bid quotation at the time of submission. Provided that, this provision shall not apply to the case where there is no residual quantity of quotations on the other side of the quotation to be submitted.

(2) In cases where the quotations under paragraph (1) are submitted at a call auction under [§18] of the Regulation, “the best offer quotation” and “the best bid quotation” in paragraph (1)3 shall be construed as “the expected best offer quotation” and “the expected best bid quotation”, respectively, which are publicly announced pursuant to [§52(1)1]. (Amended on December 7, 2018)

(3) Notwithstanding paragraph (1)3, in cases where a market maker submits an offer quotation at a price lower than the price of the best bid quotation at the time of submission

or a bid quotation at a price higher than the price of the best offer quotation at the time of submission, only the quotation that falls under any of the followings shall be deemed as a market making quotation: (Amended on November 28, 2019)

1. The quotation that has not been executed after having been submitted; and

2. An offer quotation of a stock which is subject to the market making agreement and meets all the requirements of each of the following items. In such cases, the quantity of quotations of a market maker that are executed in excess of 70/100 of the market maker's balance held {referring to the daily balance held specified in [§12-17(4)]; the same hereinafter in [§12-16]} on the previous day shall be excluded.

- (a) Single stock futures or single stock options of which underlying assets include the relevant stock shall not be listed on the market; and

- (b) The executed price of the quotation shall decrease by more than 4/100 in comparison with the base price of the day.

- (4) In cases where a market maker intends to open, change or close a market making account, he/she shall report the matters related to the account to the Exchange by no later than two (2) trading days prior to the date of opening, changing or closing the account in accordance with [Annex: Form No. 6-3].

- (5) "Issues specified in the Enforcement Rules" in the proviso to the main sentence of [§12-7(1)] of the Regulation shall refer to the issues specified in [Annex 5].

- (6) When submitting liquidity providing quotations as prescribed in paragraphs (1) through (3), a market maker shall not entrust it to another member. [May 7, 2021]

[March 25, 2016]

§12-11. Qualification of Market Maker

- (1) "Other requirements stipulated in the Enforcement Rules" in [§12-7(2)3] of the Regulation shall refer to each of the followings: (Amended on March 12, 2021; July 13, 2022)

1. In the case of falling under any of followings, one (1) year or more shall have passed since then:

- (a) Where the qualification of market maker has been suspended pursuant to [§12-19]; and

(b) Where a member has a record of having been subject to a criminal sanction, or any measures equivalent to or heavier than penalty surcharge, business suspension, trading suspension or member fine (limited to a fine amounting to KRW 10 million or more), on account of a violation of the relevant laws on securities businesses and the business regulations of the Exchange in the course of performing the tasks of market making related to stocks (referring to market making tasks for stocks in the KOSPI and KOSDAQ markets and equity derivatives in the derivatives market).

2. The person in charge of market making tasks shall have no record of having been subject to a criminal sanction or any measures equivalent to or heavier than penalty surcharge or suspension within the latest one (1) year on account of violation of the relevant laws on securities businesses and the business regulations of the Exchange.

3. Two (2) or more persons in charge of market making tasks shall be appointed to perform market making tasks.

4. An internal control device shall be available to allow the quotations for covered short sales under [§9-2(2)] of the Regulation only if the relevant listed securities are borrowed.

(2) In cases where a market maker designates or changes the person in charge of market making tasks, he/she shall report such fact to the Exchange in advance in accordance with [Annex: Form No. 6-4].

[March 25, 2016]

§12-12. Selection of Market Making Target Issues

(1) Pursuant to [§12-7(3)] of the Regulation, the Exchange may assess the liquidity of eligible issues based on the criteria specified in [Annex 5], select and publish the low-liquidity issues subject to market-making agreements (hereinafter referred to as the “market making target issues”).

(2) The timing for selection and the effective period of market making target issues shall be determined in accordance with the manner stipulated in [Annex 5].

[March 25, 2016]

§12-13. Selection of Market Makers and Allocation of Market Making Target Issues

(1) Each member may apply to be selected as a market maker after the Exchange officially announces the list of market making target issues pursuant to [§12-7(3)] of the Regulation.

(2) The Exchange may determine the number of market makers by taking into account the number of members applied pursuant to paragraph (1) and the number of market making target issues.

(3) The Exchange shall assess eligibility of the applicants noted in paragraph (1) based on the criteria specified in [Annex 5-2] to select market makers and the selected market makers may choose market making target issues by the order of priority.

(4) The Exchange shall allocate market making target issues in accordance with the selections made by the market makers pursuant to paragraph (3). Provided that, in cases where it is deemed necessary, the Exchange may change the allocation method in consultation with market makers.

[March 25, 2016]

§12-14. Conclusion or Termination, etc. of Market Making Agreements

(1) A person who was selected by the Exchange as a market maker pursuant to [§12-13(3)] shall enter into a market making agreement in advance with the Exchange in accordance with [Annex: Form No. 6-5] in order to submit the market making quotations for the market making target issues that have been allocated pursuant to [§12-13(4)] (hereinafter referred to as the “market making issues”).

(2) The Exchange may terminate a market making agreement as determined in the market making agreement entered into with a market maker.

(3) [Deleted on September 19, 2017]

(4) In cases where the market making for a market making is terminated according to a market making agreement, the market maker cannot submit quotations of the relevant issue through the market making account after the date of termination. Provided that, where a market making agreement has newly been entered into for the same issue before the market making agreement expires, this provision shall not apply thereto. (Amended on November 28, 2019)

(5) The Exchange may newly enter into a market making agreement with other market makers for an issue of which market making agreement has been terminated pursuant to paragraph (2) or for an issue which has not been allocated as a market making issue pursuant to [§12-1(4)], as stipulated by the Exchange separately. Provided that, this provision shall not apply to the case where the remaining period from the effective date of the termination of the market making agreement to the expiry date of the previous market making agreement is shorter than two (2) months. (Amended on February 28, 2017)

(6) The Exchange may terminate the market making agreement for the relevant issue in cases where any of the followings occurs: [March 12, 2021]

1. Case where the average daily turnover ratio (excluding the last seven (7) trading days of each quarter) is assessed every quarter pursuant to [Annex 5-3] and it exceeds 15% for two (2) consecutive quarters. In such cases, the market making for the relevant issue shall terminate at the end of the concerned quarter;
2. Case where the relevant issue is delisted;
3. Case where the liquidity provision agreement pursuant to [§12-3] of the Regulation was concluded and is in force; and
4. Other cases that the Exchange deems necessary for market management.

[March 25, 2016]

§12-15. Obligation to maintain Market Making Quotations

(1) Pursuant to [§12-8] of the Regulation, a market maker shall maintain the market making quotations in the manner of satisfying all the requirements specified in each of the following subparagraphs. In such cases, the quotations that have been submitted during the hours for the trading by the method of continuous call auction stipulated in [§19] of the Regulation shall be deemed as having been submitted to perform the obligation of maintaining market making quotations, notwithstanding [§12-10(2)].

1. Quotations shall be maintained on both of offer and bid sides;
2. The figure, which is obtained from dividing the difference between the price of an offer quotation and the price of a bid quotation of a market maker by the quotation price unit (hereinafter referred to as the “quotation price unit spread”), shall be within the obligatory spread that is determined in the market making agreement. Provided that, in cases where the obligation to maintain market making quotations on either side of bid or offer is exempted and the quotation situation falls under any of the following items, the figure specified in the relevant item shall be deemed as the quotation price unit spread:
 - (a) Where there is a quotation on one side: The figure that is obtained from dividing the difference between the price of the best quotation on one side and the price of the market making quotation on the other side by the quotation price unit; and
 - (b) Where there is no quotation on one side: The figure that is obtained from dividing the difference between the price of the best quotation on the other side and the price

of the market making quotation on the other side by the quotation price unit.

3. The sum of the amount of offer market making quotations and the sum of the amount of bid market making quotations shall be at least the minimum amount for quotation maintenance specified in the market making agreement, respectively.

(2) “Cases specified in the Enforcement Rules” in the proviso to [§12-8(1)] of the Regulation shall refer to the cases falling under each of the following subparagraphs: (Amended on November 28, 2019)

1. Where it is within three (3) minutes after the market opening;
2. Where it is the quotation receiving hours when the prices are determined by the call auction under [§18] of the Regulation;
3. Where there are only the bid quotations at the upper price limit or the offer quotations at the lower price limit for the relevant market making issue;
4. When the value of the relevant market making issue traded by the market making quotations during a day exceeds 50/100 of the average daily trading value {limited to the value of traded concluded during the trading hours of regular sessions by the methods of individual auction under [§18(1)3 through 5] of the Regulation and [§19] of the Regulation} during the assessment period specified in [Annex 5], case where it is the period from such time to the time of market closing of the day;
5. Where the relevant market making issue was designated as an investment caution issue pursuant to [§5-2] of the Market Oversight Regulation, or as an investment alert issue or an investment risk issue; (Amended on February 27, 2025)
6. Where the relevant market making issue was designated as an administrative issue or an investment precaution issue;
7. Where it is from the time when a cause for delisting has occurred to the relevant market making issue to the time when the cause was resolved; and
8. Other cases where the Exchange deems it is difficult to submit the market making quotations due to the system failure, etc.

[March 25, 2016]

(3) Notwithstanding the provisions of paragraph (1), in the case of sudden changes in market condition etc., where the Exchange deems necessary, the obligatory spread may be increased pursuant to subparagraph 2 of the same paragraph or the minimum amount for quotation maintenance may be decreased pursuant to subparagraph 3 of the same paragraph.

[March 25, 2020]

§12-16. Exceptions in Obligation to maintain Both-sided Market Making Quotations

Pursuant to [§12-8(2)] of the Regulation, in cases when a market maker falls under each of the following subparagraphs, the market maker may not be obligated to maintain either a bid or offer quotation in accordance with the provisions of the relevant subparagraph: (Amended on November 28, 2019)

1. In the case of a bid quotation that falls under any of the following items:

(a) Where the balance held (excluding the quantity held by borrowing) for the relevant market making issue exceeds 2/1000 of the number of listed stocks or the amount of balance held (referring to the amount calculated by multiplying the most recent price by the balance held excluding the quantity held by borrowing) exceeds KRW 100 million;

(b) Where the quantity, which is calculated by subtracting the balance held of a market maker from the number of listed stocks of the relevant market making issue, falls short of the minimum quotation quantity (referring to the quantity that is needed to meet the minimum quantity for quotation maintenance specified in the market making agreement pursuant to the criteria of [Annex 5-3]; the same hereinafter in this Article); and

(c) Where the price difference between the best offer quotation and the lower price limit of the day is within the scope of obligatory spread specified in the market making agreement.

2. In the case of an offer quotation that falls under any of the following items:

(a) [Deleted on November 28, 2019]

(b) Where the balance held of a market maker for the relevant market making issue falls short of the minimum quotation quantity; and

(c) Where the price difference between the best bid quotation and the upper price limit of the day is within the scope of obligatory spread specified in the market making agreement.

[March 25, 2016]

§12-17. Management of Balance of Market Making Account

(1) Pursuant to [§12-8(2)] of the Regulation, a market maker shall report to the Exchange the number of stocks of each market making issue held in the market making account as of the day before the starting date for market making specified in the market making agreement, on the starting date for market making in accordance with [Annex: Form No. 6-6]. Provided that, this provision shall not apply to the issue for which the market making agreement has been entered into for the first time.

(2) Market makers shall report the changes in quantity and the balance held in market making accounts for each market making issue to the Exchange in accordance with [Annex: Form 6-6] from the date of commencement of the market making by the time of market opening on the following trading day. (Amended on November 28, 2019)

(3) In cases where it needs to make corrections to the contents of the report made pursuant to paragraph (2), market makers shall report the corrections by 12:00 noon on the day which includes the reporting deadline. (Amended on November 28, 2019)

(4) The Exchange shall manage the quantities reported by market makers for each market making issue pursuant to the provisions of paragraphs (1) through (3) as the daily balance held of the relevant market making issue. [November 28, 2019]

[March 25, 2016]

§12-18. Assessment, etc. of Market Makers

(1) Pursuant to [§12-9(2)] of the Regulation, the Exchange may make assessment (hereinafter referred to as the “assessment of market making performance”) of each market maker on a quarterly basis for each market making issue in accordance with the assessment criteria under [Annex 5-3] on the extent to which the obligation to maintain market making quotations was fulfilled and the activeness in market making activities, etc. Provided that, this provision shall not apply to the market making issues of which the number of days for obligatory market making is fewer than five (5) during the relevant quarter.

(2) The Exchange may notify the market maker concerned of the result of assessment of his/her market making performance.

(3) The Exchange may request a market maker to submit materials that are deemed necessary for the assessment of market making performance. In such cases, the market maker shall comply with the request without delay.

(4) Notwithstanding the provisions of paragraph (1), in the case of each of the following subparagraphs, the assessment of the market making performance may not be carried out.

[December 6, 2018] (Amended on December 21, 2022)

1. Where it is necessary to be excluded from the assessment of the market making performance for a certain period in order to secure a preliminary test period for participating as a market maker, and such period is specified in the market making agreement; and
2. Where a market maker who has failed to submit market making quotations for any reasons that are not attributable to the market maker's intent or negligence, such as compliance with related statutes and internal control procedures, computer problems, market fluctuation, etc. requests the Exchange to exclude it from the assessment of market making performance by specifying the reason and the exclusion period, and the Exchange recognizes it necessary.

[March 25, 2016]

§12-19. Suspension of Market Maker's Qualification

(1) Pursuant to [§12-9(2)] of the Regulation, in cases where a market maker falls under the criteria for suspension of qualifications stipulated in [Annex 5-3] as a result of the assessment of market making performance, the Exchange may suspend the qualification of the relevant market maker.

(2) The Exchange shall not designate the person whose qualification as a market maker has been suspended pursuant to paragraph (1) as a market maker for one (1) year period from the month following the month to which the suspension date belongs.

[March 25, 2016]

§12-20. Payments to Market Makers

(1) Pursuant to §12-9(2)] of the Regulation, the Exchange may make payments to market makers (hereinafter referred to as the "payment for market making") in accordance with the stipulation in [Annex 5-3] differentially reflecting the result of assessment of market making performance, within the scope of total revenue from fees (referring to the trading fees and clearing fees) of the market making issues for which the market makers have fulfilled their market making obligations during the term of market making agreement. Provided that the criteria on the payments for market making may be set differently when the Exchange deems it necessary. (Amended on September 19, 2017)

(2) The Exchange shall make the payments for market making in accordance with the time for making the payments specified in [Annex 5-3] after the end of the quarter when the

assessment of market making performance was conducted. (Amended on February 28, 2017)

[March 25, 2016]

§13. [Deleted on December 21, 2022]

§14. Prior Notice on Suspension of Validity of Program Trading Quotations, etc.

(1) The Exchange may, when the price of a contract of which the trading volume is the largest under [§13(1)] of the Regulation (hereinafter in this article referred to as “base contract”) rises (or falls) by 6/100 or more from the base price, and KOSDAQ 150 rises (or falls) by 3/100 or more from the closing value of the previous day, issue a prior notice about the fact that the validity of bid (or offer) quotations for program trading may be suspended. (Amended on February 3, 2009; July 1, 2009; December 7, 2018)

(2) In the case of falling under the case noted in any of the following subparagraphs after issuing the prior notice on the suspension of program quotation validity, the Exchange may withdraw the relevant prior notice on the suspension of program quotation validity: (Amended on July 1, 2009; December 7, 2018)

1. Where the base price of base contract has recovered to within $\pm 6/100$ of the base price;
2. Where KOSDAQ 150 has recovered to within $\pm 3/100$ of the closing value of the previous day; and
3. Where the trading of the base contract is halted pursuant to the Derivatives Market Business Regulation.

(3) In cases where the temporary failure of KOSDAQ system has occurred, the Exchange may suspend the validity of program trading quotation without issuing a prior notice on the suspension of validity of program trading quotation pursuant to paragraph (1). (Amended on February 3, 2009)

§15. [Deleted on July 11, 2019]

§16. [Deleted on December 28, 2011]

§17. Base Price

(1) The base price noted in [§14(1)] of the Regulation shall refer to each of the following subparagraphs: (Amended on April 20, 2012; March 25, 2013; June 16, 2014; February 14, 2022)

1. For the issues other than those noted in subparagraphs 2 through 10, the closing price of immediately preceding trading day. Provided that, if the price does not match the quotation price unit, it shall be the price closest to that price among the prices that are higher than that price and match the quotation price unit, and if there is no closing price on the immediately preceding trading day, it shall be the base price of the immediately preceding trading day. (Amended on February 27, 2025)

2. For the initially listed issues, it shall be the price noted in each of following items:

(a) Case of stocks and DRs of foreign stocks [excluding the issues noted in subparagraph 2(e)];

Price calculated in accordance with [Annex 1-4]

(b) [Deleted on March 25, 2013]

(c) [Deleted on March 25, 2013]

(d) [Deleted on March 25, 2013]

(e) Case of issue transferred from the KOSPI Market;

The closing price (if no closing price is available, it shall be the base price: the same hereinafter in this Paragraph) of last trading day in the KOSPI Market.

(f) Case of collective investment securities of business development collective investment vehicle;

The base price calculated in accordance with Article 238, Paragraph 6 of the Act (it shall be the mostly recently announced base price based on the listing date; in the case of an announcement on the day prior to the listing date, it shall be limited to that announce by 17:00) [March 16, 2026]

3. For the issues using the first trading price as the base price, the price determined for the first time pursuant to [§22] of the Regulation. In this case, if the first price of the issue using the first trading price as the base price is not determined by the time of market closing, the lowest offer price if the offer prices which are lower than the appraisal price (in case of no appraisal price, the lowest quotation price shall be regarded

as the appraisal price; the same hereinafter and [§20(4)] determined according to [Annex 1] are available, the highest bid price if the bid prices which are higher than the appraisal price are available, and the appraisal price in any other cases shall be the base price of the next trading day, respectively.

3-2. In the case of listed issues after merger, the base price shall be as follows:

(a) In the case where the special purpose acquisition company survives the merger pursuant to [§2(1)1(f)(i)], the base price shall be the stock price under subparagraph 1 of the surviving special purpose acquisition company; and

(b) In the case where the special purpose acquisition company does not survive the merger pursuant to [§2(1)1(f)(ii)], the base price shall be the price obtained by dividing the stock price under subparagraph 1 of the non-surviving special purpose acquisition company by the merger ratio (the number of new shares issued per share of the non-surviving special purpose acquisition company) of the corporation that is the counterpart to the merger in the report on completion of merger, etc. or the report on the issuance of securities submitted in connection with the merger.

4. [Deleted on April 12, 2013]

5. [Deleted on April 12, 2013]

6. Of the issues having gone ex-dividend or ex-right, those issues falling under any of following items, it shall be the price determined using the formula noted in Annex 2, and if the formula noted in Annex 2 cannot be applied, among the formula noted in Annex 2, the formula applicable to the issue with the most similar specification as the relevant issue shall apply *mutatis mutandis* thereto:

(a) The issue having gone ex-dividend as a result of an advance notice on the stock dividend for the relevant fiscal year;

(b) The issue having gone ex-dividend following the capital increase without consideration; and

(c) As an issue having gone ex-dividend following the paid-in capital increase, the issue whose closing price on the trading day before the ex-dividend day exceeds the issue price of new stocks.

7. [Deleted on March 25, 2013]

8. [Deleted on March 25, 2013]

9. In the case of issue to undergo the stock split or reverse stock split, the price

determined by multiplying the closing price on the day immediately before by the split ratio or merger ratio.

10. [Deleted on April 12, 2013]

(2) [Deleted on March 25, 2013]

(3) [Deleted on April 12, 2013]

(4) In cases where the price (the amount less than KRW 1 shall be rounded down) pursuant to paragraphs (1)2(e and f), (1)3-2(b), (1)6 and (1)9 does not match the quotation price unit, it shall be the price closest to that price among the prices that are higher than that price and match the quotation price unit. (Amended on March 25, 2013; February 14, 2022; February 27, 2025; March 16, 2026)

(5) Notwithstanding paragraph (1), in the case that falls under any of the following subparagraphs, the base price may be determined differently. In such cases, the Exchange shall make public such fact, calculation method of base price, etc. without delay. (Amended on March 25, 2013; June 16, 2014)

1. Case of resuming the trade after closing of the market for a lengthy period; and

2. [Deleted on June 16, 2014]

3. Where it is judged that application of base price pursuant to paragraph (1) is clearly problematic because of such reasons as no trading for a lengthy period, material change in right details or sudden change in market condition.

(Wholly amended on December 30, 2010)

§17-2. Price Limits

(1) Among the amounts determined pursuant to [§14(2)] of the Regulation, the amount less than the quotation price unit corresponding to the base price range shall be rounded down, but in cases where the relevant amount is less than the lowest amount of quotation price units, it shall be the lowest quotation price unit, and if the amount determined by taking into account the price limit of base price cannot apply the quotation price units noted in [§18], it shall be rounded up to the price to which the quotation price unit can be applied.

(2) Pursuant to [§14(3)] of the Regulation, the case where the price limit range of quotation may be determined differently shall be the case falling under any of the following subparagraphs. In this case, the Exchange shall make public the fact without delay: (April 12, 2023)

1. Case of resuming the trade after closing of market for a lengthy period;
2. Case where the market condition changes suddenly; and
3. In addition, case where the Exchange deems it necessary for the market management.

(3) Pursuant to [§14(3)] of the Regulation, in the case of initially listed issues corresponding to stocks and DRs of foreign stocks falling under [§17(1)2a], the highest limit price and the lowest limit price on the date of new listing shall be in accordance with each of the following subparagraphs: (Amended on April 12, 2023)

1. In the case of the highest limit price: The price obtained by adding the amount (amount less than the quotation price unit of the base price from the relevant amount shall be rounded down; the same hereinafter in this paragraph) produced by multiplying the base price by 3 to the base price; and
2. In the case of the lowest limit price: The price obtained by subtracting the amount produced by multiplying the base price by 0.4 from the base price.

[December 30, 2010]

§18. Quotation Units

(1) Quotation quantity unit and trading quantity unit of issues shall be one (1) share for stock certificates, one (1) DR for DRs of foreign stocks, one (1) warrant for subscription warrants and one (1) certificate for subscription right certificate, one (1) share for investment company of business development collective investment vehicle, and one (1) unit for investment trust beneficiary certificates of business development collective investment vehicle. (Amended on February 3, 2009; December 29, 2009; March 25, 2013; March 16, 2026)

(2) Quotation price unit pursuant to [§15] of the Regulation shall be those noted in each of the following subparagraphs: (Amended on August 16, 2007; February 3, 2009; December 29, 2009; July 29, 2010; December 21, 2022)

1. Issue with the price per share (including price per warrant, price per certificate, and price per unit; the same hereinafter in this Article) is less than KRW 2,000: KRW 1 (Amended on March 16, 2026)
- 1-2. Issue with the price per share is equal to or higher than KRW 2,000, but less than KRW 5,000: KRW 5

2. Issue with the price per share is equal to or higher than KRW 5,000, but less than KRW 20,000: KRW 10

3. Issue with the price per share is equal to or higher than KRW 20,000, but less than KRW 50,000: KRW 50

4. Issue with the price per share is equal to or higher than KRW 50,000, but less than KRW 200,000: KRW 100

5. Issue with the price per share is equal to or higher than KRW 50,000, but less than KRW 200,000: KRW 100

6. Issue with the price per share is equal to or higher than KRW 200,000, but less than KRW 500,000: KRW 500

7. Issue with the price per share is equal to or higher than KRW 500,000: KRW 1,000.

(3) [Deleted on March 25, 2013]

§18-2. Validity of Quotations, etc.

(1) The quotations shall be valid from the time of quotation receipt to the time of trade execution per trade type during the regular session and off-hours session, within the quotation receiving hours of the day pursuant to [§6] for each trading session (referring to the regular session, pre-hours session and after-hours session). Provided that, the validity of quotation shall not be acknowledged if the quotation falls under any of the following subparagraphs:

1. The quotations inputted during the time when the trading has been halted or suspended pursuant to [§6(1)], [§25(1)], [§25-2] and [§26(1)] of the Regulation (including the cases of the trading halt or suspension pursuant to the Listing Regulation and the Disclosure Regulation). Provided that the cancellation quotations (including quotations that the mass order cancellation under [§18-4] is applied) inputted during the relevant period of the trading halt or suspension are recognized as effective;

2. [Deleted on July 29, 2010]

3. [Deleted on July 29, 2010]

4. Among the quotations participated in the determination of the opening price of the first trading day for the issue using the first trading price as the base price, the

quotations with prices that exceed the upper price limit or are below the lower price limit after the determination of the opening price;

4-2. Mid-price quotations received before the quotation receiving hours for call auction to determine the price at the time of market closing noted in [§18(1)2] of the Regulation, but for which no transaction has been concluded by the quotation reception time; and [February 27, 2025]

5. Other quotations that the Exchange deems unreasonable to accept the validity of quotation.

(2) The cancellation or correction of quotation pursuant to [§9(1)] of the Regulation shall be allowed only in the case of the unexecuted quotations among those received and shall be processed in the sequence of the receipt time of correction or cancellation quotations.

(3) Pursuant to paragraph (2), a member may cancel or correct the quotations using any of the following methods: (Amended on February 27, 2025)

1. Canceling the entire or a part of quantity quoted. Provided that, the entire or a part of quantity of quotation for auction-based block trade shall be cancelled only in cases where the quantity after cancellation satisfies the quantity requirements specified in [§22-3(3)] or [§24-2(3)];

2. Correction of prices of entire or a part of quantity quoted into another price, if a limit quotation, limit-to-market-on-close quotation, immediately executable limit quotation and best limit quotation is corrected into the same type of quotation; and

3. Correction of entire or a part of quantity quoted into another type of quotation, if a limit quotation, limit-to-market-on-close quotation, immediately executable limit quotation, best limit quotation and market quotation is corrected into a different type of quotation (excluding mid-price quotation and stop-limit quotation; the same hereinafter in this subparagraph). In such cases, if a limit quotation, immediately executable limit quotation and best limit quotation are corrected into one another, the price shall be corrected into other price. (Amended on February 27, 2025)

4. In cases of correcting a stop-limit quotation to a quotation of the same type, all or part of the quantity of the quotation shall be corrected using any one method of the following items: [February 27, 2025]

(a) If a stop-limit quotation is corrected before it triggers into a limit quotation, either the price of quotation before the correction shall be different from the price of the quotation after the correction, or the stop price before the correction shall be different from the stop price after the correction; or [February 27, 2025]

(b) If a stop-limit quotation is corrected after it triggers into a limit quotation, the price of the quotation shall be different. [February 27, 2025]

(4) In the case of quotations affixed with the conditions under each item of subparagraph 17 of [§40], among the quantities of such quotations, the quantity that has not been executed shall be construed as cancelled.

(5) A quotation falling under any of the following subparagraphs shall be suspended its validity until the resumption time specified in the relevant subparagraph: (Amended on February 27, 2025)

1. In case of suspension of trading during the quotation receiving hours for call auction or suspension of quotation reception in accordance with [§25-2] of the Regulation, quotations received before the relevant measures: When trading is resumed [February 27, 2025]

2. Mid-price quotation in cases where there is no quantity of quotation other than the mid-price quotation on either the sell side or the buy side during the time of trading by means of continuous auction: When there is a quantity of quotation other than the mid-price quotation on both the sell and buy sides; and [February 27, 2025]

3. Mid-price quotation in cases where no transaction is made during the quotation receiving hours for call auction: When the method of executing transactions is changed to continuous auction and there are quotations other than mid-price quotation on both the sell and buy sides. [February 27, 2025]

[December 21, 2022]

§18-3. Validity of Quotations with Self-match Prevention Condition

(1) In the case where, among the quotation of high-speed algorithmic traders, the high-speed algorithmic trading numbers of quotations are the same and it is possible to execute transactions between such quotations affixed with the following conditions, the quantity of the relevant quotation shall be deemed to be cancelled according to each of the following subparagraphs based on the condition imposed on the quotation received later:

1. A condition to cancel all of the balance of previously received quotation;
2. A condition to cancel the entire quantity of quotation received later; and
3. A condition to cancel each quantity that can be executed between buy and sell quotations.

(2) Paragraph (1) shall apply only to the case of continuous trading under [§19] of the Regulation during the regular trading session. Provided that this shall not apply if the relevant quotation is subject to the trading priority for simultaneous quotations pursuant to [§19(3)1].

(3) In the case of quotations to which both the self-match prevention conditions under paragraph (1) and the condition under subparagraph 17(a) of [§40] are simultaneously affixed, the self-match prevention condition shall take precedence.

[December 21, 2022]

§18-4. Mass Order Cancellation

(1) Members may apply to the Exchange to cancel all quotations received before application at once (hereinafter referred to as the “mass order cancellation”) by designating conditions for each high-speed algorithmic trading number only if all of the following subparagraphs are met. In such case, matters necessary for the application of the mass order cancellation, such as classification of securities, conditions for cancellation, etc. shall be as specified in the Annex 1-3:

1. Cases for managing risks; and
2. Cases for submitting quotations through high-speed algorithmic trading account reported pursuant to [§50-3(3)] of the Regulation.

(2) Notwithstanding paragraph (1), the Exchange may not process the mass order cancellation in case of a system failure or other cases when it is deemed necessary for market management.

(3) Members shall record and maintain data related to the mass order cancellation for ten (10) years and submit the data when the Exchange request for the relevant data for market management, etc.

[December 21, 2022]

§18-5. Methods to Apply for Cancellation of Disconnected Quotations, etc.

(1) The “case where it is stipulated in the Enforcement Rules” in [§16-2(1)] of the Regulation shall refer to the case where, as a case in which the connection between the member system and the Exchange system is disconnected during the regular trading session and electronic transmission and reception does not occur, there is a determination in

advance between the member applying for the cancellation of disconnected quotations and the Exchange.

(2) Pursuant to [§16-2(1)] of the Regulation, the range of cancellation of disconnected quotations shall be the number (excluding the number changed or cancelled through other sessions) of quotations not executed among quotations submitted through the session requested in advance pursuant to paragraph (3).

(3) Pursuant to [§16-2(2)] of the Regulation, the methods to apply for the cancellation of disconnected quotations and for the termination thereof shall be as specified in [§8(5)] of the Guidelines for Connection, etc. of Member System.

(5) The Exchange may not apply the cancellation of disconnection quotations in case of system failure or other cases where it deems necessary for market management.

[December 21, 2022]

§19. Priority of Simultaneous Quotations

(1) Pursuant to the part other than each subparagraph of [§17(3)] of the Regulation, among the simultaneous quotations, the quotations with larger quantities shall have a priority over the quotations with smaller quantities (in the case of quotations with the same quantity, the quotation received earlier by the KOSDAQ computer system has a priority) until the quotation quantity reaches to the quantity under following subparagraph 1. In such case, for the quotations of which quantities exceed the quantity under subparagraph 1, the priority shall be applied in a sequential order from subparagraph 2 in the same manner as stated in the former part:. (Amended on February 3, 2009; December 21, 2022)

1. 100 times trading quantities unit;
2. Half (1/2) of the residual quantity. In such case, the quantity less than trading quantity unit shall be rounded to the trading quantity unit; and
3. The total residual quantity.

(2) [Deleted on December 21, 2022]

(3) The priority of simultaneous quotations pursuant to paragraphs (1) shall apply until the time noted in each of the following subparagraphs. In such cases, in cases where, in applying paragraphs (1) and (2) and the proviso to paragraph (3), while the entire quantity has not been executed pursuant to paragraph (1) until the time of determining the closing price of the market and the market was closed with the upper limit price or lower limit price

as the closing price, the simultaneous quotations shall apply until the time when the closing price is determined. (Amended on June 1, 2007; February 3, 2009; March 19, 2009; December 21, 2022)

1. In the case of a bid quotation at the upper limit price or an offer quotation at the lower limit price pursuant to [§17(3)] of the Regulation, until the entire quantity thereof is executed;
 2. In the case of market quotations pursuant to [§17(3)] of the Regulation, until the time such quotation price is regarded as the price other than the upper limit price or the lower limit price; and
 3. In the case of the quotation at the highest or lowest price pursuant to [§17(3)] of the Regulation, until the opening price pursuant to [§27(2)] is determined. Provided that, if the price is determined to be a price falling under the lowest quotation price unit under [§18(2)], until the entire quantity of quotations submitted at the relevant price is executed.
- (4) At the time of determining the price pursuant to [§18(1)1, 3 & 4] of the Regulation, if such price is formed as the upper limit price or lower limit price at the time of determining the closing price, the quotations at the price noted in [§17(3)] of the Regulation that participated in the determination of such price shall be construed as the simultaneous quotation. [March 19, 2009] (Amended on March 30, 2009)

§20. Range of Quotations Participating in Call Auction

(1) The range of quotations participating in the call auction pursuant to [§18(2)] of the Regulation shall be the quotations received during the hours specified in each of the following subparagraphs and those received during the period specified by the Exchange randomly within thirty (30) seconds since then, and shall include the quotations received earlier, but not yet executed, if there are any: (Amended on June 28, 2005; February 3, 2009; June 24, 2014; May 19, 2015; December 21, 2022)

1. In the case of determining the price under [§18(1)1] of the Regulation, from the beginning of the quotation receiving hours of the regular session under [§6] to the market opening. Provided that, in the case of being applied with [§23-3(1)2], it shall be until the time extended for two (2) minutes after the market opening;
2. In the case of determining the price under [§18(1)2] of the Regulation, from ten (10) minutes before the market closing time to the market closing time, and if the time of the market reopening or the trading resumption pursuant to paragraph (1)3 is within the last twenty (20) minutes immediately before the market closing time, from such point of time to the market closing time. Provided that, in the case of being applied with [§23-

3(1)], it shall be until the time extended for two (2) minutes after the market closing;

3. In the case of determining the price under subparagraphs 3 and 4 of [§18(1)] of the Regulation, for the first ten (10) minutes from the time of reopening of the market or resumption of trading.

4. In the case of determining the price under [§18(1)5] of the Regulation {excluding the case where the relevant price falls under subparagraphs 1 and 2 of [§18(1)]}, for the first two (2) minutes from the time of changing the trade execution method. Provided that, in cases where the call auction to determine the price at the market closing under subparagraph 2 started before two (2) minutes have elapsed from the time of change of the trade execution method, etc., it shall be until ten (10) minutes before the market closing, but the quotations received during the time shall be deemed to have been participated in the price determination pursuant to [§18(1)2].

(2) Pursuant to the proviso to [§18(1)] of the Regulation, in the case where the price of each subparagraph (excluding subparagraph 2) of the same paragraph is not determined with the quotations noted in paragraph (1), the price shall be determined by switching to continuous trading specified in [§19] of the Regulation.. (Amended on February 3, 2009; December 21, 2022)

(3) [Deleted June 28, 2005]

(4) “Prices stipulated in the Enforcement Rules” in the proviso to the part other than each subparagraph of [§18(5)] of the Regulation shall be the prices in each of following subparagraphs: (Amended on December 29, 2009; December 30, 2010; March 25, 2013; April 12, 2023; February 27, 2025)

1. Where there is a price that is equal to the base price noted in [§17(1)] [referring to the appraisal price specified in Annex 1, in the case of determining the first price on the first trading day for an issue using the first trading price as the base price; the same hereinafter in this Subparagraph], that price. If there is no such equivalent price, the price that is closest to such base price; and

2. In the case of determining the first price of initially listed subscription warrants and subscription right certificates, the price determined by averaging the highest and lowest prices. In such cases, if such price does not match the quotation price unit, it shall be the price closest to such price, among the prices that are higher than such price and that match the quotation price unit. (Amended on February 27, 2025)

§21. Range of Quotations Restricted to Participate in Determination of Special Quotation Price

Pursuant to the [§18(7)] of the Regulation, in cases where the trading was halted or suspended during the quotation receiving hours noted in each subparagraph of [§20(1)], and the trading was not resumed by the end of the market closing time of the day, the quotations received during the day shall not be included in the determination of special quotation. (Amended on February 3, 2009; March 19, 2009)

§22 [Deleted on May 19, 2015]

§22-2. Regular Session Block Trade

(1) The regular session block trade pursuant to [§19-2(1)] of the Regulation shall be applied by inputting the details negotiated by the selling and buying parties, such as the issue, quantity, and price, in accordance with any of the following subparagraphs: (Amended on February 3, 2009; December 21, 2022)

1. Method in which details of negotiation are notified to the member system and the KOSDAQ system via the electronic network for block trading, etc. (referring to the electronic system operated by the Exchange for the purpose of notifying and confirming the agreement or negotiated details of block trading and basket trading; the same hereinafter) and the member places the quotations in accordance with the negotiated details; or

2. Method in which the member places the quotations by inputting details of negotiation to the KOSDAQ system via the member system or the member securities terminal.

(2) The details, which have been negotiated between the buying and selling parties pursuant to paragraph (1), may be changed only when there has been an agreement between the trading parties before placing quotations according to such details. (Amended on February 3, 2009)

(3) Notwithstanding paragraph (1), when it has been concluded that inputting the negotiated details of regular session block trade is difficult due to the failure to connect to the electronic network for block trading, etc., the member shall notify to the Exchange the negotiated details via electronic mail, etc. and place the quotations according to the details notified. (Amended on March 19, 2009)

(4) Notwithstanding paragraphs (1) and (3), when, due to the difficulties in connecting to the electronic block trading network, etc., it is not possible to notify the negotiated details to the KOSDAQ system, the regular session block trade shall not be executed. (Amended on March 19, 2009)

(5) The provisions of [§24(2) & (3)] shall apply *mutatis mutandis* to the case of regular

session block trade. (Amended on February 3, 2009)

[December 23, 2005]

§22-3. Regular Session Auction-based Block Trade

(1) The trading volume weighted average price pursuant to the latter part of [§19-3(1)1] of the Regulation shall be calculated by dividing the total value of trades (excluding the regular session auction-based block trade and regular session block trade) executed during the period in the regular session after the execution of concerned auction-based block trade by the total trading volume during the same period. In such cases, if the relevant price calculated is higher than the closing price, the amount less than KRW 1 shall be rounded down, but if the relevant price calculated is less than the closing price, the amount less than KRW 1 shall be rounded up to KRW 1 unit.

(2) “The price stipulated in the Enforcement Rules” noted in [§19-3(1)2p] of the Regulation shall refer to the base price [if no base price is available, it shall be the appraisal price specified in Annex 1 (if no appraisal price is available, it shall be the lowest quotation price): the same hereinafter in this Article]. (Amended on December 30, 2010)

(3) The quantity of quotation participating in the regular session auction-based block trade pursuant to [§19-3(3)] of the Regulation shall be higher than the quantity, where the amount obtained by multiplying the relevant quantity by the base price of the day is higher than KRW 200 million. (Amended on December 30, 2010)

(4) The trading unit of regular session auction-based block trade pursuant to [§19-3(3)] of the Regulation shall conform to [§18(1)].

(5) Pursuant to [§19-3(3)], the regular session auction-based block trade shall not be utilized when trading the issue designated as administrative issue and issue scheduled to be delisted.

[July 29, 2010]

§22-4. Regular Session Basket Trade

(1) The application for regular session basket trade under [§19-4(1)] of the Regulation shall be made by notifying the details negotiated by the selling and buying parties, including the issue, quantity and price, to the member system and KOSDAQ system via the electronic network for block trading, etc. during regular session and placing of the quotation by members in accordance with the negotiated details.

(2) In the case of applying for basket trades pursuant to paragraph (1), one of parties from bid quotation and offer quotation shall be submitted by a single member and the case of the counter party shall be the quotation of each single member by each issue forming basket. In such cases, when the case is trading between foreigners pursuant to provision of Article 6-7(1)6 of the Regulations on Financial Investment Business, customers of buying and selling quotations shall be foreigners. (Amended on July 11, 2019)

(3) The identical basket number shall be provided regarding the issues forming the identical basket, and the number shall be different from each basket in the case of on member conducting two (2) or more basket trading quotation during regular session.

(4) Pursuant [§19-4(3)] of the Regulation, the number of issues forming basket and the number of stocks of a basket issue of shall be as follows:

1. The number of basket forming issues shall be at least five (5) issues; and
2. The requirement on the number of stocks of a basket shall be more than the quantity equivalent to the sum of the amounts obtained by multiplying the number of stocks by the price of each issue forming the basket is at least KRW 200 million.

(5) The trading unit under [§19-4(3)] of the Regulation shall be in accordance with the trading unit under [§18(3)].

(6) In making a request for regular session basket trading under paragraph (1), if there are no trades executed in the regular session by the individual auction methods under [§18] and [§19] of the Regulation until the relevant quotation was received, the quotation shall be made at the base price of the day. [July 11, 2019]

(7) The provisions of [§22-2(2) through (4)] and [§24(3)] shall apply *mutatis mutandis* to regular session basket trade.

[June 24, 2014]

§23. Off-hours Closing Price Trade

(1) When applying [§20(1)] of the Regulation, in the case of the pre-hours session for an issue whose closing price of the previous day does not match the quotation price unit and an issue for which the ex-dividend, ex-right, ex-distribution, stock split or reverse stock split takes place on the day of quotation, the previous day's closing price shall be deemed as the base price of the day. (Amended on July 7, 2006; February 3, 2009; April 20, 2012; February 27, 2025)

(2) The trading unit under [§20(2)] of the Regulation shall be in accordance with the

trading unit under [§18(1)]. (Amended on February 3, 2009)

(3) The priority of quotations for off-hours closing price trade pursuant to [§20(2)] of the Regulation shall be in accordance with the time priority where a quotation received earlier has priority over a quotation received later. (Amended on February 3, 2009)

§24. Off-Hours Block Trade

(1) The off-hours block trade pursuant to [§21(1)] of the Regulation shall be applied by notifying the negotiated details, such as the name of issue, quantity and price agreed between the buying and selling parties, in accordance with any of each item of [§22-2(1)] during the quotation receiving hours for off-hours sessions. In such cases, in the case of receiving an entrustment of order from a listed company that intends to purchase or sell its treasury stocks by way of off-hours block trading after obtaining the approval of Financial Services Commission pursuant to [§10(4)2] of the Regulation, the member shall submit the material proving such fact before placing the quotation. (Amended on December 23, 2005; February 3, 2009; March 8, 2012; December 21, 2022)

(2) In the case of making a request pursuant to paragraph (1), either the bid or the offer shall be placed by a single member, and the amount obtained by multiplying the quotation quantity by the share price shall be at least KRW 50 million. In such cases, in the case of the transaction between the foreign investors pursuant to Article 6-7(1)6 of the Regulations on Financial Investment Business, both the buying and selling parties shall be the foreign investors. (Amended on August 16, 2007; February 3, 2009; June 24, 2014)

(3) Notwithstanding [§18(2)], the quotation price unit for off-hours block trade shall be KRW 1. (Amended on September 8, 2006; August 16, 2007; February 3, 2009; March 25, 2013)

(4) [Deleted on December 23, 2005]

(5) The provisions of [§22-2(2) through (4)] shall apply *mutatis mutandis* to off-hours block trade. (Amended on December 23, 2005; February 3, 2009)

§24-2. Off-hours Auction-based Block Trade

(1) The provisions of [§22-3(1)] shall apply to the calculation of trading volume weighted average price pursuant to the latter part of [§21-2(1)1] of the Regulation.

(2) “Price specified in the Enforcement Rules” in the proviso to [§21-2(1)2] of the Regulation shall refer to the base price.

(3) The provisions of [§22-2(3) through (5)] shall apply *mutatis mutandis* to the case of off-hours auction-based block trade.

[July 29, 2010]

§25. [Deleted on Dec.23, 2005]

§25-2. Off-hours Periodic Call Trades

(1) The “cases stipulated in the Enforcement Rules” in the proviso to [§21-3(1)] of the Regulation shall refer to any of the following subparagraphs: [February 27, 2025]

1. Issues for which no trading was made during the regular market trading hours on the Day; and [February 27, 2025]

2. Issues notified by the multilateral trading company as those to be traded on the day. In this case, KRX may exclude stocks if it is unable to receive notification on or confirm the stocks subject to trading at the multilateral trading company due to system failure, etc. [February 27, 2025]

(2) Quotations eligible to participate in the determination of price of issues traded in off-hours call auctions pursuant to [§21-3(2)] of the Regulation shall be those received by the time when the Exchange specifies randomly within thirty (30) seconds after the time when every ten (10)-minute {every thirty (30)-minute in the case of subparagraphs 2, 3 and 4 of [§23(1)]} has elapsed from the opening of quotation receiving hour for off-hours periodic call trade (referred to as the “unit trade execution time” hereinafter in this Article, and in the case of being applied by [§23-3(1)1], it shall be until the time extended for two (2) minutes after the unit execution time), and those received earlier, but have not been executed, if there are any. (Amended on February 3, 2009; July 29, 2010; October 17, 2014; May 19, 2015; February 28, 2017)

(3) [Deleted on May 19, 2015]

(4) [Deleted on July 11, 2019]

(5) The provisions of [§17(2)] of the Regulation shall apply *mutatis mutandis* to the priority of quotations for off-hours periodic call trade pursuant to [§21-3(4)] of the Regulation. (Amended on February 3, 2009; July 29, 2010)

[May 16, 2005]

§25-3. Off-hours Basket Trade

(1) The application for off-hours basket trade pursuant to [§21-4(1)] of the Regulation shall be made by notifying the details negotiated by the selling and buying parties, including the issue, quantity and price, to the member system and the KOSDAQ system via the electronic network for block trading, etc. during regular session and the member placing the quotation in accordance with the negotiated details.

(2) The trading unit under [§21-4(3)] of the Regulation shall be in accordance with the trading unit under [§18(1)].

(3) The provisions of [§22-2(2) through (4)], [§22-4(2) through (4)] and [§24(3)] of the Regulation shall apply *mutatis mutandis* to off-hours basket trade.

[June 24, 2014]

§26. Exceptions to Application of Off-hours Sessions

The Exchange may not execute the off-hours closing price trade, off-hours block trade, off-hours auction-based block trade off-hours periodic call trade and off-hours basket trade pursuant to [§20] through [§21-4] of the Regulation in the cases falling under any of the following subparagraphs. Provided that, in the case of the off-hours auction-based block trading of the issues designated as administrative issues and the issues scheduled to be delisted, the provisions of subparagraphs 2(d) and 2(f) shall not apply thereto and the trades shall not be executed in accordance with [§22-3(5)] and [§24-2(3)]: (Amended on May 16, 2005; October 14, 2005; February 3, 2009; March 19, 2009; March 30, 2009; July 29, 2010; December 30, 2010; June 24, 2014; April 12, 2023)

1. Case where the trading hours of the regular session is changed pursuant to [§4(1)1];
2. Pre-hours sessions when any of the following situations occurs:
 - (a) The day when trading of the issue suspended from trading has been resumed;
 - (b) The first trading day for the determination of the first price of issues falling under [§17(1)2] or issues using the first trading price as the base price;
 - (c) [Deleted on March 19, 2009]
 - (d) The first trading day of issues scheduled to be delisted; (Amended on September 8, 2006; March 30, 2009)
 - (e) The first trading day of issue for which the base price is determined differently

pursuant to [§17(5)]; and

(f) The day of designation as administrative issue (the first trading day following the designation if it is not a trading day) in accordance with the Listing Regulation. Provided that this provision shall not apply to the case where other reasons are added on while being designated as administrative issue.

3. In addition, the cases where the Exchange deems it necessary for the market management.

§27. Methods of Determining First Price of Initially Listed Issues, etc.

(1) “Issues stipulated in the Enforcement Rules” in [§22] of the Regulation shall refer to the issues using the first trading price as the base price: (Amended on October 14, 2005; February 3, 2009; December 30, 2010; April 20, 2012; March 25, 2013; June 16, 2014; April 12, 2023)

1. [Deleted on April 12, 2023]

2. [Deleted on April 12, 2023]

3. [Deleted on April 12, 2023]

4. [Deleted on April 12, 2023]

5. [Deleted on March 25, 2013]

6. [Deleted on April 12, 2023]

(2) Method of determining the first price on the first trading day shall be the call auction noted in [§18] of the Regulation. (Amended on February 3, 2009; December 30, 2010)

(3) The range of quotations participating in the determination of the first price on the first trading day pursuant to [§22] of the Regulation shall be the quotations received from the beginning of quotation receiving hours for the regular session to the market opening time of the regular session and/or the time randomly set by the Exchange within 30 seconds thereafter. [December 30, 2010] (Amended on December 21, 2022; April 12, 2023)

(4) The quotations noted in paragraph (3) shall be the quotations received within the following prices: (Amended on April 12, 2023)

1. An issue using the first trading price as the base price (excluding an issue scheduled to be delisted); The lowest quotation price and the highest quotation price pursuant to

[Annex 1]; and

2. An initially listed issue noted in [§17(1)2a]: The highest price limit and the lowest price limit pursuant to the price limit range noted in [§17-2(3)].

§28. Trade Execution Methods of Issues scheduled to be delisted, etc.

(1) “Methods stipulated in the Enforcement Rules” noted in provisions other than each subparagraph of [§23(1)] of the Regulation shall refer to the trade execution by way of call auction pursuant to [§18] of the Regulation. In such cases, [§18(3) through (7)] of the Regulation shall apply *mutatis mutandis* to the issues designated as temporary overheated issue and call auction issues with abnormally soaring price, and [§18(4) through (6)] of the Regulation shall apply *mutatis mutandis* to the issues scheduled to be delisted. (Amended on March 30, 2009; October 26, 2012; October 17, 2014; May 19, 2015; February 28, 2017; February 27, 2025)

(2) The range of quotations to be included in determining the price mentioned in paragraph (1) shall be the quotations received by the time the Exchange specifies randomly within thirty (30) seconds after any of the following points of time and the unexecuted quotations that were received earlier, if there are any. (Amended on March 19, 2009; March 30, 2009; October 26, 2012; October 17, 2014; May 19, 2015; February 28, 2017)

1. Where the price is determined according to [§18(1)1] of the Regulation, from the opening of quotation receiving hour for the regular session to the time of the market opening;

2. In the case of determining the price at each time when 30-minute has passed from the market opening, from the time of market opening to every time when 30-minute has passed (refereeing to “the unit trade execution time”; the same hereinafter in this Article) since the market opening. Provided that, in the case of determining the price noted in [§18(1)3] of the Regulation, it shall be each time when 30-minute has passed after the time of trade resumption, but if the trade resumption time is during the ten (10) minutes immediately before the market closing time, such trade resumption time shall not be included. In such cases, when determining the price noted in [§18(1)4] of the Regulation, if the period from the trade resumption time to the nearest unit trade execution time is less than ten (10) minutes, it shall be until the next unit trade execution time; and

3. In the case of determining price according [§18(1)2] of the Regulation, from the latest unit trade execution time among the unit trade execution times pursuant to subparagraph 2 to the market closing time.

(3) Notwithstanding paragraphs (1) and (2), the provisions of [§19-2], [§19-4], [§20], [§21],

[§21-3] and [§21-4] of the Regulation shall apply to the trading in the regular session other than the call auction. Provided that, [§21(2)], [§21-3(3)] and [§21-4(2)] of the Regulation shall not apply to the issues scheduled to be delisted. (Amended on May 16 2005; December 23, 2005; February 3, 2009; March 30, 2009; July 29, 2010; June 24, 2014; May 19, 2015)

(4) Notwithstanding the latter part of paragraph (1) (limited to the temporary overheated issues and the call auction issues with abnormally soaring price) in applying [§18(7)] of the Regulation *mutatis mutandis*, in cases where the trading was suspended or halted during the quotation receiving hours of a trading day pursuant to each subparagraph of paragraph (2), and the trading has not been resumed in the day, the quotations that are restricted to participate in the determination of special quotation price shall be those received during the day. (Amended on March 30, 2009; October 26, 2012; October 17, 2014; May 19, 2015; February 28, 2017)

(5) The periods for changing the trade execution methods of the call auction issues with abnormally soaring prices shall be as follows. Provided that, in cases where it is deemed necessary for the market management, the Exchange may determine such periods differently: [February 28, 2017]

1. In the case of falling under [§7-2(1)1] of the Enforcement Rules of the Market Oversight Regulation: Three (3) trading days from the day following the date of request; and

2. In the case of falling under [§7-2(1)2] of the Enforcement Rules of the Market Oversight Regulation: From the day following the date of designation as investment risk issue pursuant to [§3-4] of the Enforcement Rules of the Market Oversight Regulation to the previous day of the date of release therefrom.

(6) In cases where it is deemed necessary for the investor protection and market stability due to sudden changes in the market situation, etc., the following additional measures may be taken pursuant to the proviso to the part other than subparagraphs of [§23(1)] of the Regulation: [February 28, 2017] (Amended on November 26, 2020)

1. Change of the price change limits pursuant to [§14(2)] of the Regulation;

2. Change of the rates under paragraphs (1) and (2) of [§28-5]; and

3. Other measures that are deemed necessary for the market management.

(7) When making changes in the trade execution methods pursuant to paragraph (5) or taking the additional measures pursuant to paragraph (6), the Exchange shall officially announce such fact immediately and notify it to the members. In such cases, the provision

of [§8-5(8)] shall apply *mutatis mutandis* to the notification methods. [February 28, 2017] (Amended on November 26, 2020; February 27, 2025)

§28-2. Designation of Temporary Overheated Issues

(1) “Criteria specified in the Enforcement Rules” in each subparagraph of [§23-2(1)] of the Regulation shall refer to the case where an issue falls under any of the following subparagraphs (limited to the case where the closing price on the day of making the decision on whether or not falling under the criteria is higher than the closing prices of the immediately preceding trading day and the trading day immediately preceding the date of prior notification of designation for the issues stipulated in subparagraphs 1 through 5) within ten (10) trading days after issuing the prior notification on the possibility of being designated as a temporary overheated issue pursuant to [§28-3(1)]. Provided that, in cases where an issue noted in subparagraph 2 was forewarned on the designation as a temporary overheated issue pursuant to [§28-3(1)1], the provisions of subparagraph 2 shall apply even in the case when six (6) months elapse since the trade resumption before the end of ten (10) trading days after the prior notification of designation. (Amended on April 26, 2013; March 23, 2016; May 4, 2016; May 30, 2018; September 10, 2019; September 21, 2020)

1. For an issue, which is managed as an administrative issue or investment precaution issue, whose the number of circulating common stocks (referring to the number of stocks that are available after excluding the number of stocks held by the largest shareholder, etc. from the number of floating stocks; the same hereinafter) is less than 5/100 of the total number of common stocks of the relevant listed corporation or 300,000 shares (this provision shall not apply if the listed corporation of the relevant issue proves that it does not fall under the criteria specified in this Subparagraph for such reasons as the supplementary listing resulting from a capital increase with consideration, release from the mandatory holding under [§2(15)3&4] of the Listing Regulation, etc.), the case of meeting any of subparagraphs 1 through 3 under [§28-3(3)]:

(a) The number of circulating stocks as stated in the Summary Table of Shareholders of KOSDAQ-listed Corporations as of the end of the latest fiscal year under [§26(14)] of the Enforcement Rules of KOSDAQ Market Listing Regulation; and

(b) In the case of a listing change or supplementary listing pursuant to [§18] of the Listing Regulation due to capital reduction, reverse stock split or capital increase or decrease during the rehabilitation procedures, etc., the number of circulating stocks as stated in the Status of Circulating Stocks of KOSDAQ-listed Corporations under [§18(1)9] of the Enforcement Rules of KOSDAQ Market Listing Regulation.

2. For an issue of common stocks whose trading was resumed in the latest six (6) months after having been suspended for thirty (30) trading days or longer for such

reasons of capital reduction, reverse stock split, capital increase/decrease during the rehabilitation procedures, etc., the case of meeting any of the criteria specified in subparagraphs 1 through 3 of [§28-3(3)];

3. [Deleted on September 21, 2020]

4. For an issue that was designated as an administrative issue due to the failure to meet the stock distribution requirements under subparagraph 13 or 15-2(b) of [§28(1)] of the Listing Regulation, the case of meeting any of the subparagraphs 1 through 3 of [§28-3(3)]; and

5. For an issue other than those noted in subparagraphs 1 through 4 (excluding the different classes of stock subject to call auction pursuant to [§28-8(1)]), the case of meeting all of the requirements under subparagraphs 1 through 3 of [§28-3(3)].

6. For an issue of different classes of stock which does not fall under the different classes of stock subject to call auction pursuant to [§28-8(1)], the case of meeting all the requirements under subparagraph 4 of [§28-3(3)].

(2) The Exchange may designate an issue falling under any of the subparagraphs of [§23-2(1)] of the Regulation as a temporary overheated issue on the following trading day. Provided that this provision shall not apply to any of the following cases: (Amended on January 7, 2026)

1. Where an issue falling under paragraph (1)5 or paragraph (1)6 is ranked within the top 100 based on the value obtained by multiplying the closing price of the preceding trading day by the number of shares listed on the KOSPI or KOSDAQ Markets; or [January 7, 2026]

2. Any other case where such designation is deemed manifestly inappropriate. [January 7, 2026]

[October 26, 2012]

§28-3. Prior Notification of Designation as Temporary Overheated Issue

(1) In cases where an issue falls under any of the following cases, the Exchange may issue a prior notification on the following trading day about the fact that the relevant issue may be designated as a temporary overheated issue: (Amended on April 26, 2013; March 23, 2016; May 4, 2016; May 30, 2018; September 21, 2020)

1. For an issue noted in subparagraphs 1 through 4 of [§28-2(1)], the case where the closing price of the day when any of the criteria specified in the subparagraphs 1

through 3 under paragraph (3) was met is higher than that of the immediately preceding trading day;

2. For the issues other than those noted in subparagraph 5 in [§28-2(1)], the case where the issue once again falls under all of the criteria specified in the subparagraphs 1 through 3 under paragraph (3) (limited to the case where the closing price of the day of making the decision on whether or not the criteria are met is higher than the closing prices of the immediately preceding trading day and the base day) within ten (10) trading days from the trading day (referred to as the “base day” in this Article) following the day when all of the criteria specified in subparagraphs 1 through 3 under paragraph (3) are met and the closing price of such day is higher than that of the immediately preceding trading day; and

3. For the issue pursuant to [§28-2(1)6], the case where the issue once again falls under the criteria specified in subparagraph 4 of paragraph (3) within ten (10) trading days from the trading day after the day when the criteria specified in subparagraph 4 of paragraph (3) are met.

(2) Notwithstanding paragraph (1), in cases where an issue falls under any of the following subparagraphs, the Exchange may not issue the prior notification for the relevant issue on the fact about possible designation as a temporary overheated issue: (Amended on December 10, 2015)

1. [Deleted on December 10, 2015]

2. In addition, in cases where it is clearly inappropriate for an issue to issue a prior notification about the possible designation as a temporary overheated issue.

(3) The Exchange shall calculate the criteria noted in each of the following subparagraphs for each issue (limited to the stocks and DRs of foreign stocks) on a daily basis. In such cases, the numbers shall be rounded off at the fourth decimal places. (Amended on September 21, 2020)

1. Rate of price increase

The closing price of the day shall be at least 130/100 of the average of closing prices of most recent forty (40) trading days.

2. Turnover ratio

The average of daily turnover ratios (to be calculated using the following formula) of most recent two (2) trading days (based on the trading day of the issue), including the relevant day, shall be at least 600/100 of the average daily turnover ratios of most recent forty (40) trading days:

Daily turnover ratio = {Total trading value of trades executed using individual auction method during the trading hours of regular session of the day / (Closing price of the day x Total number of listed stocks)}

3. Price volatility

Average of daily price volatilities (to be calculated using the formula noted below) of most recent two (2) trading days (to be based on the trading day of issue), including the relevant day, shall be at least 150/100 of the average of daily price volatilities of most recent forty (40) trading days.

Daily price volatility = {Highest price (referring to the price established by individual auction in the trading hours of regular session of the day) – Lowest price} / {(Highest price + Lowest price) / 2}

4. Disparate ratio

The disparate ratio (calculated by the below formula) between the price of the different classes of stock and the price of the relevant common stocks based on the closing price of the day shall exceed 50/100.

Disparate ratio = (Price of different classes of stock – Price of relevant common stocks) / Price of relevant common stocks

(4) Notwithstanding paragraph (3), the parameters noted in each subparagraph of paragraph (3) shall not be calculated for the issue falling under any of the following subparagraphs: (Amended on April 26, 2013; March 23, 2016; May 4, 2016; February 28, 2017; January 2, 2018; May 30, 2018; September 21, 2020)

1. Temporary overheated issues;
2. Issues scheduled to be delisted;
3. Issues suspended from trading;
4. Issues for which the number of days with trades executed by individual auction during the trading hours (including trading hours corresponding to the regular market of the Exchange among the trading hours of the multilateral trading company) of regular sessions in the latest forty (40) days is twenty (20) [three (3) days for the issues noted in subparagraphs 1 through 4 of [§28-2(1)] or less; and (Amended on February 27, 2025)
5. Investment alert issues or investment risk issues (including issues scheduled to be designated as investment alert issues or investment risk issues on the next day).

Provided that, the issues under subparagraphs 1 through 4 of [§28-2(1)] shall be excluded. (Amended on February 27, 2025)

(5) In the case of an issue that has been released from the designation as temporary overheated issue pursuant to [§28-4], the base day (including the day on which an issue under subparagraph 3 of paragraph (1) meets the requirement under subparagraph 4 of paragraph (3) for the first time) may be re-established after the release date. (Amended on September 21, 2020)

(6) Each of “average of closing prices” noted in paragraph (3)1, “average of daily turnover ratios” noted in paragraph (3)2 and “average of daily price volatilities” noted in paragraph (3)3 shall be calculated on the basis of trading day of the relevant issue.

(7) The “total value of the trades executed by continuous auction during the trading hours of regular session of the day” noted in the calculation formula of paragraph (3)2 shall be calculated by including the trading value of the multilateral trading company (limited to the trading value during the trading hours corresponding to the regular market of the Exchange; the same hereinafter in this paragraph), however, in the case where the Exchange is unable to receive information on trading value of the multilateral trading company, due to system failure, etc., it may be calculated excluding such information. [February 27, 2025]

[October 26, 2012]

§28-4. Release from Designation as Temporary Overheated Issue, etc.

(1) The Exchange shall release the issue designated as temporary overheated issue on the trading day following the day when the period specified in each of the following subparagraphs expires: (Amended on April 26, 2013; December 10, 2015; March 23, 2016; May 4, 2016; May 30, 2018; September 21, 2020)

1. For the issues falling under subparagraphs 1 through 4 of [§28-2(1)], ten (10) trading days. Provided that, in cases where it is confirmed that the issue does not fall under subparagraph 1 or 4 of [§28-2(1)], the issue shall be released from such designation on the day following the date of confirmation; and

2. For the cases noted in subparagraphs 5 and 6 of [§28-2(1)], three (3) trading days.

(2) Notwithstanding paragraph (1), in the case of falling under any of the following subparagraphs, such designation shall be released on the day specified in the corresponding subparagraph: (Amended on April 26, 2013; December 10, 2015; March 23, 2016; May 4, 2016; May 30, 2018; September 21, 2020)

1. Cases falling under subparagraphs 1 through 5 of [§28-2(1)]: In cases where the

closing price of the day when the period specified in each subparagraph under paragraph (1) expires is higher than 120/100 of that of the trading day immediately preceding the designation date, the issue concerned shall be released from the designation on the trading day after the day when the period specified in each subparagraph under paragraph (1) expires. In such cases, if a temporary overheated issue corresponds to any issue noted in subparagraphs 1 through 4 of [§28-2(1)] on the day when the period stipulated in subparagraph 2 of paragraph (1) ends, the period specified in subparagraph 1 of paragraph (1) shall apply;

2. Cases falling under subparagraph 6 of [§28-2(1)]: In cases where the disparate ratio calculated based on the closing price on the day when the period specified in subparagraph 2 of paragraph (1) ends meets the requirement specified in subparagraph 4 of [§28-3(3)], the concerned issue shall be released from the trading day after that until the designation on the trading day after the day when the period specified in subparagraph 2 under paragraph (1) expires. In such cases, if the disparate ratio calculated based on the closing price on the day when the extension period ends meets the requirement specified in subparagraph 4 of [§28-3(3)] once again, the designation shall be re-extended for the period specified in subparagraph 2 of paragraph (1), and this shall apply repeatedly until the disparate ratio calculated based on the closing price on the day when the re-extension period ends does not satisfy the requirement in subparagraph 4 of [§28-3(3)]; and

3. Cases satisfying the requirements specified in subparagraphs 5 and 6 of [§28-2(1)] at the same time: The later of the days specified in subparagraphs 1 and 2.

(3) In cases where ex-dividends, ex-rights, stock split or reverse stock split, etc. have taken place, the “closing price” noted in [§28-2(1)], [§28-3(1) & (3)] and [§28-3(2)] shall be determined by taking into account such facts.

[October 26, 2012]

(4) Regarding the matters concerning the temporary overheated issues stated in [§28-2] and [§28-3] and paragraph (1) and (2) of this article, the Exchange shall officially announce such fact and notify the members of the issues immediately. In such cases, the provision of [§8-5(8)] shall apply *mutatis mutandis* to the notification methods. [November 26, 2020] (Amended on February 27, 2025)

§28-5. Change of Trade Execution Method by Issue

(1) “Rates specified in the Enforcement Rules” in [§23-3(1)1] of the Regulation shall be 6%. Provided that, in the case of falling under any of the following subparagraphs, it shall be as stipulated in the relevant subparagraph: (Amended on May 19, 2015; March 21, 2018; July 11, 2019)

1. In the case of quotation receiving hours for determination of the market closing prices under [§18(1)2] of the Regulation, 4%; and

2. In the case of quotation receiving hours for determination of prices at the market closing of the underlying stocks (in the case of stock indices, it refers to the constituents of the relevant index; the same hereinafter in this Article) on the last trading day of single stock futures of the equity derivatives market under [§3(2)1] of the Derivatives Market Business Regulation, 1%.

(2) “Rates specified in the Enforcement Rules” in [§23-3(1)2] of the Regulation shall be 10%. [May 19, 2015]

(3) The change of trade execution method, etc. under [§23-3(1)] of the Regulation shall refer to an action falling under any of the followings during the time specified in [§20(1)4] of the Regulation;

1. In the case of continuous call auction; Change into call auction; and

2. In the case of call auction; Expansion of the range of participating quotations.

(4) Notwithstanding the provisions of [§23-3(1)] of the Regulation, when an issue falls under any of following subparagraphs, any change to the trade execution method, etc. shall not be made: (Amended on October 17, 2014; May 19, 2015; March 25, 2016; February 28, 2017; September 12, 2018; July 11, 2019; September 21, 2020; November 26, 2020)

1. Issues scheduled to be delisted;

2. Temporary overheated issues; (Amended on February 27, 2025)

2-2. Call auction issues with abnormally soaring price;

2-3. Low liquidity issues subject to call auction pursuant to [§28-7(1)] and different classes of stock subject to the call auction stated in [§28-8(1)];

2-4. Newly listed issues (limited to the day of listing on stocks or DRs, excluding issues transferred from the KOSPI market)

3. Where the call auction is conducted to determine the prices noted in subparagraphs 3 and 4 of [§18(1)] of the Regulation when resuming the halted or suspended trading before the day’s market closing time. Provided that this provision shall not apply to the case where the execution method was changed to the call auction under [§18] of the Regulation pursuant to [§28-7(2)];

4. Where the trade execution method, etc. is changed as it falls under any of the subparagraphs of paragraph (1) or paragraph (2), and the first price determined pursuant to [§18(1)5] of the Regulation falls again under any of the subparagraphs of paragraph (1) or paragraph (2);

5. [Deleted on May 19, 2015]

6. Where a provisional matching price based on the quotation is determined within the five (5) quotation units on the basis of the most recent price (restricted to a case where the price is less than KRW 1,000) as at the time when the relevant quotation is received; or

7. Other cases that the Exchange deems necessary considering market situation etc.

(5) Pursuant to [§23-3(3)] of the Regulation, the Exchange may determine the ratio standard referred to in paragraphs (1) and (2) differently when it seems difficult significantly to apply the ratio standard referred to in paragraphs (1) and (2) considering quotations and market circumstances, etc. (Amended on May 19, 2015)

(6) Pursuant to [§23-3(1)] of the Regulation, the change of trade execution method by issue shall apply after applying the self-match prevention condition noted in [§18-3]. [December 22, 2022]

[June 24, 2014]

§28-6. Publication of Changes of the Methods of Executing Trade by Issue, etc.

(1) The Exchange shall make public the fact immediately if any changes to the methods, etc. of executing trade are made pursuant to [§23-3(1) & (3)] of the Regulation. (Amended on May 19, 2015)

(2) The Exchange shall include changed details such as name of issue, changed/ released time and the methods of executing trade of issue when making public pursuant to paragraph (1).

[June 24, 2014]

§28-7. Methods of Trade Execution of Low Liquidity Issues

(1) “Issue of which trading is deemed significantly inactive in terms of trade frequency in the light of the criteria stipulated in the Enforcement Rules” in [§23-4(1)] of the Regulation shall refer to an issue with low liquidity subject to period call auction that is selected

according to the criteria specified in [Annex 5] (hereinafter referred to as the “low liquidity issue subject to call auction”). (Amended on December 27, 2018; September 21, 2020)

(2) The trade execution of a low liquidity issue subject to call auction shall be conducted by the way of call auction under [§18] of the Regulation. Provided that this provision shall not apply to an issue that falls under the criteria for exclusion under [Annex 5] or is released from the list of low liquidity issues subject to call auction during the effective period. (Amended on December 27, 2018)

(3) [Deleted on December 27, 2018]

(4) The provisions of [§18(3) through (7)] of the Regulation and [§28(2)] (the provisos other than the main body shall be excluded) shall apply *mutatis mutandis* to the low liquidity issues subject to call auction. (Amended on November 26, 2020)

(5) Notwithstanding paragraphs (2) and (4), the provisions from [§19-2] to [§21-4] of the Regulation shall apply to the trades that are executed by the methods other than the continuous auction during the trading hours of a regular session. In such cases, “ten (10) minutes” in [§25-2(2)] shall be construed as “thirty (30) minutes”. (Amended on September 21, 2020; November 26, 2020; February 27, 2025)

(6) The matters necessary for the application of the selection, additional selection, applicable period, etc. of the low liquidity issues subject to call auction other than those stipulated in paragraphs (1) and (2) shall be set forth in [Annex 5]. (Amended on December 27, 2018)

(7) The Exchange shall officially announce the low liquidity issues subject to call auction pursuant to the provisions of paragraphs (1) through (6) immediately and notify the members of the issues. In such cases, the provision of [§8-5(8)] shall apply *mutatis mutandis* to the notification methods. [November 26, 2020] (Amended on February 27, 2025)

[March 25, 2016]

§28-8. Trade Execution Methods of Different Classes of Stock with Insufficient Number of Listed Stocks

(1) “The issue whose number of listed stocks does not meet the criteria stipulated in the Enforcement Rules” in [§23-4(2)] of the Regulation shall refer to the different classes of stock with less than five hundred thousand (500,000) listed stocks (hereinafter referred to as the “different classes of stock subject to call auction”).

(2) The number of listed stocks in paragraph (1) shall be assessed on the last trading day of

each quarter, and in cases where it falls under the requirement in paragraph (1), the concerned issue shall be selected as the different classes of stock subject to call auction during the following quarter of the quarter in which the assessment date belongs.

(3) The trade execution method of the different classes of stock subject to call auction shall be the call auction by single price pursuant to [§18] of the Regulation.

(4) The provisions of [§18(3) through (7)] of the Regulation and [§28(2)] of the Enforcement Rules (excluding the provisos other than the main clause) shall apply *mutatis mutandis* to the different classes of stock subject to call auction.

(5) Notwithstanding paragraphs (3) and (4), the provisions of [§19-2] through [§21-4] of the Regulation shall apply to the trades other than those executed by the continuous auction during the trading hours of a regular session. In such cases, “ten (10) minutes” in [§25-2(2)] shall be construed as “thirty (30) minutes”. (Amended on February 27, 2025)

(6) In cases where a low liquidity issue subject to call auction pursuant to [§28-7(1)] is selected as different classes of stock subject to call auction pursuant to paragraph (1), paragraphs (1) through (5) shall take priority over [§28-7] during the selected period.

(7) The Exchange shall officially announce the different classes of stock subject to call auction pursuant to the provisions of paragraphs (1) through (6) immediately and notify the members of the stocks. In such cases, the provision of [§8-5(8)] shall apply *mutatis mutandis* to the notification methods. [September 21, 2020] [November 26, 2020] (Amended on February 27, 2025)

§29. Details of Trade Execution

(1) In the trade details referred to in [§24(1)] of the Regulation, each of the following subparagraphs shall be recorded: (Amended on September 27, 2005; February 3, 2009; July 29, 2010)

1. Classification of sale or purchase;
2. Name of issue;
3. Price (excluding the price established as a result of auction-based block trade) and quantity;
4. Classification of brokering or dealing; and
5. Name or ID number of the member.

(2) Pursuant to [§24(2)] of the Regulation, the Exchange shall notify the designated

clearing members each of the following details of the trades executed under the names of non-clearing members after the market closing. Provided that the details noted in paragraph (2)4 shall be notified to the designated clearing member only when the prior consent of non-clearing member has been obtained. [September 27, 2005] (Amended on September 27, 2005; July 7, 2006; February 3, 2009)

1. ID number of non-clearing member;
- 1-2. Issue name;
2. Quantities sold and quantities purchased;
3. Sale amount and purchase amount; and
4. In addition, any other details that are deemed necessary by the Exchange.

(3) The Exchange shall notify the price established as a result of auction-based block trade to the members via the computer system immediately after the market closing and it shall be deemed that the member has confirmed the relevant details upon receiving the notification. [July 29, 2010]

§30. Suspension of Trade and Resumption of Trade Thereafter

(1) The period of trade suspension of the issue of which the trading has been suspended pursuant to [§25(1)] of the Regulation shall be any one of the followings: (Amended on June 28, 2005; October 14, 2005; July 7, 2006; August 16, 2007; December 27, 2007; February 3, 2009; October 26, 2012; February 28, 2014; December 10, 2015; May 10, 2016; February 28, 2017)

1. For one (1) day, in the case of falling under [§25(1)1] of the Regulation. Provided that it shall be the period not longer than five (5) days in cases when the Exchange deems it necessary;
2. Until the time when the relevant cause of trade suspension is deemed to have been resolved in the cases falling under any of subparagraphs 2 through 6 of [§25(1)]; and
3. In the case of falling under [§25(1)5-2] of the Regulation, for the period requested. Provided that, in cases where the Exchange deems it necessary for market management, the period specified separately.
4. [Deleted on December 10, 2015]

(2) Period of trade suspension of subscription warrants and subscription right certificates pursuant to [§25(2)] of the Regulation shall be the period of trade suspension of the relevant issue. [December 29, 2009] (Amended on March 16, 2026)

(3) The calculation of period noted in paragraphs (1) and (2) shall be based on the trading day (including the day when trading is suspended) pursuant to [§4(3)] of the Regulation. (Amended on December 29, 2009; December 21, 2022)

(4) In cases where it is deemed necessary for the investor protection and market stability due to sudden changes in the market situation, etc., pursuant to the proviso to the part other than the subparagraphs of [§25(1)] of the Regulation, the Exchange may take the following additional measures from the date of release from the trade suspension: [February 28, 2017]

1. Change of the trade execution methods of the call auction issues with abnormally soaring price noted in paragraphs (1) through (4) of [§28];
2. Change of the price change limits specified in [§14(2)] of the Regulation;
3. Change of the rates specified in paragraphs (1) and (2) of [§28-5]; and
4. Other measures that are deemed necessary for market management.

(5) When taking the measure of trade suspension noted in paragraph (1) or the additional measures noted in paragraph (4), the Exchange shall officially announce such fact immediately and notify it to the members. In such cases, the provision of [§8-5(8)] shall apply *mutatis mutandis* to the notification methods. [February 28, 2017] (Amended on November 26, 2020; February 27, 2025)

§30-2. Measures in Case of Computer System Failures or Excessive Influx of Quotations

(1) Pursuant to [§25-2] of the Regulation, in cases where a computer system failure has been confirmed, the Exchange may take any of the following measures: (Amended on February 3, 2009; February 28, 2014; January 15, 2026)

1. Cancellation of quotations that caused computer system failure; or [January 15, 2026]
2. Suspension of receiving quotations (referring to the suspension of receiving new quotations, correction quotations, and cancellation quotations; the same hereinafter) or halt of trading. In this case, if the restoration of details of quotations is impossible or it is necessary to promptly recover from a computer system failure, quotations that have not been concluded by the time of suspension of receiving quotations or halt of trading may be cancelled. [January 15, 2026]

(2) Pursuant to [§25-2] of the Regulation, in cases where there is a possibility of a computer system failure due to excessive influx of quotations, the Exchange may take any of the

following measures: [January 15, 2026]

1. Suspension of receiving quotations or halt of trading. In this case, if the restoration of details of quotations is impossible or there is a risk of computer system failure during restoration, quotations that have not been concluded by the time of suspension of receiving quotations or halt of trading may be cancelled; or [January 15, 2026]

2. Closing of trading of the day. [January 15, 2026]

(3) When the Exchange determines that the computer system is back to normal operation and the risk of computer system failure due to excessive influx of quotations has been eliminated following the suspension of receiving quotations or the halt of trading under paragraph (1)2 or paragraph (2)1, the receiving of quotations or trading shall resume at a time determined by the Exchange. In such cases, when the recovery of quotations and trade details, etc. is not possible due to inevitable causes such as natural disaster and other similar reason, the recovery may proceed except for such areas. [February 28, 2014] (Amended on January 15, 2026)

(4) In cases where trading is resumed pursuant to paragraph (3), the first price shall be determined by way of the call auction under [§18] of the Regulation. In such cases, the range of quotations participating in the determination of such price shall be decided by the Exchange at each case. (Amended on February 3, 2009; February 28, 2014; January 15, 2026)

(5) When determining the range of quotations participating in the determination of the relevant price pursuant to the latter part of paragraph (4), the Exchange shall make public such fact without delay. (Amended on February 3, 2009; February 28, 2014; January 15, 2026)

(6) In addition to paragraphs (1) through (5), method of trade execution in the event of a computer system failure or excessive influx of quotations shall be in accordance with the decision made by the Exchange for each case. (Amended on February 3, 2009; February 28, 2014; January 15, 2026)

[June 28, 2005]

§31. Temporary Suspension of Market, etc.

(1) “Cases specified in the Enforcement Rules” in the proviso other than each of the subparagraphs of [§26(1)] of the Regulation shall refer to the case falling under any of the following subparagraphs, and, in each case, the trading of stock market shall not be suspended. [May 19, 2015]

1. Where it does not decline by 1% or more than the KOSDAQ index at the time of the suspension of trading pursuant to [§26(1)1] of the Regulation, or where it does not last for one (1) minute after declining by 1% or more, when applying [§26(1)2] of the Regulation.

2. Where it does not decline by 1% or more than the KOSDAQ index at the time of the suspension of trading pursuant to [§26(1)2] of the Regulation, or where it does not last for one (1) minute after declining by 1% or more, when applying [§26(1)3] of the Regulation.

(2) The suspension of trading pursuant to [§26(1)1&2] of the Regulation shall apply only when the market falls under such condition for the first time in the day, and the market shall not be suspended during the last forty (40) minutes before the market closing time. Provided that the suspension and conclusion of trading pursuant to [§26(1)3] shall apply even during the last forty (40) minutes before the market closing. . [Proviso on May 19, 2015] (Amended on February 3, 2009; May 19, 2015)

(3) In cases where the trading cannot be resumed due to the computer system failure that has occurred before the market resumption, the trading shall be resumed at the time when the computer system is recovered. Provided that this provision shall not apply to the case specified in the proviso to [§4(2)]. (Amended on February 3, 2009)

(4) The trading suspension for one (1) minute under [§26(1)1] of the Regulation shall start and calculate from one (1) minute after the market opening. [November 26, 2020]

§31-2. Publication of Suspension of Trading and Resumption Thereafter, etc.

(1) In the case of halting or resuming a trade pursuant to [§25] of the Regulation or suspending or resuming the market pursuant to [§26] of the Regulation, the Exchange shall make such fact public without delay. (Amended on February 3, 2009)

(2) [Deleted on February 28, 2014]

[December 27, 2007]

§32. Extent of Correction of Transaction Errors

Transaction errors noted in [§27] of the Regulation shall be classified into the transaction errors made by the Exchange and the transaction errors made by the member, and the extent of correction thereof shall be each of the followings: (Amended on February 3, 2009; December 21, 2022)

1. Errors made by the Exchange: Transaction where the details are not consistent with the quotation details, which has occurred due to the KOSDAQ system failure, a failure in program operation, or error made in the course of inputting the trade details; and

2. Errors made by the members: Transaction where the details are not consistent with the details of orders, which has occurred because the details of quotation received by KOSDAQ computer system were different from the order details due to the error made in the courses of processing the orders received from customers, inputting such order details into the member system or transmitting the quotation details into the KOSDAQ computer system. In such case, if there is an error of an overseas affiliate, etc. of a member in the course of the member's receiving of customers' orders of the overseas affiliates, etc., this error is considered as an error of the member.

§33. Methods of Correcting Transaction Errors

(1) The Exchange shall correct the transaction errors according to each of the following methods: (Amended on February 3, 2009; June 21, 2016)

1. For the transaction errors made by the Exchange:

In cases where it is possible to correct the error, the Exchange shall make the correction according to the original quotation details, and in other cases, the error shall be corrected after having the member to take over the relevant issue as an own account transaction.

2. For the transaction errors made by members:

In the case of errors relating to the issue, quantity, price or sell/buy classification, such errors are corrected after the relevant member took over the relevant issue as an own account transaction, and in cases of the errors relating to classification of brokering and dealing resulted from the failure in program operation of the member system, the correction shall be made as required. Provided that this provision shall not apply to the large-scale transaction errors stipulated in [§35-2].

(2) When taking over the issue pursuant to paragraph (1), in the case of a member who have not obtained the permit for investment dealing business in Article 6(1)1 of the Act, it shall be accomplished by way of such member entrusting the trade to another member as an own account transaction. (Amended on February 3, 2009)

(3) In the case of transaction errors made by a member, the correction shall be made only in cases where the relevant member has submitted a request for correction of transaction errors according to [Annex: Form No. 8] by the time of market closing on the day after the transaction error has occurred. (Amended on July 7, 2006; February 3, 2009; July 31, 2009; June 21, 2016; November 28, 2019)

(4) The provisions of [§10(4)] shall apply *mutatis mutandis* to the case of correcting the transaction error made by a member. [July 7, 2006] (Amended on February 3, 2009)

§34. Agreement for Correction of Transaction Errors

When correcting a transaction error made by the Exchange, in order to handle the issue to which a transaction error has occurred as the issue that the member traded through its own account, the Exchange shall enter into an agreement for correction of transaction error with the relevant member in accordance with [Annex: Form No. 9]. (Amended on February 3, 2009)

§35. Settlement of Profits and Losses

(1) In cases where transaction error is corrected by letting the relevant members to take over the relevant issue as its own account transaction, the Exchange shall settle any profit or loss sustained in the course of error correction.

(2) The securities transaction tax, all commissions, and amount equivalent to member fees relating to the correction of transaction errors shall be reckoned as a loss when settling profits and losses pursuant to paragraph (1). (Amended on February 3, 2009)

(3) The Exchange shall settle all profits and losses without delay, upon receiving the bills for settlement of transaction errors in accordance with the agreement for correction of transaction errors. Provided that, from among the transaction errors made by the Exchange, those due to the negligence of the company operating the KOSDAQ computer system shall be settled separately. (Amended on February 3, 2009)

§35-2. Requirements for Relief of Large-scale Transaction Errors

“Transactions that meet the requirements stipulated in the Enforcement Rules” in the main sentence of [§27-2(1)] of the Regulation shall refer to the transactions that satisfy all of the requirements under each of the following subparagraphs for each account (hereinafter referred to as “large-scale transaction errors”). (Amended on February 28, 2017)

1. It shall not be a trade that was executed by the method of call auction stipulated in [§18] of the Regulation;
2. It shall not be a trade that was executed by the market making quotations;

3. The time period between the first occurrence and the conclusion of the trade shall be within thirty (30) minutes;
4. Out of the issues with transaction errors of an account, there shall be one (1) or more of issues of which execution price falls under each of the following items (hereinafter referred to as the “issues subject to relief”):
 - (a) In the case of having purchased by error: The price that went up by over 10%, compared to the latest price immediately before the execution of the relevant trade (in cases where there is no latest price, it shall be the first execution price and shall hereinafter be referred to as the “base price for the relief of transaction errors”); and
 - (b) In the case of having sold by error: The price that went down by over 10%, compared to the base price for the relief of transaction errors.
5. The sum of the amounts obtained by multiplying the difference between the execution price of the issue with transaction errors of the relevant account and the base price for the relief of transaction errors (referring to the amount obtained by subtracting the selling execution price from the base price for the relief of transaction errors or the amount obtained by subtracting the base price for the relief of transaction errors from the buying execution price) by the execution quantity of the relevant trade shall be KRW 10 billion or more. In this case, the sum of the relevant amounts is calculated separately for the stock market and the collective investment securities market of business development collective investment vehicle; (Amended on March 16, 2026)
6. The trades shall continuously be executed by same kind of errors; and
7. Additionally, there shall be a need for relief of the trades for the reliable and efficient settlement.

[June 21, 2016]

§35-3. Requesting for Relief of Large-scale Transaction Errors

(1) Any member intending to request for relief of large-scale transaction errors pursuant to [§27-2(2)] of the Regulation (hereinafter referred to as the “request for relief”) (including a case where the request for relief is made by the customer who caused the large-scale transaction errors) shall make the request for relief by way of inputting the details of the relevant large-scale transaction errors into the Exchange computer system via the member computer system or the member securities terminals. Provided that, in the case of an emergency including system failures, etc., the request for relief may be made by way of submitting a request prepared in accordance with [Annex: Form No. 10-2] to the Exchange.

(2) The request for relief shall be made within thirty (30) minutes from the time when the large-scale transaction errors occurred. Provided that the Exchange may extend the deadline for the request in cases that are deemed unavoidable, including member computer system failures, etc.

(3) Any member who has made the request for relief shall submit the explanatory materials concerning the large-scale transaction errors to the Exchange without delay.

(4) In cases where some of the details of the request for relief are omitted or the details of the relevant explanatory materials are deemed insufficient, the Exchange may require resubmission.

(5) When receiving the request for relief from a member, the Exchange shall make public the fact of receiving the relevant request for relief, etc. without delay and shall notify such fact to the counter party member.

[June 21, 2016]

§35-4. Methods of relieving Large-scale Transaction Errors

(1) Pursuant to [§27-2(2)] of the Regulation, after reviewing the details of the request for relief and the explanatory materials, the Exchange may relieve the large-scale transaction errors, in cases of satisfying all of the requirements noted in each of the subparagraphs of [§35-2].

(2) The Exchange shall make the decision on whether or not to relieve the large-scale transaction errors by 17:00 hours on the next trading day of the day when the request for relief was received (hereinafter referred to as the “date of the request for relief”) and make it public without delay and shall notify it to the member who requested for the relief and the counter party member. The concerned member shall notify it to the relevant customer without delay.

(3) When it was decided to relieve the large-scale transaction errors, the Exchange may change the settlement prices of the issues subject to relief between the Exchange and the clearing member to the prices noted in each of the following subparagraphs:

1. In the case of having bought by error: The price (if the price does not match the quotation price unit, it shall be the price closest to that price, among the prices that are higher than that price and that match the quotation price unit) that is higher than the base price for the relief of transaction errors by 10% (the price lower than the quotation price unit shall be rounded off; the same hereinafter); and (Amended on February 27, 2025)

2. In the case of having sold by error: The price (if the price does not match the quotation price unit, it shall be the price closest to that price, among the prices that are lower than that price and that match the quotation price unit) that is than the base price for the relief of transaction errors by 10% lower. (Amended on February 27, 2025)

(4) Notwithstanding paragraph (3), in cases where the counter party member has traded the issues subject to relief before the fact of receiving the member's request for relief was made public pursuant to [§35-3(5)] (hereinafter referred to as the "sequential transaction") and the relevant trade satisfies all the requirements noted in each of the following subparagraphs, the Exchange may determine the settlement prices differently.

1. The counter party member shall make the request for change of settlement prices to the Exchange in accordance with [Annex: Form No. 10-3]. In such cases, provisions of [§35-3(1), (3) & (4)] shall apply *mutatis mutandis*, but the deadline for the request shall be from 08:00 hours to 10:00 hours on the next trading day of the date of the request for relief stipulated in [§35-3] (the deadline for the customer's request to the member shall be by the date of the request for relief);

2. It shall be the cases of trading the issue purchased or sold as a result of the large-scale transaction errors within the executed quantity of the relevant transaction through the same account, and of falling under each of the following items:

(a) Case of having sold the issues purchased; or

(b) Case of having purchased the issues sold.

3. It shall be a trade executed by way of a continuous call auction stipulated in [§19] of the Regulation during the trading hours of the regular session.

(5) When determining the settlement prices pursuant to paragraph (4), the Exchange shall consider the calculation of trading volume weighted average based on the sequence of trade executions and the prices specified in each of the following subparagraphs, etc.:

1. For the case of paragraph (4)2(a), the price specified in each of the following items:

(a) Where the execution price is lower than the price specified in paragraph (3)2, but higher than the execution price of large-scale transaction errors: the execution price (if the prices does not match up with the quotation price unit, it shall be the price closest to that price, among the prices that are higher than that price and that match up with the quotation price unit); and (Amended on February 27, 2025)

(b) Where the execution price is equal to or lower than the execution price of large-scale transaction errors: the execution price of large-scale transaction errors (if the

prices does not match up with the quotation price unit, it shall be the price closest to that price, among the prices that are lower than that price and that match up with the quotation price unit). (Amended on February 27, 2025)

2. For the case of paragraph (4)2(b), the price specified in each of the following items:

(a) Where the execution price is higher than the price specified in paragraph (3)1, but lower than the execution price of large-scale transaction errors: the execution price (if the prices does not match up with the quotation price unit, it shall be the price closest to that price, among the prices that are higher than that price and that match up with the quotation price unit); and (Amended on February 27, 2025)

(b) Where the execution price is equal to or higher than the execution price of large-scale transaction errors: the execution price of large-scale transaction errors (if the prices does not match up with the quotation price unit, it shall be the price closest to that price, among the prices that are lower than that price and that match up with the quotation price unit). (Amended on February 27, 2025)

(6) The counter party member who was notified of the receipt of the request for relief from the Exchange pursuant to [§35-3(5)] shall, if there are customers who fall under subparagraphs 2 and 3 or paragraph (4), notify them of the details of paragraph (4)1 on the date of request for relief.

(7) In cases where the Exchange determines to relieve large-scale transaction errors resulted from customer account transactions, the member shall calculate the settlement prices for the customers by applying the settlement prices that were changed pursuant to paragraph (3) or (5).

(8) Notwithstanding paragraphs (3) and (5), in the event that it is deemed necessary for the market management considering the trading and market conditions comprehensively, the Exchange may change the prices specified in paragraphs (3) and (5).

(9) The Exchange shall keep the records and documents related to the relief of large-scale transaction errors for ten (10) years.

[June 21, 2016]

CHAPTER III-2. EXCEPTIONS IN TRADING IN KONEX MARKET

§35-5. ~ §35-27. [Deleted on September 13, 2013]

CHAPTER IV. [Deleted on February 27, 2025]

§35-28. [Deleted on February 27, 2025]

[February 20, 2009]

§35-29. [Deleted on February 27, 2025]

[February 20, 2009]

§35-30. [Deleted on February 27, 2025]

[September 19, 2017]

§35-31. [Deleted on February 27, 2025]

[September 19, 2017]

§35-32. [Deleted on February 27, 2025]

[September 19, 2017]

§35-33. [Deleted on February 27, 2025]

§33-34. [Deleted on February 27, 2025]

[September 19, 2017]

§33-35. [Deleted on February 27, 2025]

[September 19, 2017]

§33-36. [Deleted on February 27, 2025]

[September 19, 2017]

§33-37. [Deleted on February 27, 2025]

[September 19, 2017]

§35-38. [Deleted on February 27, 2025]

[September 19, 2017]

§35-39. [Deleted on February 27, 2025]

[September 19, 2017]

§35-40. [Deleted on February 27, 2025]

[September 19, 2017]

§35-41. [Deleted on February 27, 2025]

[November 27, 2019]

§35-42. [Deleted on February 27, 2025]

[November 27, 2019]

§35-43. [Deleted on February 27, 2025]

[November 27, 2019]

§35-44. [Deleted on February 27, 2025]

[February 20, 2009]

§36. [Deleted on February 27, 2025]

(Wholly amended on February 20, 2009)

§36-2. [Deleted on February 27, 2025]

[December 30, 2011]

§36-3. [Deleted on February 27, 2025]

[February 20, 2009]

§36-4. [Deleted on February 27, 2025]

(Wholly amended on December 30, 2011)

§36-5. [Deleted on February 27, 2025]

(Wholly amended on December 30, 2011)

§36-6. [Deleted on February 27, 2025]

[February 20, 2009]

§36-7. [Deleted on February 27, 2025]

[February 20, 2009]

§36-8. [Deleted on February 27, 2025]

[February 20, 2009]

§36-9. [Deleted on February 27, 2025]

(Wholly amended on December 30, 2011)

§36-10. [Deleted on February 27, 2025]

[December 30, 2011]

§36-11. [Deleted on February 27, 2025]

[December 30, 2011]

§36-12. [Deleted on February 27, 2025]

[December 30, 2011]

§36-13. [Deleted on February 27, 2025]

[December 30, 2011]

§36-14. [Deleted on February 27, 2025]

[February 20, 2009]

§36-15. [Deleted on February 27, 2025]

(Wholly amended on December 30, 2011)

§36-16. [Deleted on February 27, 2025]

[February 20, 2009]

§36-17. [Deleted on February 27, 2025]

[November 13, 2014]

§37. [Deleted on December 30, 2011]

CHAPTER V. RECEIVING OF TRADING ENTRUSTMENT

§37-2. Order Types

The orders under [§33] of the Regulation shall be classified into each of the following

types: (Amended on June 28, 2005; December 23, 2005; February 3, 2009; March 19, 2009; July 29, 2010; July 11, 2019)

1. Limit order: An order specifying the issue, quantity, and price;
2. Market order: An order specifying the issue and quantity, but not the price;
- 2-2. Limit-to-market-on-close order: A limit order with the condition that it would convert into a market order at the time when the price at market closing is determined by call auction in accordance with [§18(1)2] of the Regulation;
3. Immediately executable limit order: An order specifying the issue and quantity, but intending to trade by deeming that the price is specified at the prices under [§2(2)];
4. Best limit order: An order specifying the issue and quantity, but intending to trade by deeming that the price is specified at the prices under [§2(3)]; and
5. Target order: The order specifying the issue and quantity but putting a condition to execute the order at specific price level such as the trading volume weighted average price noted in [§19-3(1)] or [§21-2(1)] of the Regulation as the target.
6. Auction-based block trade order: The order specifying the issue and quantity but intending to trade at the price noted in [§19-3] or [§21-2] of the Regulation.
7. Mid-price order: An order specifying the issue and quantity, but intending to trade by deeming that the price is specified at a mid-price; and [February 27, 2025]
8. Stop-limit order: An order specifying the issue and quantity, but intending to trade when the stop price satisfies the conditions stipulated in paragraph (2)5. [February 27, 2025]

[May 16, 2005]

§38. Opening of Accounts, etc.

(1) “Facts stipulated in the Enforcement Rules” in [§33(2)] of the Regulation shall mean the matters in each of the followings: (Amended on May 16, 2005; February 3, 2009; March 19, 2009; November 23, 2023)

1. Name or designation, the resident registration number and the identification number, taxpayer number, in the case of foreigners, the number identifying the real name such as the number of foreigner identification means (in the case of foreigners treated as citizens, it refers to the passport number, business registration number, or taxpayer

number);

2. Address and telephone number;

3. Password;

4. In the case of non-member securities companies, type of account (customer account or own account);

5. In the case of foreigners,

(a) Nationality or permanent residency

(b) Residence status in Korea

(c) [Deleted on November 23, 2023]

6. Investor classification code. Provided that, in the case of trading linked to the CFD, it is based on the investor who concluded the CFD; and

7. In cases where a proxy has been designated, the name or title, the number such as the resident registration number or business registration number, which confirms the real name, the relationship with the customer, address, and the power of such proxy.

(2) Investor classification code pursuant to paragraph (1)6 shall be each of the followings: (Amended on May 14, 2008; February 3, 2009; March 19, 2009; June 22, 2012)

1. Financial investment companies: 1000

2. Insurance companies: 2000

3. Collective investment vehicle, etc.

(a) Collective investment vehicle other than those noted in paragraph (2)3(b): 3000

(b) Privately placed funds: 3100

4. Banks (the collective investment assets of the collective investment schemes shall be classified under paragraph (3)): 4000

5. Other financial institutions: 5000

6. Pensions, funds, and cooperatives: 6000

7. The Government, local governments, international organizations and public service institutions: 7000

7-2. Companies other than those noted in subparagraphs 1 through 7: 7100

8. Individuals: 8000

9. [Deleted on March 19, 2009]

(3) In cases where a customer falls under an investor classification code other than those mentioned in paragraph (2) at the time of opening of a trading account, the member shall verify such fact immediately, and maintain a written record of such fact. (Amended on February 3, 2009)

§38-2. Terms and Conditions for High-speed Algorithmic Trades

Pursuant to [§34(1)8(b)] of the Regulation, in case where a customer of a member is a person who is required to registered as a high-speed algorithmic trader, the member shall include each of the following matters in the terms and conditions:

1. The customer shall identify and systemically manage risks that may arise from the high-speed algorithmic trading;
2. The customer shall prepare the procedures for developing and changing the electronic systems including an ordering system, etc. and the program related to the high-speed algorithmic trading, and shall comply with them when operating;
3. The customer shall cooperate in fulfilling the member's obligation to manage high-speed algorithmic traders, including checking the electronic system such as the ordering system, etc.;
4. The customer shall prepare an appropriate control and response system to effectively cope with accidents or system failures related to the high-speed algorithmic trading and to minimize damage therefrom;
5. The customer shall maintain a mutual contact system with members to respond promptly in the event of an emergency, such as errors in the electronic system such as the ordering system, etc.; and
6. In the case where the customer who has conducted the high-speed algorithmic trading through multiple members pursuant to [§52-6] is suspended to submit the orders for high-speed algorithmic trading pursuant to [§50-3(5)], he/she shall notify all other members of the relevant fact and reason.

[December 21, 2022]

§39. Notification Deadline of Agreement for Receiving of Trading Entrustment

“Duration stipulated in the Enforcement Rules” mentioned in [§34(3)] of the Regulation shall be five (5) trading days from the effective day of the relevant agreement. (Amended on May 16, 2005; February 3, 2009)

§40. Matters to be recorded When Receiving Entrustment of Orders

“Information stipulated in the Enforcement Rules” in [§38] of the Regulation shall mean the matters in each of the followings: (Amended on July 29, 2010; January 26, 2011; March 25, 2013; June 12, 2013; September 13, 2013; June 24, 2014; December 1, 2014; July 11, 2019; December 21, 2022; August 8, 2023)

1. Issue name;
2. In the case of handling an order, each of following classifications:
 - (a) New order;
 - (b) Correction of order already submitted; and
 - (c) Cancellation of order already submitted.
3. Classification of buy and sell;
4. In the case of offer order, each of the following classifications;
 - (a) Order to carry out a sale falling under any subparagraph of [§9-2(1)] of the Regulation;
 - (b) Order to carry out a covered short sale pursuant to [§9-2(2)] of the Regulation; and
 - (c) Any other offer orders.
5. Quantity;
6. Price. Provided that this provision shall not apply to the market order, limit-to-market-on-close order, target order, best limit order, target price order, mid-price order,

order for auction-based block trade, order participating in off-hours closing price trade, and case of canceling the order already submitted. (Amended on February 27, 2025)

6-2. Stop price in the case of stop-limit order; [February 27, 2025]

7. Time of order receipt;

8. In the case of order types noted in [§37-2(1) through (8)], each of such classification; (Amended on February 27, 2025)

9. In the case of market session, each of following classifications;

(a) In the case of order submitted for trade other than those noted in subparagraphs 9(b) through 9(d), following classifications:

(i) Pre-hours session;

(ii) Regular session;

(iii) After-hours session (for the off-hours closing price trade); and

(iv) After-hours session (for the off-hours periodic call trade)

(b) In the case of order for block trading, the following classifications:

(i) Pre-hours session;

(ii) Regular session; and

(iii) After-hours session.

(c) In the case of order submitted for auction-based block trade, the following classifications:

(i) Pre-hours session; and

(ii) Regular session.

(d) In the case of order submitted for basket trade, the following classifications:

(i) Pre-hours session;

(ii) Regular session; and

(iii) After-hours session.

9-2. [Deleted on September 13, 2013]

10. In the case of order for trading the treasury stocks, each of the following classifications:

- (a) Trade conducted for the purpose of purchasing the stocks to be distributed subsequent to the exercise of stock option;
- (b) Trade subsequent to entering into the money trust contract for treasury stocks; and
- (c) Trade carried out for the purpose other than those noted in subparagraphs 10(a) and 10(b).

11. In the case of trading method of treasury stocks, each of the following classifications:

- (a) The methods subject to [§21(3)] of the Regulation;
- (b) The methods subject to both [§10(4)] and [§21(2)] of the Regulation; and
- (c) The methods other than subparagraphs 11(a) and 11(b).

12. In the case of an order related to arbitrage trading, each of the following classifications:

- (a) Index arbitrage trading;
- (b) Sector index arbitrage trading; [January 15, 2026]
- (c) Stock arbitrage trading;
- (d) Non-arbitrage trading, while it is arbitrage trading collective investment securities of ETF collective investment vehicle;
- (e) Trade that is not non-arbitrage trading while it is arbitrage trading collective investment securities of ETF collective investment vehicle;
- (f) Non-arbitrage trading while it is arbitrage trading of ETNs;
- (g) Trade that is not non-arbitrage trading while it is arbitrage trading of ETNs;

(h) DR arbitrage trading; and

(i) DRs of foreign stock arbitrage trading

13. In the case of an order for trading a basket of stocks, each of the following classifications:

(a) Non-arbitrage trading;

(b) Trading a basket of stocks for the purpose of creating collective investment securities of ETF collective investment vehicles, which is non-arbitrage trading; and

(c) Trading a basket of stocks for the purpose of creating collective investment securities of ETF collective investment vehicles, which is not non-arbitrage trading.

13-2. [Deleted on July 11, 2019]

14. Classification for cash transaction or margin transaction;

14-2. In the case of trading linked to the CFD, such classification;

15. In cases where the conditions such as the time of quotation are affixed on the order, such conditions;

16. In cases where the validity of order is specified, such validity period;

17. In cases of limit order, market order, immediately executable limit order, order for auction-based block trade and mid-price order, to which any of the following conditions is affixed, such conditions: (Amended on February 27, 2025)

(a) The condition specifying to execute the amount of quotation quantity that can be executed as soon as the quotation is placed, and to cancel any unexecuted quantity of the order; and

(b) The condition specifying to execute the order if its entirety can be executed as soon as the quotation is placed, and to cancel the order if it cannot be executed in its entire quantity.

18. Following condition in the case of limit order, best limit order, and immediately executable limit order: Self-match prevention condition pursuant to [§18-3].

19. Specification of designated trading markets; and [February 27, 2025]

20. In cases where a customer receives the short selling registration number, the short

selling registration number (limited to the case of stocks and stocks of investment company for business development collective investment). [March 26, 2025] (Amended on March 16, 2026)

(Wholly amended on May 19, 2009)

§41. Methods of Receiving Order Entrustment

(1) [Deleted on December 28, 2011]

(2) When a member receives an order through the methods pursuant to [§39(1)1] of the Regulation, it shall be in accordance with the order slip that the customer filled out the entrustment details pursuant to [§40] and signed or imprinted his/her seal thereon. (Amended on February 3, 2009; December 28, 2011)

(3) When a member receives an order through the methods pursuant to [§39(1)2] of the Regulation, the employee of the member company who receives the order shall confirm that the customer is the said person and prepare the order slip in accordance with any of the following methods. In such cases, the member may use such method as the tape-recording to prove the details of order. (Amended on February 3, 2009; December 28, 2011)

1. The employee receiving the order shall write down the details of order specified in [§40] by hand on the order slip and sign or imprint his/her seal thereon; and (Amended on February 3, 2009)

2. The employee receiving the order shall input the details of order specified in [§40] into the member computer system and sign or affix his/her personal seal on the printed copy of the order slip. In such cases, this provision shall not apply to the case where the details of orders, etc. are electronically kept after putting signature using electronic device (including the electronic signature and any other means equivalent to the electronic signature). (Amended on February 3, 2009; December 28, 2011)

(4) When a member receives an order through the method noted in [§39(1)3] of the Regulation, such order shall be submitted using a system satisfying each of the following requirements, and such member shall enter into a prior agreement with customers for the entrustment through the electronic communication means: (Amended on February 3, 2009; December 28, 2011; December 18, 2013; June 21, 2016)

1. The member shall be able to confirm the system user;

2. The member shall be able to confirm any of the following information that identifies the order input device of customer:

- (a) IP & MAC address, in the case of using home trading system and internet;
- (b) Mobile phone number and the unique ID number of device, in the case of using personal mobile phone or wireless internet phone;
- (c) Unique ID number of unit, in the case of using exclusive stock order input device; and
- (d) Other information through which the customer's order input device can be identified.

3. The customer shall be able to verify the details of order at the time of placing the orders;

4. In cases where a member refuses to accept an entrustment of customer, the record of refusal shall be kept;

4-2. When a customer request for, the member shall be able to submit cancellation quotations at once without delay as requested;

5. The customer shall be able to inquire about the details of order and trade execution;

6. The system shall be able to prevent the use by other than the authorized users; and

7. The member shall be able to record and maintain the records of data processing, including the details of the orders and execution thereafter.

§41-2. Publication of Order Placing Methods, etc.

(1) In cases where a member establishes the details about order placing method, etc. pursuant to [§39-2(4)] of the Regulation, the matters in the following subparagraphs shall be included: (Amended on June 12, 2013; September 13, 2013; February 28, 2014; December 21, 2022)

1. With regard to method of accepting the order entrustment, the matters noted in each of the following items:

- (a) Originator of order;
- (b) Location where the order originated;
- (c) Order input device;

- (d) Order transmitting device; and
 - (e) Order receiving device.
2. With regard to order processing method, the matters noted in each of the following items:
- (a) Verification method of order suitability, etc. according to [§9(7)] of the Regulation and physical location of system used for verification; and
 - (b) Session type specified in the Guideline on Connection, etc. to Member System.
3. Conditions of use and user fees per method according to subparagraphs 1 and 2.
4. In addition, the matters that the member deems necessary to explain the differences between the ordering methods.

(2) When intending to introduce or change the order placing method, etc. pursuant to [§39-2(4)] of the Regulation, the member shall make public such details through the medium such as the member's internet homepage and notify the details to the Exchange without delay.

[December 28, 2011]

§42. Processing of Entrusted Order

(1) "Manners stipulated in the Enforcement Rules" in [§41(1)] of the Regulation shall refer to the receipt of orders in a sequential order while recording the exact time of receipt on the order slip or in the system in the case of receiving orders from a customer (including the correction orders and cancellation orders: the same hereinafter) according to the methods noted in each subparagraph of [§39(1)] of the Regulation and the input of order details in a sequence of receipt into the order input device of the member (hereinafter referred to as "the order input device") in the case of order received through the method noted in [§39(1)1 & 2] of the Regulation. (Amended on February 3, 2009; October 19, 2010; December 28, 2011)

(2) [Deleted on December 28, 2011]

(3) When the order input device malfunctions, a member shall be able to process the orders using the emergency terminals. (Amended on February 3, 2009)

(4) Pursuant to [§41(4)] of the Regulation, the members shall, in any of the following cases, post a notice about investment risks using the electronic communication means to inform

the customers of such facts or urge the customer to take caution: (Amended on February 3, 2009; April 20, 2012; September 21, 2020)

1. Where posting of notice is deemed necessary for the protection of investors or maintenance of orderliness in the market because there is a sign of abnormal trading or abnormality in trading (referred to as "the signs of abnormal trading, etc." hereinafter in this Article) of specific issues;
2. Where the Exchange requests the members to send a notice of investment risk to the customers or urge the customer to take caution, because the signs of abnormal trading, etc. mentioned in paragraph (1) have been observed;
3. Temporary overheated issue; and (Amended on February 27, 2025)
4. Where a specific issue is designated as an issue scheduled to be delisted.

§42-2. Handling of Trading Errors

In cases where an error has occurred in the course of processing the order entrusted by the customer or inputting such order or quotation into the member system or KOSDAQ system, the member shall immediately take an action that is appropriate for the order entrusted. In such cases, the member may sell or purchase the relevant order.

[December 29, 2009]

§42-3. Recording and Retaining Details of Error Corrections

In cases where the details of order and trade have to be corrected, the member shall record the correction details and reasons in the correction book and retain it.

[December 29, 2009]

§43. Reporting of Good Faith Deposit

“In accordance with the stipulation in the Enforcement Rules” in [§42(3)] of the Regulation shall be the reporting within five (5) trading days from the day when the relevant guidelines for collection of the good faith deposit became effective. (Amended on May 16, 2005; February 3, 2009)

§43-2. Special Case for Collection of Good Faith Deposit

“Case stipulated in the Enforcement Rules” in [§42(6)2] of the Regulation shall mean the case where the number of delivery failure of sold securities is five (5) times or more by the settlement day for recent six (6) months and the case where the total shortage of settlement amount exceeds KRW one (1) billion.

[December 18, 2013]

§43-3. Separate Management of Good Faith Deposits and Restrictions on Use as Member Margins

(1) With regard to “shall manage the good deposits separately from their own assets” in [§42(10)] of the Regulation, members shall state the cash good faith deposits separately from the customer deposits in accounting.

(2) With regard to “shall not use the good faith deposits as member margins” in [§42(10)] of the Regulation, members shall maintain liquid assets over the liquid liabilities under [Annex 10] and [Attachment 1] of the Detailed Regulations of the Regulations on Financial Investment Business.

(3) [Deleted on January 15, 2026]

[September 19, 2017]

§44. Exclusion from Designation of Substitute Securities

(1) “Issues stipulated in the Enforcement Rules” in [§43(2)1] of the Regulation shall refer to any of the following subparagraphs: (Amended on May 16, 2005; August 16, 2007; December 4, 2007; January 16, 2009; February 3, 2009; March 8, 2012; June 12, 2013; September 13, 2013; May 19, 2015; October 27, 2021; March 16, 2026)

1. [Deleted on December 4, 2007]

2. The administrative issues;

3. The issues whose trading has been suspended because of filing the application for delisting pursuant to [§45] of the Listing Regulation;

4. The issues scheduled to be delisted;

5. The investment alert issues and the investment risk issues; and (Amended on February 27, 2025)

6. The issue of which the trading has been suspended because of falling under the causes noted in [§38(2)] of the Listing Regulation.

(2) "Issues stipulated in the Enforcement Rules" in [§43(2)3] of the Regulation shall refer to any of the following subparagraphs: [March 16, 2026]

1. Administrative issues; [March 16, 2026]

2. Issues of which trading is suspended due to the occurrence of causes for delisting pursuant to [§85-10(1)] or [§84-17(1)] of the KOSDAQ Market Listing Regulations; or [March 16, 2026]

3. Issues scheduled to be delisted [March 16, 2026]

§44-2. [Deleted on February 27, 2025]

[September 19, 2017]

§45. [Deleted on February 27, 2025]

§46. [Deleted on February 27, 2025]

§47. [Deleted on February 27, 2025]

§47-2. [Deleted on September 19, 2017]

§47-3. [Deleted on February 27, 2025]

[November 9, 2010]

§47-4. [Deleted on February 27, 2025]

[November 9, 2010]

§48. [Deleted on February 27, 2025]

§48-2. [Deleted on February 27, 2025]

[May 16, 2005]

§49. [Deleted on February 27, 2025]

§50. [Deleted on February 3, 2009]

§51. Notification of Brokerage Commission Rate

“The period stipulated in the Enforcement Rules” mentioned in [§49(2)] of the Regulation shall mean the notification within five (5) trading days from the effective date of the guideline. (Amended on May 16, 2005; February 3, 2009)

CHAPTER VI. MARKET MANAGEMENT

§52. Publication of Expected Matching Prices, etc. during Call Auctions

(1) Pursuant to [§50(1)5] of the Regulation, the Exchange shall publish the details of quotation information specified in each of the following subparagraphs: (Amended on February 3, 2009; July 29, 2010)

1. During the quotation receiving hours for call auction, the three (3) successive expected best quotation prices and quantities per bid and offer, respectively, including the expected matching price, expected matching quantity and expected best bid and offer quotations and the quotation quantities at such prices;

2. During the quotation receiving hours for continuous call auction, ten (10) successive best quotation prices per bid and offer, respectively, including the best expected bid and offer quotations, the quotation quantities at such prices and the aggregated quantity of such quotations; and

- 2-2. During the quotation receiving hours for continuous auction, mid-price and the quantity of mid-price quotation. In this case, such price and quantity shall be announced separately from the price and quantity announced in accordance with subparagraph 2, but if the input of mid-price quotation is restricted, it shall not be announced. [February 27, 2025]

3. In cases where there is a quotation with unexecuted quantity on either bid or ask side during the quotation receiving hours for regular session auction-based block trade, the

side where there is the quotation with unexecuted quantity.

(2) The expected matching prices, etc. that are made public pursuant to paragraph (1) shall be calculated according to each of the following methods: (Amended on February 3, 2009; June 12, 2013; September 13, 2013; July 13, 2022)

1. Expected matching price and expected matching quantity: Of the quotations received by the relevant time, the price and quantity of quotations that are expected to match in accordance with [§18(3) through (6)] of the Regulation; and

2. Prices and quantities of three (3) successive expected best quotations, including the price of expected best quotation: The prices of three (3) successive expected best quotations, including the price of expected best quotation per bid and offer, and the quantities at such prices. In such cases, when it is possible to establish the expected matching price pursuant paragraph (1), it shall be based on the best quotation for the case where such trade has been executed.

3. Notwithstanding subparagraphs 1 and 2, the Exchange may determine the calculation method and cycle of the expected execution price, etc. differently in case of excessive quotations, system failure, and other cases that it deems necessary for market management.

(3) The expected matching prices, etc. that are made public pursuant to paragraphs (1) and (2) shall be published during the quotation receiving hours for call auction. Provided that, during the quotation receiving hours for the determination of opening price, it shall be made public after twenty (20) minutes has elapsed from the beginning of the quotation receiving hours. (Amended on February 3, 2009; February 27, 2025)

(4) [Deleted on February 28, 2014]

(5) Pursuant to [§50(4)] of the Regulation, the publication of market prices related to the trading of listed issues shall be disclosed through the disclosure medium. (Amended on February 3, 2009)

(6) Pursuant to [§50(4)] of the Regulation, the Exchange may make public any of the following subparagraphs for investors' reference: (Amended on December 23, 2005; August 16, 2007; February 3, 2009; July 29, 2010; June 12, 2013; September 13, 2013; June 24, 2014; June 21, 2016)

1. [Deleted on August 16, 2007]

2. The top twenty (20) issues in terms of daily turnover ratio;

3. The issues traded by way of the regular session block trade or off-hours block trade;

3-2. The issues traded by way of regular session auction-based block trade or off-hours

auction-based block trade;

3-3. The issues traded by way of regular session basket trade or off-hours basket trade;

3-4. [Deleted on September 13, 2013]

4. The treasury stocks traded by the listed companies (including trading of treasury stocks under trust contract);

5. The matters to be disclosed with respect to net holding balance prescribed in Article 180-3 of the Act;

6. Details of the net holding balance aggregated by issue, which was reported to the Exchange pursuant to Article 180-2 of the Act; and

7. Additionally, the issues that the Exchange deems them useful for making the investment decision.

(7) Notwithstanding paragraph (1), when it is deemed necessary for the market management, the Exchange may differently determine the details of market prices published. (Amended on February 3, 2009)

§52-2. Methods of Reporting of Accounts for Algorithmic Trades

The reporting of algorithmic trading accounts by members pursuant to [§50-2(2)] of the Regulation shall be carried out by inputting a report prepared in accordance with [Annex: Form No. 19] into the KOSDAQ system via the member computer systems by 18:00 hours.

[June 21, 2016]

§52-3. Methods of requesting for Quotation Handling by Account, etc.

(1) The request for quotation handling by account by members pursuant to [§50-2(3)] of the Regulation shall be carried out by the way of entering the matters noted in each of the following subparagraphs into the KOSDAQ system via the member computer systems or the member securities terminals.

1. Algorithmic trading account number (limited to the account that was reported as an algorithmic trading account no later than the day before the date of request);

2. Types and details of the quotation handling by account. In such cases, the details shall be classified as follows:

(a) In the case of [§50-2(3)1] of the Regulation: Cancellation of all quotations received in the regular session; and

(b) In the case of [§50-2(3)2] of the Regulation: Blocking the receipt of additional new quotations, correction quotations and cancellation quotations (excluding cancellation quotations in the case of the off-hours session).

3. Other matters that the Exchange deems necessary.

(2) The Exchange shall perform the quotation handling by account after verifying the matters noted in each of the subparagraphs at the request of members pursuant to paragraph (1).

(3) Any member who has requested for the quotation handling by account may request for the release from such handling from the time when ten (10) minutes have elapsed since the request for the quotation handling by account by the methods specified in paragraph (1), and, in cases where the member does not request for the release, the Exchange may release the quotation handling by account at the closing time of off-hours sessions after the market close of the day. (Amended on February 28, 2017)

(4) Notwithstanding paragraphs (1) and (3), the Exchange may, in the case of system failures and other cases that are deemed necessary for the market management, refuse a member's request for the quotation handling by account or request for release from such handling.

(5) When a member has requested for the quotation handling by account, the member shall keep the records and materials related thereto, including the details of system failures, etc., for ten (10) years.

[June 21, 2016]

§52-4. Registration of High-speed Algorithmic Trader, etc.

(1) Registration or reporting pursuant to [§50-3(1) and (2)] of the Regulation shall be made by a member's inputting all matters in each of the following subparagraphs through member system. Provided that, in the case where a member reports itself as a high-speed algorithmic trader, matters in subparagraphs 1 and 4 shall be excluded:

1. Matters concerning the fulfilment of the requirement in each subparagraph of [§50-3(1)] of the Regulation;

2. Information about a customer or member as information that can identify the subject of registration, such as name or trade name;
3. Application for registration in accordance with [Annex Form 24];
4. Confirmation on inspection of registration information, etc. in accordance with [Annex Form 25]; and
5. Other matters that the Exchange deems necessary.

(2) In case where there is a change in the matters registered or reported pursuant to paragraph (1), the member shall input the changed matter through the member securities terminal without delay.

(3) The “requirements specified in the Enforcement Rules” in [§50-3(1)3] of the Regulation shall refer to all of the following subparagraphs:

1. The customer shall have a management system such as an internal control organization and two (2) or more of professional personnel in order to efficiently manage risks that may arise from high-speed algorithmic trading. Provided that, with regard to the risks that occurs from high-speed algorithmic trading, any of the following items shall be deemed to meet the relevant requirement:

(a) When a member directly conducts risk management, and

(b) Where a member judges that the customer can recognize, evaluate, monitor, and control risks in a timely manner.

2. Other matters that the Exchange deems necessary for market management, etc.

(4) When a member registers or reports itself as a high-speed algorithmic trader pursuant to paragraph (1), the Exchange shall process it without delay. In such case, the Exchange may ask the member to supplement if there is a defect in the registration or report.

(5) The Exchange shall issue a trader registration number that can be commonly used in the KOSPI market, KOSDAQ market, KONEX market, and derivatives market for each high-speed algorithmic trader who has completed registration and reporting. In such case, the high-speed algorithmic trader can set the risk management number (referring to the two (2) digit number set by the high-speed algorithmic trader to distinguish the range for applying the self-match prevention condition pursuant to [§18-3] and the mass order cancellation pursuant to [§18-4]; the same hereinafter) to the relevant registration number.

(6) In the case of reporting a high-speed algorithmic trade account pursuant to [§50-3(3)] of

the Regulation, a member shall report the relevant account to the high-speed algorithmic trade number through the member system.

(7) The “case specified in the Enforcement Rules” in [§50-3(5)3] of the Regulation shall refer to each of the following subparagraphs:

1. Where a customer takes out the ordering system from the member computer center, etc.; or
2. Where the Exchange recognizes that it is necessary for investor protection or the stability of trading order in the market and notifies it to the member.

(8) In case where all members that have received orders from a high-speed algorithmic trader cease to receive the orders pursuant to [§50-3(3)] of the Regulation, the Exchange may cancel the registration of the high-speed algorithmic trader of the relevant customer.

[December 21, 2022]

§52-5. Special Cases for Registration of High-speed Algorithmic Trader

(1) In the case where the registration or reporting of a high-speed algorithmic trader is completed in accordance with any of the regulations of the KOSDAQ market, KONEX market, or derivatives market operated by the Exchange, the registration and reporting are also deemed to have been completed in the KOSDAQ market.

(2) In the case where multiple customers of a member satisfy all of the following subparagraphs, the member can collectively register them as high-speed algorithmic traders. In such case, the Exchange may issue a single trader registration number that can be jointly used by the relevant customers to a specific customer:

1. The customer shall be an affiliated corporation (including a foreign corporation incorporated under foreign laws and regulations) of a specific customer;
2. The customer and the affiliated corporation shall use the same trade ordering system; and
3. The member shall verify whether the registration requirements stated in [§104-3(1)] of the Regulation are met for all of the multiple customers.

[December 22, 2022]

§52-6. High-speed Algorithmic Trading through Multiple Members

In case where a member intends to receive orders for high-speed algorithmic trading from a customer who has completed the registration as a high-speed algorithmic trader, the member shall apply for the right to use the trader registration number of the relevant customer to the Exchange. In such case, the latter part of [§50-3(1)] of the Regulation and [§52-4(1) (excluding subparagraph 3) through (4)] of these Enforcement Rules shall apply mutatis mutandis to the relevant application.

[December 21, 2022]

§52-7. Member's Obligation to Manage High-speed Algorithmic Trading

(1) Pursuant to [§50-4(1)] of the Regulation, a member shall inspect electronic system in order to verify whether the electronic systems including ordering system, etc. used by a customer has sufficient stability and adequacy to carry out high-speed algorithmic trading as specified in each of the following subparagraphs:

1. Matters concerning inspection of electronic system, etc. related to the registration stated in [§50-3] of the Regulation; A member shall prepare the standards and procedures for electronic system inspection, conduct the inspection of the electronic system thoroughly through the linkage tests with trade ordering system by the customer before applying for the registration, and file the results with the Exchange;
2. Matters concerning regular inspection: A member shall inspect the connection with the customer's electronic system on a regular basis every year. Provided that, if the member conducted the inspection on a timely basis due to the change of electronic system, etc. during the relevant year, it shall be deemed that the inspection pursuant to the main clause is completed and
3. Other matters that the Exchange deems necessary for the stable operation of the electronic system, etc.

(2) Pursuant to [§50-4(1)] of the Regulation, a member shall establish appropriate internal control mechanism for the management of risks and the prevention of financial accidents related to the high-speed algorithmic trading of customers as specified in each of following subparagraphs:

1. Matters concerning the granting of order limits: A member shall grant an appropriate order limit by evaluating the financial stability, credit rating, etc. and check the adequacy of the relevant limit on the regular basis;
2. Matters concerning the monitoring of trades: A member shall monitor and supervise

whether a customer complies with relevant regulations and internal control standards through the monitoring of high-speed algorithmic trading; and

3. Matters concerning the response to accidents and failures: A member shall prepare appropriate control and response system including manuals to effectively cope with accidents or failures related to high-speed algorithmic trading of customers and minimize damage.

(3) With respect to the request for submitting materials pursuant to [§50-4(2)] of the Regulation, A member shall record and maintain the following materials for ten (10) years and submit them if the Exchange requests for the market management, etc.

1. Materials on the registration of high-speed algorithmic traders and their trades; and
2. Results of inspection and supervision conducted pursuant to paragraphs (1) and (2) and related materials.

[December 21, 2022]

§53. Date of Action for Ex-dividends, etc.

(1) The date of action for ex-dividends, ex-rights or ex-distribution, etc. pursuant to [§51] of the Regulation shall be each of the following dates: (Amended on February 3, 2009)

1. It shall be, except the cases mentioned in subparagraph 2, the day before the record date. Provided that, if the record date is a market holiday or in the middle of the closing period of the shareholder register, the record date shall be deemed the trading day immediately preceding the first day of market holidays or the commencement date of closing of the shareholder register; and
2. It shall be the day on which trading halt is called off if the record date falls in the middle of the trading halt (excluding the first day of trading halt).

(2) Notwithstanding paragraph (1), when it is deemed necessary for the market management, the Exchange may determine the action date differently. (Amended on February 3, 2009)

§54. [Deleted on August 16, 2007]

§55. [Deleted on August 16, 2007]

§56. Public Opinion Gathering

Public opinion gathering pursuant to [§55-2] of the Regulation shall be governed by the provisions of [§5] of the Internal Regulations Management Regulation and [§6] of the Regulations Management Regulation.

ADDENDA

(January 24, 2005)

§1. Effective Date

These Enforcement Rules shall become effective on the date when the Exchange is incorporated. Provided that [§19] through [§22] shall become effective on the date when the Exchange determines.

§2. Abolition of Previous Enforcement Rules and Interim Measures Thereafter

Beginning with the date when these Enforcement Rules became effective, the Enforcement Rules of the Regulation on KOSDAQ Market Business of the KSDA shall be abolished on the date when these Enforcement Rules became effective. Provided that the relevant provisions of the Enforcement Rules of the Regulation on KOSDAQ Market Business of the KSDA shall apply to the call auction until the effective date of provisions specified in the proviso of [§1] of Addendum.

§3. Interim Measures for Trading, etc.

The trading, suspension of trading, trade settlement, etc. conducted and implemented pursuant to the Regulation on KOSDAQ Market Business of the KSDA before the effective date of these Enforcement Rules shall be construed as those conducted pursuant to these Enforcement Rules.

§4. Interim Measures for Opening the Trading Account, etc.

Opening of trading account, notification of the guidelines for collection of customer margin, designation of substitute securities and calculation of substitute price, etc. pursuant to the Regulation on KOSDAQ Market Business of the KSDA before the effective date of these Enforcement Rules shall be construed as those accomplished pursuant to these Enforcement Rules.

§5. Interim Measures for Agreement on Use of Market Information

The agreement for the use of market information, which was entered into pursuant to the Regulation on KOSDAQ Market Business of the KSDA before the effective date of these

Enforcement Rules, shall be construed as those entered into pursuant to these Enforcement Rules.

§6. Example of Application to the Stocks of Securities Investment Companies and Beneficiary Certificates of Securities Investment Trust Companies

In applying these Enforcement Rules, the stocks of securities investment companies and beneficiary certificates of securities investment trust companies that were issued pursuant to the abolished Securities Investment Company Act and the Securities Investment Trust Business Act shall be construed as those issued pursuant to the Act on Business of Operating Indirect Investment Assets.

§7. Interim Measures for Surveillance Issues

The issues designated as surveillance issue, before the effective date of these Enforcement Rules, pursuant to the Regulation on KOSDAQ Market Business of the KSDA shall be construed as the issues designated as abnormally rising issue pursuant to these Enforcement Rules.

ADDENDA (March 25, 2005)

§1. Effective Date

These Enforcement Rules shall become effective on March 28, 2005.

§2. Interim Measures for Designation as Abnormally Rising Issues

In the case of the issues that fell under the criteria for the designation as abnormally rising issue pursuant to the provisions before the effective date of these Enforcement Rules shall be construed that they came under the criteria for the designation as abnormally rising issue pursuant to these Enforcement Rules.

ADDENDUM (May 16, 2005)

These Enforcement Rules shall become effective on May 30, 2005.

ADDENDA (June 28, 2005)

§1. Effective Date

These Enforcement Rules shall become effective on July 18, 2005. Provided that [§7(1)7, matters related to limit-to-market-on-close quotation in [§8]], [§8-2], [§13(3)2&3], [§37-2/2-2] and [§40/5] shall become effective on October 24, 2005.

§2. Effective Date of the KOSDAQ Market Business Regulation

Pursuant to the proviso to the Addendum of Regulation No. 87, the KOSDAQ Market Business Regulation (amended on May 13, 2005), [§7-2], [§9] through [§9-3] and [§43] of the Regulation shall become effective on July 18, 2005, and [§2(6)5] on October 24, 2005.

ADDENDUM (September 27, 2005)

These Enforcement Rules shall become effective on September 28, 2005.

ADDENDA (October 14, 2005)

§1. Effective Date

These Enforcement Rules shall become effective on November 7, 2005.

§2. Interim Measures for Guidelines for Calculation of Base Price for the First Trading

Listed shares for which the base price has not yet been established at the time of effective date of these Enforcement Rules shall be construed that they are listed on the effective date of these Enforcement Rules. In such cases, in the case of the issues for which the trading has been suspended, it shall be construed that they are listed on the day the trading is resumed.

§3. Interim Measures for Program Trading

The trade that falls under the program trading pursuant to the previous Enforcement Rules shall be construed as the program trading, even after these Enforcement Rules became effective, until the futures or options contracts pursuant to the previous Enforcement Rules are delisted.

ADDENDA (December 23, 2005)

§1. Effective Date

These Enforcement Rules shall become effective on April 24, 2006. Provided that [§10(3) & (4)] shall become effective on January 16, 2006.

§2. Effective Date of the KOSDAQ Market Business Regulation

Pursuant to the Addendum of Regulation No. 122, the KOSDAQ Market Business Regulation (amended on November 25, 2005), the amended provisions of the KOSDAQ Market Business Regulation shall become effective on April 24, 2006.

ADDENDA (July 7, 2006)

§1. Effective Date

These Enforcement Rules shall become effective on July 10, 2006. Provided that the amended provision of [§15(1) through (3)] and [§30(1)3 & (2)] shall become effective on August 28, 2006 and the amended provision of [§33(3) & (4)] on September 11, 2006.

§2. Interim Measures for Trading Suspension of Preferred Shares, etc.

In applying the amended provisions of [§30(1)3], the issues for which trading suspension was lifted pursuant to the previous provisions before the effective date of these Enforcement Rules shall not be considered as the issues for which trading suspension was lifted pursuant to this amended provisions.

§3. Example of Application of Criteria for Release from Designation as Abnormally Rising Issue

In applying amended provisions of [§55(2)], for the issues, which have already been designated as abnormally rising issue as of the effective date of these Enforcement Rules, the criteria for release from such designation shall apply while regarding that they were designated as such on the effective date of these Enforcement Rules.

ADDENDUM (September 8, 2006)

These Enforcement Rules shall become effective on October 30, 2006. Provided that the amended provisions of [§9(3)] shall be effective on September 11, 2006.

ADDENDA
(June 1, 2007)

§1. Effective Date

These Enforcement Rules shall become effective on June 8, 2007. Provided that the amended provisions of [§19 and §48] shall become effective on August 6, 2007.

§2. Exception in Application of Assessment Ratio of Substitute Securities

The amended provisions of [§48] shall become effective starting with the issue to which the base price for the first trading day is applied for the first time when these Enforcement Rules became effective.

ADDENDUM
(August 16, 2007)

These Enforcement Rules shall become effective on August 17, 2007. Provided that the amended provisions of [§30], [§44], [§52], [§54] and [§55] shall become effective on September 3, 2007, and the amended provisions of [§7], [§7-2], [§8-4] and [§24(2)] shall become effective on September 17, 2007.

ADDENDUM
(December 4, 2007)

These Enforcement Rules shall become effective on January 14, 2008. Provided that the assessment of liquidity supplying members and the publication of the result thereafter pursuant to the amended provisions of [§12-9] shall begin from the 2nd quarter of 2008, and the amended provisions of [§44], [Annex 1] and [Annex 2] shall become effective on January 1, 2008.

ADDENDUM
(December 27, 2007)

These Enforcement Rules shall become effective on January 2, 2008.

ADDENDUM
(May 14, 2008)

These Enforcement Rules shall become effective on June 23, 2008.

ADDENDA
(September 30, 2008)

§1. Effective Date

These Enforcement Rules shall become effective on October 1, 2008.

§2. Interim Application

The amended provision of [§8-3(8)4] shall apply until October 10, 2008.

ADDENDUM
(November 28, 2008)

These Enforcement Rules shall become effective on December 1, 2008.

ADDENDUM
(January 16, 2009)

These Enforcement Rules shall become effective on February 4, 2009.

ADDENDA
(February 3, 2009)

§1. Effective Date

These Enforcement Rules shall become effective on February 4, 2009. Provided that the amended provisions of [§9 and §9-3] shall become effective on March 23, 2009

§2. Effective Date of KOSDAQ Market Business Regulation

“The date stipulated in the Enforcement Rules” in the Addendum of the KOSDAQ Market Business Regulation dated January 28, 2009 shall refer to March 23, 2009.

§3. Example of Application of Provisions Concerning the Covered Short Sale

Notwithstanding the amended provisions of [§8-3], the [§8-3(7) through 9] of the former version of the Enforcement Rules shall apply until the termination of the restriction on the

covered short sale that was imposed pursuant to [§9-2(4)2] of the former version of the KOSDAQ Market Business Regulation.

ADDENDA
(February 20, 2009)

§1. Effective Date

These Enforcement Rules shall become effective on March 23, 2009. Provided that the amended provisions of [§36-6 and §36-11] shall become effective on May 4, 2009

§2. Interim Measures Relating to the Clearing and Settlement Staff

The person who has completed the clearing and settlement course conducted by the Exchange before the effective date of these Enforcement Rules shall be construed that they has completed the course pursuant to [§37] of these Enforcement Rules.

ADDENDUM
(March 12, 2009)

These Enforcement Rules shall become effective on March 16, 2009.

ADDENDUM
(March 19, 2009)

These Enforcement Rules shall become effective on March 23, 2009.

ADDENDA
(March 30, 2009)

§1. Effective Date

These Enforcement Rules shall become effective on April 6, 2009.

§2. Application of Provisions to the Existing Administrative Issues

These Enforcement Rules shall apply to the issues that had already been designated as administrative issue as of the effective date of these Enforcement Rules.

§3. Amendment of Other Regulation

Addendum of the Enforcement Rules of the KOSDAQ Market Listing Regulation (amended on February 3, 2009) shall be amended as follows:

“April 1, 2009” in the proviso shall deem to be “April 6, 2009”, and the latter part of the same proviso shall be amended as follows:

In such cases, the amended provisions of [§29(1)1] shall also apply to the issues that falls under the case noted in [§29(1)1] of the Regulation on April 3, 2009.

ADDENDUM (April 20, 2009)

These Enforcement Rules shall become effective on May 4, 2009.

ADDENDUM (July 1, 2009)

These Enforcement Rules shall become effective on July 6, 2009.

ADDENDUM (December 29, 2009)

These Enforcement Rules shall become effective on January 4, 2010.

ADDENDUM (January 14, 2010)

These Enforcement Rules shall become effective on January 18, 2010.

ADDENDUM (April 15, 2010)

These Enforcement Rules shall become effective on April 19, 2010.

ADDENDUM (April 22, 2010)

These Enforcement Rules shall become effective on July 5, 2010.

ADDENDUM

(July 29, 2010)

These Enforcement Rules shall become effective on November 29, 2010. Provided that the amended provisions of [§17 and §18] and amended provisions of [Annex 1] shall become effective on October 4, 2010.

ADDENDUM

(October 19, 2010)

These Enforcement Rules shall become effective on November 29, 2010

ADDENDA

(November 9, 2010)

§1. Effective Date

These Enforcement Rules shall become effective on November 29, 2010

§2. Exception to Assessment Ratio of Substitute Security

When applying these Enforcement Rules, the provisions of [§47-3] and [§47-4] shall apply *mutatis mutandis* to the determination of assessment ratio of substitute security for the quarter to which the effective date belong.

ADDENDUM

(December 30, 2010)

These Enforcement Rules shall become effective on February 28, 2011. Provided that the amended provisions of [§6(1)2(a)] shall be put into effect on May 30, 2011.

ADDENDUM

(January 26, 2011)

These Enforcement Rules shall become effective on May 30, 2011.

ADDENDA
(March 3, 2011)

§1. Effective Date

These Enforcement Rules shall become effective on May 2, 2011. Provided that the amended provisions of [§12-6] shall be put into effect on May 30, 2011

§2. Effective Date of KOSDAQ Market Business Regulation

The “date specified in the Enforcement Rules” noted in Addendum of the KOSDAQ Market Business Regulation dated on March 2, 2011 shall refer to May 2, 2011.

ADDENDUM
(July 8, 2011)

These Enforcement Rules shall become effective on July 25, 2011

ADDENDA
(December 28, 2011)

§1. Effective Date

These Enforcement Rules shall become effective on April 2, 2012. Provided that the amended provision of [§8-3], [§8-4] and [§18] and [Annex: Form No. 6] shall be put into effect on December 29, 2011.

§2. Effective Date of KOSDAQ Market Business Regulation

“The date stipulated in the Enforcement Rules” noted in the proviso of Addendum of KOSDAQ Market Business Regulation (dated on July 6, 2011) shall refer to the date according to each of the following subparagraphs:

1. The provision of [§9(7)] of the KOSDAQ Market Business Regulation: December 29, 2011; and
2. The provisions of [§7-3], [§39], [§39-2] and [§52-2] of the KOSDAQ Market Business Regulation: April 2, 2012.

ADDENDA
(December 30, 2011)

§1. Effective Date

These Enforcement Rules shall become effective on January 16, 2012.

§2. Exception in Delivery of Settlement Delay Loss

Initially, the amended provisions of [§38-15(6)1] shall apply by aggregating the amount of settlement delay loss of the month to which the effective date of these Enforcement Rules belong and the amount of settlement delay loss of the next month.

ADDENDUM
(March 8, 2012)

These Enforcement Rules shall become effective on March 12, 2012. Provided that the amended provisions of [§8-3] shall be put into effect March 9, 2012.

ADDENDA
(April 20, 2012)

§1. Effective Date

These Enforcement Rules shall become effective on April 23, 2012. Provided that the amended provisions (“two times”) related to non-recognition of special quotation price noted in [§2-8] shall be put into effect July 23, 2012.

§2. Exception in Calculation of Split Ratio of Net Asset

The amended provisions of the proviso to item A(1)(c) of paragraph (2)2 of [Annex 1] shall not apply to the case where the listed company with total asset less than KRW 2 trillion at the end of latest fiscal year, which is subject to preparation of consolidated financial statement, does not submit the quarterly and semi-annual business reports and the audit report thereon from the effective date of these Enforcement Rules until the end of the first fiscal year that begins after January 1, 2012.

ADDENDUM

(June 22, 2012)

These Enforcement Rules shall become effective on July 16, 2012.

ADDENDUM

(September 24, 2012)

These Enforcement Rules shall become effective on October 30, 2012. Provided that the amended provisions of [§7(1)14 and §7-2(1)1-2] shall be put into effect on December 10, 2012.

ADDENDA

(October 26, 2012)

§1. Effective Date

These Enforcement Rules shall become effective on November 5, 2012.

§2. Effective Date of the KOSDAQ Market Business Regulation

The “date specified in the Enforcement Rules” noted in Addendum (October 17, 2012) of the KOSDAQ Market Business Regulation shall refer to November 5, 2012.

ADDENDA

(March 25, 2013)

§1. Effective Date

These Enforcement Rules shall become effective on April 1, 2013.

§2. Effective Date of the KOSDAQ Market Business Regulation

With regard to the amended provisions of [§2(15), (17) & (18), §4(1)2, §9-2(1), §9-3(2), §12-2(1), §12-4(1) & (2), §12-5(2) & (3), §14(1), §19-2(1), §19(3)1, §21-2(1), §25(1) & (2) and §43(2)] of the KOSDAQ Market Business Regulation, the “date specified in the Enforcement Rules” noted in Addendum (February 22, 2013) shall refer to April 1, 2013.

ADDENDA
(April 26, 2013)

§1. Effective Date

These Enforcement Rules shall become effective on April 29, 2013.

§2. Exception in Applying Provisions on Quantity of Bid Order for Treasury Stocks

In applying the amended provisions of [§10(1)2], in the case of an issue for which the period of acquisition or disposal of treasury stock is not over when these Enforcement Rules is put into effect, the previous version of Enforcement Rules shall apply thereto until the end of acquisition or disposal period.

§3. Exception in Applying Provisions on Release from Designation as Temporary Overheated Issue

In applying the amended provision of [§28-4(2)], in the case of the issue that is subject to the previous version of these Enforcement Rules because it has been designated as temporary overheated issue when these Enforcement Rules is put into effect, the relevant issue shall be released from the designation on the trading day following the effective date of these Enforcement Rules.

ADDENDA
(June 12, 2013)

§1. Effective Date

These Enforcement Rules shall become effective on July 1, 2013.

§2. Effective Date of KOSDAQ Market Business Regulation

With regard to the amended provisions of [§2(6), (20) & (21); §4(1)1-2; §4(2)3; Chapter III-2 ([§27-2] through [§27-23]); [§34(1)]; [§40(3) & (4)]; [§42-2]; [§44-2] and [§55] of the KOSDAQ Market Business Regulation, the “date specified in the Enforcement Rules” noted in [§1] of Addenda dated February 22, 2013 shall refer to July 1, 2013.

ADDENDUM
(September 13, 2013)

These Enforcement Rules shall become effective on September 17, 2013.

ADDENDA
(December 18, 2013)

§1. Effective Date

These Enforcement Rules shall become effective on January 2, 2014. Provided that the amended provisions of [§7(1)24] and [§41(4)2] shall be put into effect on the day stipulated in the Enforcement Rules taking into account the period necessary for the development of the computer program.

§2. Exception in Applying Provisions on Special Case of Charging Good Faith Depot

In applying amended provisions of [§43-2], “the last 6 month” is based on the day where a customer failed to deliver selling securities after the effective date of these Enforcement Rules.

ADDENDUM
(February 28, 2014)

These Enforcement Rules shall become effective on March 3, 2014.

ADDENDUM
(May 23, 2014)

These Enforcement Rules shall become effective on May 23, 2014.

ADDENDUM
(June 16, 2014)

These Enforcement Rules shall become effective on June 17, 2014.

ADDENDUM
(June 18, 2014)

These Enforcement Rules shall become effective on June 30, 2014.

ADDENDA
(June 24, 2014)

§1. Effective Date

These Enforcement Rules shall become effective on the day that the Exchange separately sets by taking into account the period necessary for the development of the computer programs.

§2. Effective Date of KOSDAQ Market Business Regulation

“The date specified in the Enforcement Rules” in Proviso of Addenda of the KOSDAQ Market Business Regulation amended on June 18, 2014 shall refer to the enforcement date pursuant to [§1].

ADDENDUM
(September 30, 2014)

These Enforcement Rules shall become effective on October 6, 2014.

ADDENDA
(October 17, 2014)

§1. Effective Date

These Enforcement Rules shall become effective on the day stipulated in the Enforcement Rules taking into account the period necessary for the development of the computer program.

§2. Enforcement Date of the KOSDAQ Market Business Regulation

The “date determined in the Enforcement Rules” in proviso of Addendum of the KOSDAQ Market Business Regulation (amended on October 1, 2014) in the Regulation No. 1093 shall refer to the date in [§1]

ADDENDUM
(November 13, 2014)

These Enforcement Rules shall become effective on January 1, 2015.

ADDENDUM
(December 1, 2014)

These Enforcement Rules shall become effective on December 15, 2014.

ADDENDA
(May 19, 2015)

§1. Effective Date

(1) These Enforcement Rules shall become effective on June 15, 2015. Provided that, in cases where it is deemed necessary for the market management due to sudden change of the economic situation, etc., they shall become effective on the date the Exchange specifies separately.

(2) Notwithstanding paragraph (1), the amended provisions of [§10] shall become effective on the enforcement date of the amended provisions on the price range for placing bids specified in [§5-5(1)(a)&(b)] of the Regulation on Issuance, Public Disclosure, etc. of Securities of the Financial Services Commission.

§2. Enforcement Date, etc. of the KOSDAQ Market Business Regulation

“The date specified by the Enforcement Rules” in Addenda of KOSDAQ Market Business Regulation (amended on April 29, 2015) shall refer to the enforcement date pursuant to [§1(1)] of the Addenda. Provided that the enforcement date of the amended provisions of [§10] of the KOSDAQ Market Business Regulation (amended on April 29, 2015) shall refer to the enforcement date falling under [§1(2)] of the Addenda.

§3. Exception to Applying Provisions on Designation as Substitute Securities

The amended provisions of [§44] shall apply to the issue that was designated as an investment alert issue first since its enforcement date.

ADDENDA
(June 30, 2015)

§1. Effective Date

These Enforcement Rules shall become effective on July 1, 2015.

§2. Exceptions in Applying the Calculation of Assessment Ratios

The amended provisions of [§47] through [§47-3] shall apply starting with the calculation of assessment ratios for the quarter to which the effective date belongs

ADDENDA
(August 20, 2015)

§1. Effective Date

These Enforcement Rules shall become effective on October 1, 2015.

§2. Exceptions for Won Currency Current Ratios

For the won currency current ratio pursuant to the amended provisions of [§36-5], the ratios stipulated in [§3] of Addenda of the Regulation on Supervision of Banking Business (FSC 2014-43) shall apply until the end of December 2018.

ADDENDA
(October 27, 2015)

§1. Effective Date

These Enforcement Rules shall become effective on November 23, 2015.

§2. Exceptions in Applying the Calculation of Assessment Ratios of Substitute Securities

The amended provisions of [§47] and [§47-3] shall apply starting with the substitute security for which the assessment ratio is calculated first since the enforcement date of these Enforcement Rules.

ADDENDUM
(November 19, 2015)

These Enforcement Rules shall become effective on November 23, 2015.

ADDENDA
(December 10, 2015)

§1. Effective Date

These Enforcement Rules shall become effective on the day that the Exchange separately sets by taking into account the period necessary for the development of the computer programs.

§2. Effective Date of KOSDAQ Market Business Regulation

With regard to the amended provisions of [§23-2] and [§25] of the KOSDAQ Market Business Regulation, the “date specified in the Enforcement Rules” in Addenda of the Regulation amended on November 4, 2015 shall refer to December 14, 2015.

§3. Exceptions in Applying Provisions on Designation of Temporary Overheated Issues, etc.

(1) Notwithstanding [§23-2(1)2] of the former version of the Regulation, the issues that were requested to be suspended from trading by the Market Oversight Commission on the trading day immediately preceding the enforcement date specified in [§2] of this Addenda shall not be designated as temporary overheated issues.

(2) The amended provisions of [§28-4] shall apply starting with the temporary overheated issue that is designated first after the enforcement date of these Enforcement Rules.

§4. Interim Measures for Trading Suspension of Investment Risk Issues, etc.

For the issues that were designated as temporary overheated issues as of the trading day immediately preceding the enforcement date specified in [§2] of this Addenda, the suspension of trading pursuant to [§25(1)5-2] of the former version of the Regulation may not apply.

ADDENDUM (March 23, 2016)

These Enforcement Rules shall become effective on March 28, 2016.

ADDENDA (March 25, 2016)

§1. Effective Date

These Enforcement Rules shall become effective on March 28, 2016. Provided that the amended provisions of [§28-5], [§28-7] and [§3 of Annex 5] shall become effective on the date determined by the Exchange separately by taking into consideration the time required to develop computer system, etc.

§2. Effective Date of the KOSDAQ Market Business Regulation, etc.

The “date stipulated in the Enforcement Rules” in Addenda of the Regulation (No.1247, amended on November 4, 2015) shall refer to the date specified in each of the followings:

1. For the amended provisions of [§9-3] and [§12-7] through [§12-9] of the Regulation, March 28, 2016; and

2. For the amended provisions of [§23-4] of the Regulation, the effective date as stipulated in the proviso to [§1] of this Addenda.

§3. Exception to the Term of Market Making Agreement

Notwithstanding the amended provisions of [§12-14(3)], the effective period of the market making agreement that is entered into for the first time after the effective date of these Enforcement Rules shall be the period from the effective date noted in the main body of [§1] of this Addenda to the last trading day of the year to which the effective date belongs.

§4. Interim Measures related to Market Makers

Based on the effective date of these Enforcement Rules, selection of issues for market making, reception of applications for market makers, conclusion of market making agreements and other actions taken by the Exchange beforehand with respect to market makers for the purpose of implementation of the market maker system shall be deemed to have been conducted in accordance with the amended provisions.

§5. Exception to the Effective Period of Low Liquidity Issue subject to Call Auction

Notwithstanding the amended provision of [§3 of Annex 5], the effective period of the low liquidity issue subject to call auction that was selected for the first time after the effective date of this Enforcement shall be the period from the effective date noted in the proviso to [§1] of this Addenda to the last trading day of the year to which the effective date belongs.

§6. Interim Measures related to the Selection of Low Liquidity Issue subject to Call Auction, etc.

Notwithstanding the effective dates noted in the proviso to [§1] and [§2(2)] of this Addenda, selection of low liquidity issues for call auction and other actions taken by the Exchange beforehand for the purpose of changing the trading method of the low liquidity issues into the call auction shall be deemed to have been conducted in accordance with the amended provisions.

ADDENDUM (April 22, 2016)

These Enforcement Rules shall become effective on April 25, 2016.

ADDENDUM

(May 4, 2016)

These Enforcement Rules shall become effective on May 9, 2016.

ADDENDUM

(May 10, 2016)

These Enforcement Rules shall become effective on May 12, 2016.

ADDENDA

(June 21, 2016)

§1. Effective Date

These Enforcement Rules shall become effective on June 27, 2016. Provided that the amended provisions of [§52] shall become effective on June 30, 2016 and those of [§6] and [§33(3)] shall become effective on August 1, 2016.

§2. Effective Date of the KOSDAQ Market Business Regulation, etc.

Pursuant to the Addendum of the Regulation (No.1246, amended on November 4, 2015), the effective date of the amended provisions of [§27-2], [§34] and [§50-2] shall be the effective date specified in [§1] of this Addenda. Provided that the amended provisions of [§9] shall become effective on the date determined by the Exchange separately by taking into consideration the time required to develop the computer systems, etc.

ADDENDUM

(June 24, 2016)

These Enforcement Rules shall become effective on August 1, 2016.

ADDENDA

(February 28, 2017)

§1. Effective Date

These Enforcement Rules shall become effective on March 2, 2017. Provided that the amended provisions of item (d) of [§7(1)14], [§35-2], [§52-3], [Annex: Form No. 10-2] and [Annex: Form No. 19] shall become effective on March 6, 2017; those of [§8], [§25-2], [§28] and [§28-5] shall become effective on March 13, 2017; those of [§2], [§8-4], [§8-5],

[§12-14], [§12-20], [§30], paragraph 2 of [Annex 5], paragraph 3 of [Annex 5] and [Annex 6-5] shall become effective on March 27, 2017, and those of item (e) of [§7(1)14] shall become effective on the date determined by the Exchange separately by taking into consideration the time required to develop the computer systems, etc.

§2. Effective Date of the KOSDAQ Market Business Regulation, etc.

The “date stipulated in the Enforcement Rules” in the ADDENDA of the KOSDAQ Market Business Regulation (No.1409) shall refer to the date specified in each of the followings:

1. For the amended provisions of [§23] and [§25] of the Regulation; March 13, 2017; and
2. For the amended provisions of [§9-2] and [§9-4] of the Regulation; March 27, 2017.

§3. Exceptions in Applying Provisions on Assessment of Liquidity of SPACs

In applying the amended provisions of [Annex 5], in the case of a stock issued by a SPAC that is applied with the call auction as having been designated as the low liquidity issue subject to call auction pursuant to the previous version of these Enforcement Rules when these Enforcement Rules is put into effect, the relevant stock shall be released from such designation on the effective date of these Enforcement Rules and the call auction shall not apply thereto.

ADDENDA

(September 19, 2017 / Regulation No. 1486)

These Enforcement Rules shall become effective on September 25, 2017. Provided that the amended provisions of [§28-7] and paragraph (3) of [Annex 5] shall become effective on December 1, 2017, and those of paragraph (2)3 and paragraph (2)4 of the same Annex shall become effective on March 1, 2018 and April 1, 2018, respectively.

ADDENDA

(September 19, 2017 / Regulation No. 1490)

§1. Effective Date

These Enforcement Rules shall become effective on September 25, 2017.

§2. Exemptions to the Timing for Calculating and Applying Assessment Rates

Notwithstanding the amended provisions of [§47(4)], [§47-3(1)] and [§47-4] of these Enforcement Rules, the assessment rates of the quarter in which the effective date falls

shall be calculated on the day preceding the effective date and applied from the effective date to the end of the quarter following the quarter in which the effective date falls.

§3. Exceptions concerning Invalidation of Substitute Securities Ineligible for Member Margins

Notwithstanding the amended provisions of [§35-36(1)] of these Enforcement Rules, the substitute prices for the substitute securities ineligible for member margin shall be adjusted as follows:

1. The adjustment rate shall be 25% from the effective date of these Enforcement Rules to September 24, 2018; and
2. The adjustment rate shall be 50% from September 25, 2018 to September 24, 2019.

§4. Exceptions concerning Deposit Limits per Issue of Substitute Securities

Notwithstanding the amended provisions of [§35-37(1)] of these Enforcement Rules, the rates applied for calculation of deposit limits per issue of substitute securities shall be as follows:

1. In the case of subparagraph 1 of [§35-37(1)]: 100/100 from the effective date of these Enforcement Rules to September 24, 2018; and 75/100 from September 25, 2018 to September 24, 2019. Provided that, in the case of a security falling under subparagraph 1(b) of [§44-2], it shall be 200/100 and 150/100, respectively; and
2. In the case of subparagraphs 3 and 4 of [§35-37(1)]: 20/100 from the effective date of these Enforcement Rules to September 24, 2018; and 15/100 from September 25, 2018 to September 24, 2019.

ADDENDUM (January 2, 2018)

These Enforcement Rules shall become effective on January 15, 2018.

ADDENDUM (March 21, 2018)

These Enforcement Rules shall become effective on March 26, 2018. Provided that the amended provisions of [§8(1)] shall become effective on the date determined by the Exchange separately by taking into consideration the time required to develop the computer systems, etc.

ADDENDUM
(May 30, 2018)

These Enforcement Rules shall become effective on June 1, 2018.

ADDENDUM
(September 12, 2018)

These Enforcement Rules shall become effective on September 17, 2018.

ADDENDUM
(December 5, 2018)

These Enforcement Rules shall become effective on December 10, 2018.

ADDENDA
(December 7, 2018)

§1. Effective Date

These Enforcement Rules shall become effective on December 10, 2018.

§2. Effective Date of the KOSPI Market Business Regulation

The “date set by the Enforcement Rules” in Addendum of KOSDAQ Market Business Regulation (No.1602, amended on December 5, 2018) refers to the effective date under [§1] of this Addenda. Provided that the amended provisions of [§9-2], [§9-4] and [§42] of the Regulation shall take effect on the trading day following the effective date of the amendments to the related matters in [Table 1] of the General Credit Information Management Agreement of the Korea Credit Information Services.

§3. Exceptions in applying Provisions concerning Selection of Low Liquidity Issues subject to Call Auction, etc.

Notwithstanding [§1] of this Addenda, the amended provisions on low liquidity issues subject to call auction of [Annex 5] of these Enforcement Rules shall be effective on January 2, 2019. Provided that the activities carried out in advance by the Exchange in order to apply these Enforcement Rules on January 2, 2019, such as selection of low liquidity issues subject to call auction and others shall be deemed to be in compliance with the amended provisions.

ADDENDA
(December 27, 2018)

§1. Effective Date

These Enforcement Rules shall become effective on January 2, 2019. Provided that the amended provisions of [§9-5(4)] shall become effective on the trading day following the effective date of the amendments to the related matters in [Table 1] of the General Credit Information Management Agreement of the Korea Credit Information Services.

§2. Exceptions in applying Provisions of the KOSDAQ Market Business Regulation, etc.

(1) The amended provisions of [§9-2(4)] of the KOSDAQ Market Business Regulation (Regulation No. 1602, amended on December 5, 2018; referred to as “the Regulation hereinafter in this Addenda) shall apply starting with the case when the customer became aware of the fact that a short-selling has been made through the relevant account after the effective date under the proviso to [§1] of this Addenda.

(2) The amended provisions of [§9-4(3)] of the Regulation shall apply starting with the case when the customer information was notified from the Exchange after the effective date under the proviso to [§1] of this Addenda.

(3) The amended provisions of [§42(5)2] of the Regulation and [§9-5(4)] of the Enforcement Rules shall apply starting with the case where the settlement date comes after the effective date under the proviso to [§1] of this Addenda, and the customer has not delivered the securities sold by the settlement date.

ADDENDUM
(January 24, 2019)

These Enforcement Rules shall become effective on January 28, 2019.

ADDENDUM
(April 3, 2019)

These Enforcement Rules shall become effective on April 29, 2019.

ADDENDA
(July 11, 2019)

§1. Effective Date

These Enforcement Rules shall become effective on July 15, 2019. Provided that the amended provisions of [§7], [§8], subparagraph 6 of [§8-3], [§15], [§40] and [Annex: Form No. 5] shall become effective on September 23, 2019

§2. Effective Date of the KOSDAQ Market Business Regulation

The “date set by the Enforcement Rules” in the proviso to the ADDENDUM of the KOSDAQ Market Business Regulation, Regulation No. 1699 (amended on July 10, 2019), in the case of the amended provisions of [§13] of the Regulation, shall refer to September 23, 2019.

ADDENDA (July 22, 2019)

§1. Effective Date

These Enforcement Rules shall become effective on July 29, 2019.

§2. Effective Date of the KOSDAQ Market Business Regulation

The “date set by the Enforcement Rules” in the proviso to the ADDENDUM of the KOSDAQ Market Business Regulation, Regulation No. 1699 (amended on July 10, 2019), in the case of the amended provisions of [§28-3] of the Regulation concerning the restriction on deposit of member margins in the securities issued by members or related companies of members, shall refer to July 29, 2019.

ADDENDUM (September 10, 2019)

These Enforcement Rules shall become effective on September 10, 2019.

ADDENDA (November 27, 2019)

§1. Effective Date

These Enforcement Rules shall become effective on December 2, 2019. Provided that the amended provisions of [§35-33] shall take effect on July 1, 2020. (Amended on March 17, 2020; June 15, 2020)

§2. Effective Date of the KOSDAQ Market Business Regulation

“Date set by the Enforcement Rules” in the proviso to the ADDENDUM of the KOSDAQ Market Business Regulation, Regulation No. 1699 (amended on July 10, 2019), in the case of the amended provisions of [§28-8] and [§28-9] of the Regulation concerning imposition and release from imposition of additional intraday member margins, shall refer to December 2, 2019.

ADDENDUM
(November 28, 2019)

These Enforcement Rules shall become effective on January 2, 2020.

ADDENDUM
(March 9, 2020)

These Enforcement Rules shall become effective on March 9, 2020.

ADDENDUM
(March 17, 2020)

These Enforcement Rules shall become effective on March 18, 2020.

ADDENDUM
(March 25, 2020)

These Enforcement Rules shall become effective on March 27, 2020.

ADDENDA
(May 6, 2020)

§1. Effective Date

These Enforcement Rules shall become effective on May 8, 2020.

§2. Amendment of Other Regulation

(1) The new provisions of [§41] of the Enforcement Rules of KOSDAQ Market Listing Regulation stipulated below shall be established:

§41. Public opinion gathering

Public opinion gathering pursuant to [§50-2] of the Regulation shall be governed by the provisions of [§5] of the Internal Regulations Management Regulation and [§6] of the Regulations Management Regulation.

(2) The new provisions of [§24] of the Enforcement Rules of KOSDAQ Market Disclosure Regulation stipulated below shall be established:

§24. Public opinion gathering

Public opinion gathering pursuant to [§74-2] of the Regulation shall be governed by the provisions of [§5] of the Internal Regulations Management Regulation and [§6] of the Regulations Management Regulation.

ADDENDUM

(June 15, 2020)

These Enforcement Rules shall become effective on June 12, 2020.

ADDENDA

(September 21, 2020)

§1. Effective Date

These Enforcement Rules shall become effective on December 7, 2020. Provided that, the amended provisions of [§28-5], [§28-7], and [§28-8] shall take effect on September 28, 2020.

§2. Effective Date of the KOSDAQ Market Business Regulation

“Dates set by the Enforcement Rules” in the proviso to the ADDENDUM of the KOSDAQ Market Business Regulation, Regulation No. 1851 (amended on July 22, 2020), refer to the days stated in the following subparagraphs.

1. September 28, 2020 for the amended provisions in [§23-4]
2. December 7, 2020 for the amended provisions in [§23-2]

§3. Special Case of Selection of Different Classes of Stock Subject to Call Auction

Notwithstanding the amended provisions of [§28-8(2)], the number of different classes of listed stock affected by the Effective Date of these Enforcement Rules will be evaluated as of September 25, 2020. If the number of listed stocks is below 500,000, the issue will be

selected as a different classes of stock subject to call auction from the Effective Date of these Enforcement Rules to the end of the next quarter. In this case, it is deemed that September 25, 2020 is the date of the evaluation of the listed stocks on the last transaction date of the quarter where the Effective Date of these Enforcement Rules belongs.

ADDENDUM
(November 26, 2020)

These Enforcement Rules shall become effective on December 7, 2020.

ADDENDUM
(March 8, 2021)

These Enforcement Rules shall become effective on March 15, 2021.

ADDENDA
(March 12, 2021)

§1. Effective Date

These Enforcement Rules shall become effective on March 15, 2021.

§2. Interim Measures concerning Qualifications of Market Makers, Termination of Market Making Agreement and Selection Criteria for Market Making Target Issues, etc.

Notwithstanding the amended provisions of [§12-11(1)3 and 4, §12-14, Annex 5 and Annex 5-3], the previous provisions shall apply concerning the person who has entered into a market making agreement pursuant to the previous Regulation during the period in which the effective date of these Enforcement Rules falls.

§3. Interim Measures concerning Selection Criteria for Low Liquidity Issues Subject to Call Auction, etc.

Notwithstanding the amended provisions of [Annex 5(1)], in the case of the selection criteria for low liquidity issues subject to call auction in paragraph (3) of the same Annex, the previous provisions shall apply up to December 31, 2021.

ADDENDUM
(May 6, 2021)

These Enforcement Rules shall become effective on June 7, 2021.

ADDENDUM

(May 7, 2021)

These Enforcement Rules shall become effective on May 10, 2021.

ADDENDUM

(September 30, 2021)

These Enforcement Rules shall become effective on October 18, 2021.

ADDENDA

(Enforcement Rules of the KOSDAQ Market Listing Regulation / October 27, 2021)

§1. Regulation on the Enforcement Rules of the KOSDAQ Market Listing Regulation

The wholly amended KOSDAQ Market Listing Regulation, Regulation No. 1977, shall become effective on November 1, 2021. Provided that, the amended provisions of [§2(1)1(f)(ii)], the latter part of [§69(2)], the proviso to [§70(1)9(d)(iii)], the proviso to [§73(2)9(c)] and [§76(1)2] shall become effective from the date separately specified by the Exchange in consideration of the promulgation date of the amendments to the Enforcement Decree of the Corporate Tax Act.

§2. through §9. [Omitted]

§10. Amendment of Other Regulations

(1) The provisions of the Enforcement Rules of the KOSDAQ Market Business Regulation shall be amended partly as follows.

Of [§17(3)], “each item of [§2(6)] of the Listing Regulation” shall be “[§2(1)1(c)] of the Listing Regulation”, “[§17] of the Listing Regulation” shall be “[§39] of the Listing Regulation”, and “[§18] of the Listing Regulation” shall be “[§44] of the Listing Regulation”.

Of the part other than each item of [§28-2(1)1], “[§2(15)3 and 4] of the Listing Regulation” shall be “[§2(1)35(c) and (d)] of the Listing Regulation”.

Of [§28-2(1)1(a)], “[§26(14)] of the Enforcement Rules of the Listing Regulation” shall be “[ANNEX: FORM NO. 30] of the Enforcement Rules of the Listing Regulation”, and of [§28-2(1)1(b)], “[§18] of the Listing Regulation” shall be “[§44] of the Listing Regulation”, and “[§18(1)9] of the Enforcement Rules of the Listing

Regulation” shall be “[ANNEX: FORM NO. 2] of the Enforcement Rules of the Listing Regulation”.

Of [§28-2(1)4], “[§28(1)13 or 15-2(b)] of the Listing Regulation” shall be “[§53(1)9] of the Listing Regulation or [§72(2)2] of the same regulation”.

Of [§35-37(1)2(a)], “[§2(33)] of the Listing Regulation” shall be “[§2(1)34] of the Listing Regulation”.

Of [Subparagraph 3 of §44], “[§45] of the Listing Regulation” shall be “[§22] of the Listing Regulation”.

Of [Subparagraph 6 of §44], “[§38(2)] of the Listing Regulation” shall be “[§56(1)] of the Listing Regulation”.

Of [§2(1)1(a)] in [Annex 1], “[§4] of the Listing Regulation” shall be “[§25] of the Listing Regulation”, of [§2(1)1(c)(i)], “[§4] of the Listing Regulation” shall be “[§25] of the Listing Regulation”, of [§2(1)1(c)(ii)], “[§4] of the Listing Regulation” shall be “[§25] of the Listing Regulation” and “[§26(6)] of the Listing Regulation” shall be “[§13(5)] of the Listing Regulation”, and of [§2(1)4], “[§4-2] of the Listing Regulation” shall be “[§60] of the Listing Regulation”.

Of [§4(1)] in [Annex 1-2], “[§16-2] of the Listing Regulation” shall be “[§83(2)] of the Listing Regulation”, of [§4(2)], “[§16-3] of the Listing Regulation” shall be “[§83(3)] of the Listing Regulation”.

Of [§1(1)2] in [Annex 5], “[§2(30)] of the Listing Regulation” shall be “[§2(1)36] of the Listing Regulation”.

Of [§9(2)3] in [Annex: Form No. 6-5], “[§18-4(1)] of the KOSDAQ Market Listing Regulation” shall be “[§33] of the KOSDAQ Market Listing Regulation”

(2) through (6) [Omitted].

ADDENDA

(Regulation No. 2000 / November 25, 2021)

§1. Effective Date

These Enforcement Rules shall become effective on November 29, 2021. Provided that, the amended provisions of paragraphs 2 and 3 under [Annex 6] shall apply from January 3, 2022.

§2. Exceptional Cases for Adjustment Factor of Member Margin for Customer Account Group

Notwithstanding the amended provision of paragraph 4 under [Annex 6] of these Enforcement Rules, the adjustment factor of member margin for customer account group shall be 0.9 until June 30, 2022.

ADDENDUM

(Regulation No. 2020 / February 14, 2022)

These Enforcement Rules shall become effective on February 15, 2022.

ADDENDUM

(Regulation No. 2053 / July 13, 2022)

These Enforcement Rules shall become effective on July 14, 2022.

ADDENDUM

(Regulation No. 2058 / August 2, 2022)

These Enforcement Rules shall become effective on August 2, 2022.

ADDENDUM

(Regulation No. 2062 / August 26, 2022)

These Enforcement Rules shall become effective on October 24, 2022.

ADDENDUM

(Regulation No. 2073 / October 19, 2022)

These Enforcement Rules shall become effective on October 24, 2022.

ADDENDUM

(Regulation No. 2077 / November 11, 2022)

These Enforcement Rules shall become effective on November 14, 2022.

ADDENDA

(Regulation No. 2092 / December 21, 2022)

§1. Effective Date

These Enforcement Rules shall become effective on January 25, 2023.

§2. Enforcement Date of KOSDAQ Market Business Regulation

“The date stipulated in the Enforcement Rules” in [§1] of Addenda of the KOSPI Market Business Regulation, Regulation No. 2085 (amended on December 7, 2022), shall be January 25, 2023.

ADDENDUM

(Regulation No. 2120 / April 12, 2023)

These Enforcement Rules shall become effective on June 26, 2023.

ADDENDUM

(Regulation No. 2151 / August 8, 2023)

These Enforcement Rules shall become effective on September 1, 2023.

ADDENDUM

(Regulation No. 2189 / November 23, 2023)

These Enforcement Rules shall become effective on December 11, 2023. However, the amended provisions of [Annex 5], [Annex 5-3], and [Annex: Form No. 6-5] shall become effective on November 24, 2023.

ADDENDA

(Regulation No. 2304 / February 27, 2025)

§1. Effective Date

These Enforcement Rules shall become effective on March 4, 2025.

§2. Enforcement Date of KOSDAQ Market Business Regulation

“The date stipulated in the Enforcement Rules” in Addendum of the KOSDAQ Market Business Regulation, Regulation No. 2280 (amended on February 5, 2025), shall be March 4, 2025.

ADDENDA
(Enforcement Rules of Securities Market Clearing and Settlement
Business Regulation)
(Regulation No. 2297 / February 27, 2025)

§1. Effective Date

These Enforcement Rules shall become effective on March 4, 2025.

§2. Revision of Other Regulations

1. [Omitted]

2. The KOSDAQ Market Business Regulations shall be partially amended as follows:

Chapter 4 ([§35-28 through 36-17] shall be deleted. [§44-2 through 49] shall be deleted. [Annex 6 through 10] and [Annex: Form. 17, 18, 20, 21 and 22] shall be deleted.

3. [Omitted]

ADDENDUM
(Regulation No. 2316 / March 26, 2025)

These Enforcement Rules shall become effective on March 31, 2025.

ADDENDUM
(Regulation No. 2384 / December 29, 2025)

These Enforcement Rules shall become effective on January 12, 2026.

ADDENDUM
(Regulation No. 2391 / January 7, 2026)

These Enforcement Rules shall become effective on January 12, 2026.

ADDENDUM
(Regulation No. 2394 / January 15, 2026)

These Enforcement Rules shall become effective on February 9, 2026.

ADDENDA
(Regulation No. 2422 / March 16, 2026)

§1. Effective Date

These Enforcement Rules shall become effective on April 27, 2026.

§2. Enforcement Date of KOSDAQ Market Business Regulation

“The date stipulated in the Enforcement Rules” in Addendum of the KOSDAQ Market Business Regulation, Regulation No. 2416 (amended on March 4, 2026), shall be April 27, 2026.

[Annex 1] Guidelines for Calculation of Lowest and Highest Quotation Prices for Determining First Trading Price of Issue Using First Price as Base Price

(Amended on June 28, 2005; October 14, 2005; August 16, 2007; December 4, 2007; February 3, 2009; July 31, 2009; July 29, 2010; Total revision on December 30, 2010; April 20, 2012; March 25, 2013; May 23, 2014; June 16, 2014; September 30, 2014; April 22, 2016; December 27, 2018; October 27, 2021; April 12, 2023; February 27, 2025)

Guidelines for Calculation of Lowest and Highest Quotation Prices for Determining First Trading Price of Issue Using First Trading Price as Base Price

(Pertaining to [§8], [§17], [§20], [§27], and [§48] of the Enforcement Rules)

1. The lowest and highest quotation prices used for the determination of first trading price of the issue using the first trading price as a base price shall be the prices (the amount less than KRW 1 shall be rounded down and if the prices do not match the quotation price unit, each price shall be the closest prices to those prices among prices that are higher than those prices and that match the quotation price units; the same hereinafter) calculated by multiplying the appraisal price (the amount less than KRW 1 shall be rounded down and if the price does not match the quotation price unit, the price shall be the closest price to that price among prices that are higher than that price and that match the quotation price units: the same hereinafter) by the applicable ratio noted in paragraph (3), except for the cases defined otherwise:
2. The appraisal price noted in paragraph (1) shall be each of the following subparagraphs. In such cases, when the company subject to preparation of consolidated financial statement pursuant to the Act on External Audit of Stock Companies shall be based on the consolidated financial statement and audit report thereon, and for issues falling under at least two (2) among issues using the first trading price as the base price, the appraisal prices are calculated by applying the relevant calculation method in consecutive order on the basis of respective effective date.
 - A. Re-listed issues and issues with listing change (including a class of stocks)
 - (1) Case where stocks of the corporations established subsequent to a split-off or a merger after split-off of listed corporations are re-listed and the listing status of stocks of the surviving corporations is changed
 - (a) In cases where the net asset amount [net asset amount is calculated by adding the amount of treasury stocks to the total capital (excluding non-controlling interests), and in the case of issues with listing change, the net asset amount stated in the statement of financial position made public recently may be used and the statement of financial position used for the first listed issue between a re-listed issue and an issue with listing change shall also be used for the issue listed later: the same hereinafter in this paragraph] of re-listed issues and issues with listing

change as of the date of listing application is “positive”, the price determined by issue according to the following method. In such cases, as a case where new stocks are delivered to a specific person before the listing date (if the listing date is the day of trading suspension, it shall be the day when the suspension is lifted; the same hereinafter in paragraphs 2A and 2B as a result of paid-in capital increase by way of the third party allotment, merger, stock swap or business/asset takeover (hereinafter referred to as the “paid-in capital increase by way of the third party allotment, etc.), if the number of stocks issued at the issuing price less than 50/100 of the appraisal price exceeds the number of stocks before the relevant paid-in capital increase by way of the third party allotment, etc., the lowest price among the quotation price units shall be the lowest quotation price.

- 1) Appraisal price at the time of split-off = (Sum of market capitalization per class of stocks on the last trading day of company before split-off x Net asset split-off ratio) / Sum of shares per class of stocks after split-off
 - 2) Appraisal price at the time of merger after split-off = (Sum of market capitalization per class of stocks on the last trading day of company before merger after split-off x Net asset split-off ratio) / Sum of shares per class of stocks after merger after split-off
 - 3) The net asset split-off ratio noted in 1) and 2) shall refer to the split-off ratio of net asset value of a company before the split-off stated in the report on completion of split-off or the post-issuance report submitted with respect to the split-off or merger after split-off. Provided that, if it has been confirmed that the net asset values of re-listed issue and issue with listing change as of the date of listing application are different from those stated in the report on completion of split-off or the post-issuance report submitted with respect to the split-off or merger after split-off according to the balance sheet in the CPA audit report (or review), the net asset split-off ratio may be determined differently.
 - 4) In cases where the number of companies before merger after split-off is two (2) or more, “(Total market capitalization per class of stocks on the last trading day of company before merger after split-off x Net asset split-off ratio)” noted in (b) above shall be determined by adding the amount calculated per company before merger after split-off.
- (b) In cases where the net asset value of issue with listing change as of the date of listing application is not ‘positive’, the price per issue determined according to following method
- 1) Case of issues with listing change

The lowest quotation price shall be the lowest price among the quotation price units and the highest quotation price shall be the closing price (if there is no closing price, it shall be the base price: the same hereinafter in paragraph 3) on the last trading day before split-off.

2) Case of re-listed issues

- i) If the net asset value is 'positive', the net asset value per share. In such cases, the latter part of the part other than provisions of subitems (a)1) through 4) above shall apply *mutatis mutandis*.
- ii) If the net asset value is not 'positive', the lowest quotation price shall be the lowest price among the quotation price units and the highest quotation price unit shall be the amount (the amount less than KRW 1 shall be rounded down and if the prices do not match the quotation price unit, each price shall be the closest prices to those price among prices that are higher than those price and that match the quotation price units) determined by dividing the market capitalization of company before split-off per class on the last trading day by the number of shares per class of newly established company. In such cases, in cases where the stocks of which the class is different from the class of company before split-off is allotted to the new company, the calculation shall take such factor into consideration.

(2) Case of re-listing the new company established subsequent to the merger of listed companies

The price calculated by dividing the sum of market capitalizations per class of stocks on the last trading day of the companies before merger by the number of shares per class of stocks of the company after merger.

B. Issues undergone paid-in capital reduction

(1) Case of capital reduction without consideration

The amount (in the case where stock splits or ex-rights occurred before the listing, the amount shall be determined by taking into account such factor) determined by multiplying the merger or write-down ratio applicable to the minority shareholders by the closing price on the last trading day before the reverse stock split or write-down. In such cases, if the new stocks are delivered to a specific person as a result of the paid-in capital increase by way of third party allotment, etc. conducted before the listing date and if the number of stocks issued at the price less than 50/100 of the issue price exceeds the number of stocks excluding the number of stocks before the relevant paid-in capital increase by way of third

party allotment, etc., the lowest price among the quotation price units shall be the lowest quotation price.

(2) Case of reduction of capital stock by payment in cash

The price determined according to the following formula. In such cases, if the amount obtained by multiplying 150/100 by the amount pursuant to following formula is less than the closing price (in the case where stock splits or ex-rights occur before the listing, it shall be the amount determined by taking into account such factor: the same hereinafter in this item) on the last trading day before the trade suspension, the relevant closing price shall be the highest quotation price and if, as a case where subsequent to the paid-in capital increase by way of third party allotment, etc., the new stocks are delivered to a specific person before the listing date, the number of stocks issued at the issuing price less than 50/100 of appraisal price exceeds the number of stocks before the relevant paid-in capital increase by way of third party allotment, etc., the lowest price among the quotation price units shall be the lowest quotation price, and the amount pursuant to the following formula is not 'positive', the lowest quotation price shall be the lowest price among the quotation price units and the highest quotation price shall be the closing price of the last trading before trade suspension.

- (a) Appraisal price = [(Closing price on the last trading day before paid-in capital reduction x Number of shares before paid-in capital reduction) – (Payment amount per share x Number of shares reduced)] / Number of shares after paid-in capital reduction
- (b) In calculating the appraisal price noted in (i), if the stock split, reverse stock split, or ex-rights occurs before the listing, such factor shall be taken into consideration, and 'payment per share' shall refer to the amount paid for one (1) share to minority shareholders and 'number of shares reduced' shall refer to the number of shares reduced for all shareholders.
- (3) Notwithstanding the provisions of items (a) and (b) and subparagraph (3), in cases where new stocks are delivered to a specific person as a result of a paid-in capital increase by way of the third party allocation, etc. conducted before the date of listing (referring to the date of supplementary listing as a result of the paid-in capital increase by way of the third party allocation, etc. and the date of listing change due to the capital reduction, and including the date of release from trading suspension in the case of an issue under trading suspension; the same hereinafter in this item) and after the capital reduction, and the number of stocks issued at the price less than 20% of the appraisal price stipulated in item (1) or (2) exceeds the number of stocks before the aforesaid paid-in capital increase by way of third party allocation, etc., the appraisal prices shall be as follows. In such cases, the appraisal price shall be calculated on the date of listing

concerned, and the lowest price among the quotation price units shall be the minimum quotation price, and when calculating the maximum quotation price, the applicable ratio shall be 300%.

(a) In the case of capital reduction without consideration: the price obtained through weighted calculation by the following formula

- Appraisal price = [(Closing price of the last trading day before the capital reduction × Number of stocks before the capital reduction) + Sum of issuance amounts of new stocks resulting from the paid-in capital increase by way of third-party allocation, etc.] / Number of stocks on the date of listing concerned

(b) In the case of capital reduction with consideration: the price calculated through weighted calculation by the following formula. In such cases, if the price calculated by multiplying the following appraisal price by 300/100 is lower than the closing price of the last trading day before the capital reduction, the closing price of previous day shall be the maximum quotation price, and if the appraisal price is not “positive”, the closing price of previous day shall be the maximum quotation price.

- Appraisal price = [(Closing price of the last trading day before the capital reduction × Number of stocks before the capital reduction) + Sum of issuance amounts of new stocks resulting from the capital increase by way of third-party allocation, etc. – Sum of payments to the shareholders for capital reduction] / Number of stocks on the date of listing concerned

(c) In calculating the appraisal price in (a) and (b) above, if there has been stock split, reverse stock split, or ex-rights occurs before the date of listing, it shall be calculated by taking into account such factor.

C. In the case of issues resuming trading after halt or suspension for at least thirty (30) trading days, appraisal price shall be the closing price of the last trading day. Provided that, in the case where there has been stock split, ex-rights, etc. occurs before the resumption of trading, it shall be calculated by taking into account such factor and the latter part of the part other than items (1)(a)1) through 4) of subparagraph A above shall apply *mutatis mutandis* (if only the capital increase with consideration by way of the third-party allocation occurs, the listing date in the latter part shall be deemed as the release date from the trading suspension).

3. The applicable rate shall be as follows. In such cases, in applying paragraphs 1 and 2, the lowest applicable rate among the relevant applicable rates shall be applied to the issues

falling under both of them.

A. Applicable rate for the calculation of the lowest quotation price: 50%

B. Applicable rate for the calculation of highest quotation price

(1) In the case of issues undergone capital reduction or ETNs undergone a split or a reverse split: 150%

(2) Other issues: 200%

4. In cases where it is deemed that the appraisal price, the lowest quotation price, or the highest quotation price calculated pursuant to paragraphs (1) through (3) are significantly unreasonable or it is difficult to apply them, the Exchange may set them differently.

[Annex 1-2] Guidelines for Calculation of the Base Price for the Date of Quotation Placement for the Calculation of Quotation Quantity Limits

[September 12, 2018]

Guidelines for Calculation of the Base Price for the Date of Quotation Placement for the Calculation of Quotation Quantity Limits

(Pertaining to [§8(4)] of the Enforcement Rules)

- (1) For the issues other than those under paragraphs (2) through (4); the base prices calculated in accordance with [§17].
- (2) For the issues using the first trading price as the base price; the appraisal prices determined in [Annex 1].
- (3) For the issues scheduled to be delisted; the closing price on the date the transaction was last made. Provided that, in cases where an issue scheduled to be delisted has undergone ex-dividends, ex-rights, stock split or reverse stock split, the price shall be calculated by taking such event into account.
- (4) For subscription warrants and subscription right certificates; the closing price on the date the transaction was last made. Provided that, in cases where there is not the closing price on the date the transaction was last made, it shall be the price under each of the following subparagraphs:
 1. For subscription warrants; the price calculated by deducting the exercise price from the base price for the date of quotation placement of the stocks of the company issuing the relevant warrants under [§16-2] of the KOSDAQ Market Listing Regulation. Provided that, if the price calculated is not positive, the base price for the date of quotation placement shall not be calculated. In such cases, the quotation quantity limits noted in [§8(4)] shall apply with the quantity determined in subparagraph 4 of the same paragraph. The same shall apply hereinafter to subscription right certificates.
 2. For subscription right certificates; the price calculated by subtracting the issuing price from the base price for the date of quotation placement of the stocks of the company issuing the relevant certificates under [§16-3] of the KOSDAQ Market Listing Regulation.

[Annex 1-3] Application for Mass Order Cancellation, etc.

[December 21, 2022; March 16, 2026]

Application for Mass Order Cancellation, etc.

(Pertaining to [§18-4(1)] of the Enforcement Rules)

* Securities shall be entered by selecting one from the securities list.

Matters for applying mass order cancellation		Remarks
Member number		Mass order cancellation applies only to quotations submitted by the member
High-speed algorithmic trading number		A six-digit number combining the trader registration number with the risk management number used by high-speed algorithmic traders pursuant to [§52-4(5)] of Enforcement Rules
Securities*		a. Stock b. Foreign stock c. Depositary receipts (DRs) d. Subscription warrant e. Subscription right certificate f. collective investment securities of business development collective investment vehicle
Condition	Issue	Specific issue or all issues Security code is in accordance with the Guidelines on Standard Code Management for Securities and Related Financial Products
	Ask/Bid	a. Asks b. Bids c. Bids and asks
	Account number	A specific account or all accounts reported by a high-speed algorithmic trader pursuant to [§50-3(3)] of the Regulation
	Quotation group number	A specific group number or the entire group number designated by the member to classify quotations when inputting those quotations

[Annex 1-4] Base Price for Trading of Initially Listed Stocks and DRs of Foreign Stocks

[December 21, 2022] (Amended on August 8, 2023; February 27, 2025)

Base Price for Trading of Initially Listed Stocks and DRs of Foreign Stocks

(Pertaining to [§17] and [§27] of the Enforcement Rules)

1. Initially Listed Issue (limited to issues falling under [§17(1)2a])

A. In the case of listing only one (1) issue of common stocks

- (1) In the case of stocks that have been offered through an initial public offering or a secondary distribution after the date of application for the preliminary listing review pursuant to [§25] of the KOSDAQ Market Listing Regulation, the issuing price at the time of the initial public offering or the secondary distribution.
- (2) In cases other than the case in item (1) above, net asset value per share calculated according to the followings:
 - (a) The net asset value per share is calculated by dividing the net asset amount by the total number of shares issued as of the date of listing application.
 - (b) The net asset amount in subitem (a) above shall be calculated by adding the treasury stock value to the total assets (excluding non-controlling interests). In this case, if there has been a capital increase or decrease for the period from the base date of the statement of financial position submitted to the Exchange as of the date of new listing to the date of new listing, such amount shall be added or subtracted.
- (3) Notwithstanding subitems (a) and (b), for issues listed by transferring from the KONEX market, the price calculated according to the followings:
 - (a) In the case where there has been no initial public offering or secondary distribution after the date of application for the preliminary listing review pursuant to [§25] of the KOSDAQ Market Listing Regulation: The price whichever is lower between the arithmetic average of closing prices (in cases where stock split, reverse stock split, ex-rights, etc. occurs, the prices adjusted by considering such factors) for the last thirty (30) trading days (hereinafter referred to as the “trade execution day” in this paragraph) on which trades are

executed among the trade execution days on the KONEX market and the closing price of the last trade execution day. Provided that, if the number of trade execution day is less than thirty (30), the price whichever is lower between the arithmetic average of the closing prices for all trade execution days and the closing price of the last trade execution day.

- (b) In the case where there has been an initial public offering or secondary distribution after the date of application for the preliminary listing review pursuant to [§25] of the KOSDAQ Market Listing Regulation:

The price = [(Price on the KONEX market x Number of stocks (excluding the number of stocks sold through the secondary distribution if there is a secondary distribution) before the initial public offering or the secondary distribution (including stocks acquired by a listing sponsor pursuant to [§13(5)] of the KOSDAQ Market Listing Regulation; the same hereinafter) + Amount of initial public offering or secondary distribution) / Number of stocks after initial public offering or secondary distribution

- 1) Case where the number of trade execution day is less than thirty (3) days;
- 2) Case where the issue is designated as investment caution issue or investment risk issue pursuant to [§5-3] of the Market Oversight Regulation for one (1) year prior to the date of listing on the KOSDAQ market; and
- 3) Case where the price on the KONEX market is higher or lower than 10/100 of the price at the time of the initial public offering or the secondary distribution.

B. In the case of initially listing both common stocks and a class of stocks at the same time

- (1) In the case of common stocks, the price calculated according to the method in subparagraph A
- (2) In the case of a class of stocks, the price calculated according to the following method:
 - (a) For a class of stocks that have been sold through an initial public offering or the secondary distribution within six (6) months before the date of listing, the price at the time of the initial public offering or secondary distribution close to the date of listing
 - (b) For a class of stocks that has no initial public offering or secondary distribution within six (6) months before the date of listing application, the price calculated by simple arithmetic average of the base prices of the same class of stocks that

have been sold through an initial public offering or the secondary distribution within six (6) months before the date of listing application. Provided that, if there is no same class of stocks that have been sold through an initial public offering or the secondary distribution within six (6) months, the base price of common stocks

C. In the case of initially listing foreign stocks or DRs of foreign stocks

The price at the time of an initial public offering or a secondary distribution after the date of application for the preliminary listing review pursuant to [§60] of the KOSDAQ Market Listing Regulation. Provided that, if the price (referred to as the “converted price” in this subparagraph) converted by applying the basic rate of exchange designated and announced in accordance with the Foreign Exchange Transaction Regulation to the closing price (limited to the closing price confirmed before 17:00 on the day immediately before the listing date) on the latest trading day on a foreign stock exchange before listing is lower than the price obtained by multiplying the price at the time of an initial public offering or a secondary distribution to the rate specified below, it shall be converted price.

- (1) For common stocks (including DRs whose underlying stocks are common stocks): 90%; and
- (2) For a class of stocks (including DRs whose underlying stocks are a class of stocks): 50%

2. Listing of a class of stocks for the first time after initial listing of common stocks, and listing of a class of stocks whose rights are different from those of other class of stocks already listed

- A. In the case of a class of stocks that are listed for the first time after the listing of common stocks, the price at the time of the initial public offering or the secondary distribution within six (6) months before the date of listing application. Provided that, if there is no initial public offering or secondary distribution, it shall be the base price of common stocks on the listing date.
- B. In the case of a class of stocks listed whose rights are different from those of other class of stocks already listed, the price at the time of the initial public offering or the secondary distribution within six (6) months before the date of listing application. Provided that, if there is no initial public offering or secondary distribution, it shall be the following price:

- (1) Case where the same type of classes of stocks are already listed, the price

calculated by simple arithmetic average of the base prices; or

- (2) Case where the same type of a class of stocks are not listed, the base price of common stocks on the listing date.

3. Listing of DRs of foreign stocks whose rights are different from those of DRs of foreign stocks already listed

The price at the time of the initial public offering or the secondary distribution within six (6) months before the date of listing application. Provided that, if there is no initial public offering or secondary distribution, it shall be the price calculated by simple arithmetic average of the base prices of DRs of foreign stocks already listed.

4. If the base price calculated in accordance with subparagraphs 1 through 3 (amount less than KRW 1 is rounded off) does not match the quotation price unit, it shall be the closest price to that price among prices that are higher than that price and match the quotation price unit., and in the case where it is recognized that the base price is significantly unreasonable or the application of the relevant regulations is difficult, the Exchange may set them differently. (Amended on February 27, 2025)

[Annex 2] Method of Calculating Base Price of Issus gone Ex-dividend and Ex-right

(Amended on October 14, 2005; August 16, 2007; December 4, 2007; February 3, 2009; July 31, 2009; Total revision on December 30, 2010; April 20, 2012)

Method of Calculating Base Price of Issus gone Ex-dividend and Ex-right

(Pertaining to [§17(1)6] of the Enforcement Rules)

(1) Case of ex-dividends

1. Case of paying dividend with the stocks whose class is the same as the class of already-listed stocks

a. Base price of common stocks = $(\text{Closing price of cum dividend common stocks} \times \text{Number of common stocks before dividends}) / (\text{Number of common stocks before dividends} + \text{Number of common stocks allotted to shareholders of common stocks})$

b. Base price of preferred stocks = $(\text{Closing price of cum dividend preferred stocks} \times \text{Number of preferred stocks before dividends}) / (\text{Number of preferred stocks before dividends} + \text{Number of preferred shares paid as dividends to shareholders of preferred stocks})$

2. Case of paying dividend with either the common stocks or different classes of stock to the already listed common stocks and different classes of stock

a. Case of paying dividend with common stocks

i. Base price of common stocks = $(\text{Closing price of cum dividend common stocks} \times \text{Number of common stocks before dividend payment}) / (\text{Number of common stocks before dividend payment} + \text{Number of common shares paid as dividends to shareholders of common stocks})$

ii. Base price of different classes of stock = $[(\text{Closing price of cum dividend different classes of stock} \times \text{Number of different classes of stock before dividends}) - (\text{Base price of common stocks} \times \text{Number of common shares paid as dividends to the shareholders of different classes of stock})] / \text{Number of different classes of stock before dividends}$

b. Case of paying dividend with different classes of stock

i. Base price of common stocks = $[(\text{Closing price of cum dividend common stocks} \times \text{Number of common stocks before dividend}) - (\text{Issue price of different classes of stock} \times \text{Number of different classes of stock})] / \text{Number of common stocks before dividend}$

stock x Number of different classes of shares paid as dividend to shareholders of common stocks)] / Number of common stocks before dividends

ii. Base price of different classes of stock = (Closing price of cum dividend different classes of stock × Number of different classes of stock before dividends) / (Number of different classes of stock before dividend + Number of different classes of stock paid as dividends to shareholders of different classes of stock)

(2) Case of ex-rights

1. Case of allotting stocks whose class is the same as that of stocks already listed

a. Base price of common shares = (Closing price of cum rights common stocks × Number of common stocks before right offering) + (Issue price of common stocks x Number of common shares allotted to shareholders of common stocks) / (Number of common stocks before right offering + Number of common shares allotted to shareholders of common stocks)

b. Base price of different classes of stock = [(Closing price of cum rights different classes of stock × Number of different classes of stock before right offering) + (Issue price of different classes of stock x Number of different classes of stock allotted to shareholders of different classes of stock)] / (Number of different classes of stock before right offering + Number of different classes of shares allotted to shareholders of different classes of stock)

2. Case of allotting either the common stocks or different classes of stock to the already listed common stocks and different classes of stock

a. Case of allotting common stocks

i) Base price of common stocks = [(Closing price of cum rights common stocks × Number of common stocks before right offering) + (Issue price of common stocks x Number of common shares allotted to shareholders of common stocks)] / (Number of common stocks before right offering + Number of common shares allotted to shareholders of common stocks)

ii) Base price of different classes of stock = [(Closing price of cum rights different classes of stock × Number of different classes of stock before right offering) + {(Issue price of common stocks – Base price of common stocks) x Number of common shares allotted to shareholders of different classes of stock}] / Number of different classes of stock before right offering

b. Case of allotting different classes of stock

i) Base price of common stocks = $[(\text{Closing price of cum rights common stocks} \times \text{Number of common stocks before right offering}) + \{(\text{Issue price of different classes of stock} - \text{Base price of different classes of stock}) \times \text{Number of different classes of stock allotted to shareholders of common stocks}\}] / \text{Number of common stocks before right offering}$

ii) Base price of different classes of stock = $[(\text{Closing price of cum rights different classes of stock} \times \text{Number of different classes of stock before right offering} + (\text{Issue price of different classes of stock} \times \text{Number of different classes of stock allotted to shareholders of different classes of stock})) / (\text{Number of different classes of stock before right offering} + \text{Number of different classes of stock allotted to shareholders of different classes of stock})$

iii) In the case of allotting different classes of stock to the already listed different classes of stock, the method of calculating the base price of common stock noted in i) shall apply *mutatis mutandis* thereto.

Notes:

1. In the case of paying dividend with or allocating the stocks whose class is different from that of already-listed stocks, it shall be deemed that among the already-listed stocks, the stocks whose class is most similar to that already-listed are paid as dividend or allocated.

2. "Closing price of cum dividend" or "closing price of cum rights" refers to the closing price on the day immediately before the action date of ex-rights or ex-dividend. Provided that, in the case of the first ex-dividend for an initially-listed issue, the closing price of cum dividend shall be the closing price of an issue whose trading volume during the period until one (1) month prior to the end of concerned listing year is the largest, from among the listed issues of concerned companies; in cases where such company is listed during the last month of the fiscal year, it shall be the closing price of an issue whose trading volume during such month is the largest.

3. "Issue price" shall be the price falling under any of the followings and in the case of the capital increase without consideration, the issue price shall deem to be "zero."

(a) Of the prices that the applicant company calculated and published before the action day of ex-rights (referring to the expected issuing prices or final issuing price), the most recent price; and

(b) In cases where there is no price falling under the ones noted in (a) above, the price that the Exchange calculated using the following formula (in cases where the applicant company has made public the formula for calculating the issuing price, such formula shall be used: the same hereinafter) while taking into account such parameters as the base stock price and discount rate. In such cases, if the first day of calculation for the base stock price is after the action day of ex-right and the capital increase is made by way of right offering, the base stock price shall be calculated by setting the first day of calculation as "three (3) days before the record day of new stock distribution", and if the capital increase is made by way of standby right offering, the base

stock price shall be calculated by setting the first day of calculation as “three (3) day before the day the shareholder’s list was finalized”.

Issue price = [Base stock price x (1 - Discount rate)] / [1 + Ratio of bonus issue + (Ratio of paid-in capital increase x Discount rate)]

4. “Number of stocks paid as dividend or allocated to the shareholders of common stocks (different classes of stock)” refers the number of shares calculated by multiplying the ratio of the number of common stocks (different classes of stock) to the total number of stock issued on the day before the action date of ex-rights or ex-dividend to the total number of stocks to be issued as a result of dividend or right offering.

[Annex 3] [Deleted on September 13, 2013]

[Annex 4] [Deleted on September 13, 2013]

[Annex 5] Criteria for Liquidity Assessment and Selection of Low-liquidity Issues

(Amended on March 25, 2016; June 21, 2016; February 28, 2017; September 19, 2017; September 12, 2018; December 7, 2018; November 28, 2019; November 26, 2020; March 12, 2021; November 23, 2023)

Criteria for Liquidity Assessment and Selection of Low-liquidity Issues

(Pertaining to [§12-10, §12-12, §12-15 and §28-7] of the Enforcement Rules)

(1) The criteria for liquidity assessment shall be as follows:

1. The assessment target period and issue shall be as follows:

(a) Assessment target period: From October of the year preceding the year which includes the selection date to September of the relevant year

(b) Issues subject to assessment: Stocks and DRs of foreign stocks (excluding the stocks issued by SPACs stipulated in [§2(30)] of the KOSDAQ Market Listing Regulation, the issues scheduled to be delisted and the issues with fewer than 60 trading days during the assessment target period)

2. Parameters for liquidity assessment are calculated by arithmetically averaging the daily figures of each of the following parameters over the number of trading days during the assessment target period excluding the days of trading suspension.

(a) Turnover ratios

The turnover ratio is calculated based on the value obtained by dividing the volume of trades {limited to the volume of trades concluded during the trading hours of regular sessions by the methods of individual auction under [§18(1)3 through 5] of the Regulation and [§19] of the Regulation; the same hereinafter in this Annex} by the number of listed shares.

(b) Effective spreads

An effective spread is the spread that reflects the average executed prices during the trading hours of call auction in regular sessions when the market-taking quotations in average size of each issue during the assessment period are submitted, and calculated by the following formula:

- $\text{Effective spread} = (\text{Effective bid spread} \div \text{Quotation price unit}) + (\text{Effective offer spread} \div \text{Quotation price unit})$, where
 - $\text{Effective bid spread} = \text{Average purchasing price} - \text{Average of the best bid and offer quotations}$, and
 - $\text{Effective offer spread} = \text{Average of the best bid and offer quotations} - \text{Average selling price}$

(c) Trading cycle

A trading cycle refers to the time interval between executed trades during regular sessions and it is calculated by the following formula. The number of trades in the formula shall be based on the number of trades by call auctions, and in the case of those issues of which trading methods are stipulated differently pursuant to [§23] and [§23-4] of the Regulation, it refers to the number of trades during the trading hours of regular sessions (excluding the number of trades executed with extended scope of participating quotations as a result of the change in trading methods pursuant to [§23-3] of the Regulation):

- Trading cycle = Regular trading hours ÷ Number of trades

(2) The criteria for selection of market making target issues shall be as follows:

1. The market making target issue shall be an issue that falls under any of the following items based on the result of the liquidity assessment conducted pursuant to paragraph (1): Provided that the Exchange may select stocks that are newly listed or re-listed during the period subject to liquidity assessment and whose the number of trading days is less than 60 days or stocks that are newly listed or re-listed after the period subject to liquidity assessment as target issues subject to market making by a method that it determines separately.

(a) An issue meeting all of the following criteria

Assessment index	Criteria for selection
Turnover ratios	Within top 50% in the order of largest volume among total issues subject to assessment
Effective spreads	Below top 50% in the order of smallest spreads among total issues subject to assessment
Trading cycle	Within 600 seconds (10 minutes)

(b) An issue meeting all of the following criteria

Assessment index	Criteria for selection
Turnover ratios	Below top 50% in the order of largest volume among total issues subject to assessment
Effective spreads	Within top 50% in the order of smallest spreads among total issues subject to assessment
Trading cycle	Within 600 seconds (10 minutes)

(c) An issue meeting all of the following criteria

Assessment index	Criteria for selection
Turnover ratios	Within top 50% in the order of largest volume among total issues subject to assessment
Effective spreads	Within top 50% in the order of smallest spreads among total issues subject to assessment
Trading cycle	Within 600 seconds (10 minutes)

2. Notwithstanding subparagraph 1, an issue that falls under any of the following criteria shall be excluded from the list of market making target issues:

(a) An issue with a liquidity provision agreement in force as of the last day of the assessment target period;

(b) An issue with a market capitalization of KRW 10 trillion or more as of the last trading day of the liquidity assessment target period; and

(c) Other issues that the Exchange deems to be excluded from the list of market making target issues for the purpose of market administration.

3. Timing of selection

The selection and the public announcement of the result thereof shall be made by December of the year in which the end date of the assessment target period falls.

4. Effective period

The selection shall be effective from January to December of the year following the year in which the selection date falls.

5. Notwithstanding subparagraphs (c) and (d), in cases where it is deemed necessary for the market management, the Exchange may determine the timing of selection, the timing of public announcement, and the effective period for market making target issues differently.

(3) The selection criteria of low liquidity issues subject to call auction shall be as follows:

1. The low liquidity issues subject to call auction shall be the issues of which the trading cycle exceeds 600 seconds or 10 minutes, according to the result of the liquidity assessment conducted pursuant to paragraph (1).

2. Notwithstanding subparagraph 1, an issue that falls under any of the following items during the period from the assessment period to the trading day immediately before the first trading day of the effective period shall be excluded from the list of low liquidity issues subject to call auction.

(a) [Deleted on September 12, 2018]

(b) An issue with a liquidity provision agreement in force; and

(c) An issue of which average trading cycle for the 3 months immediately preceding the first trading day of the effective period (the last trading day of the latest 3 months shall be excluded; the same hereinafter in this Paragraph) is 60 seconds or shorter shall be excluded from the list of low liquidity issues subject to call auction.

3. Timing of selection

The selection and the public announcement of the result thereof shall be made by December of the year in which the end date of the assessment target period falls.

4. Effective period

The selection shall be effective from January to December of the year following the year in which the selection date falls.

5. Notwithstanding subparagraphs 3 and 4, in the case of an issue falling under any of the following cases after the effective period may be excluded from or additionally included to the list of low liquidity issues subject to call auction in accordance with the manner specified in each of such cases. In such cases, the effective period shall be from the relevant month to the last trading day of the month in which the period under subparagraph 4 ends.

(a) [Deleted on September 12, 2018]

(b) In the case of an issue for which a liquidity provision agreement was entered into: the exclusion begins from the month following the month to which the effective date of the agreement belongs;

(c) In the case of an issue of which average trading cycle for the latest three (3) months is sixty (60) seconds or shorter: the exclusion begins from the month following the month when the average trading cycle was calculated;

(d) In the case of an issue of which liquidity provision agreement was terminated or expired during the effective period after the assessment period: the additional inclusion begins from the month following the month to which the next day of the effective date of termination or the expiry date of the agreement belongs; and

(e) In the case of an issue of which average trading cycle for the latest three (3) months exceeds sixty (60) seconds: the additional inclusion begins from the month following the month when the average trading cycle was calculated.

[Annex 5-2] Criteria for Selection of Market Makers and Issues for Market Making

[March 25, 2016] (Amended on February 28, 2017; December 7, 2018; July 13, 2022)

Criteria for Selection of Market Makers and Issues for Market Making

(Pertaining to [§12-13] of the Enforcement Rules)

(1) The Exchange shall select a market maker based on its basic capabilities for market making and its performance, etc.

(2) A market maker may choose the issue subject to market making in accordance with the criterion specified in each the following subparagraphs:

1. Priority: The priority in selecting market making issues shall be given in the order of the assessment scores on eligibility of each market maker.

2. Method of selection: Each market maker sequentially picks market making issues, the number of which shall not exceed the number determined by the Exchange in consideration of the priority stated in Subparagraph (a) and the total number of market making issues.

[Annex 5-3] Guidelines for Assessment of Market Makers and Making Payments for Market Making, etc.

[March 25, 2016] (Amended on February 28, 2017; September 19, 2017; December 7, 2018; December 27, 2018; March 12, 2021; August 2, 2022; November 23, 2023)

Guidelines for Assessment of Market Makers and Making Payments for Market Making, etc.

(Pertaining to [§12-14, §12-16, §12-18, §12-19 and §12-20] of the Enforcement Rules)

(1) The criteria for assessment of daily fulfillment of market making obligations shall be as follows:

1. The period subject to assessment and the subjects to be assessed shall be as follows:

(a) Assessment period: All the trading days when the market making obligations have occurred (hereinafter referred to as the “number of market making days”). Provided that, if the occurrence time of quotation obligation for a day is less than one hour (or 3,600 seconds), such day shall be excluded.

(b) Subjects to be assessed: All of the market making issues for each market maker

2. Criteria for assessment of daily obligations: When the ratio of daily fulfillment of obligations of a trading day, which is calculated in accordance with the following formula, is 80% or higher, such day shall be deemed a day for which daily market making obligation is fulfilled (hereinafter referred to as a “obligation-fulfilled day”).

Ratio of daily fulfillment of obligations =	Maintaining time of market making quotation that fulfilled the obligation (the time period during which market making quotations have been maintained at the level of both the obligatory spread and the minimum amount for quotation maintenance stipulated in the market making agreement)
	Occurrence time of quotation obligation (the time period during which the quotation obligations have occurred)

(a) Occurrence time of quotation obligation: The quotation-receiving time during the time period from the market opening to the time before the commencement of call auction to determine the closing price under [§18(1)2] of the Regulation, excluding each of the followings (in seconds)

(i) The time falling under each of the subparagraphs under [§12-15(2)]; and

(ii) In cases where an issue falls under causes for suspension or termination of market making pursuant to the market making agreement, such time period of suspension or termination.

(b) Maintaining time for obligatory quotations: The time (in seconds) during which the market making quotations that were submitted for market making issues according to each of the subparagraphs under [§12-15(1)] have been maintained. Provided that the time during which the obligation to maintain market making quotations is exempted pursuant to [§12-16] shall be excluded. In such cases, the minimum quotation quantity shall be calculated as follows:

(i) Offer quotations

a) In cases where the best bid quotation exists:

$$\frac{\text{Minimum amount for quotation maintenance}}{\text{Best bid quotation} + 1 \text{ tick}}$$

b) In cases where the best bid quotation does not exist:

$$\frac{\text{Minimum amount for quotation maintenance}}{\text{Best offer quotation}}$$

c) In cases where either the best bid or the best offer quotation does not exist:

$$\frac{\text{Minimum amount for quotation maintenance}}{\text{Immediately preceding price}}$$

(ii) Bid quotations

a) In cases where the best bid quotation exists:

$$\frac{\text{Minimum amount for quotation maintenance}}{\text{Best offer quotation} - 1 \text{ tick}}$$

b) In cases where the best offer quotation does not exist:

$$\frac{\text{Minimum amount for quotation maintenance}}{\text{Best bid quotation}}$$

c) In cases where either the best bid or the best offer quotation does not exist:

Minimum amount for quotation maintenance
Immediately preceding price

(2) The criteria for assessment of final fulfillment of obligations and the activeness (hereinafter referred to as the “activeness in fulfillment of obligations”) in fulfilling obligations shall be as follows:

1. The criteria for assessment of final fulfillment of obligations shall be as specified in each of the following items and an issue of which assessment indicator specified in item (b) is 90% or higher shall be deemed an “obligation-fulfilled issue”:

(a) Assessment period: Each quarter during the term of market making agreement; and

(b) Assessment indicator: Ratio of obligation fulfillment calculated in accordance with the following formula on a quarterly basis.

Ratio of obligation fulfillment	Number of days for which the obligation was fulfilled during the quarter
=	Number of days for market making during the quarter

2. The scores of assessment of activeness shall be calculated by adding up the daily average of each of the following indicators during the days for market making of a quarter. Provided that an issue that is assessed not to be an obligation-fulfilled issue pursuant to subparagraph 1 shall be excluded from those subject to assessment.

(a) The ratio of daily fulfillment of obligations noted in subparagraph 2 of paragraph (1); and

(b) The ratio of maintaining the best quotations that is calculated in accordance with the following formula:

Ratio of maintaining best quotations =	The time of a trading day during which the market making quotations were maintained with the best quotations (sum of offers and bids)
	The time of a trading day during which the market making quotations fulfilling the daily quotation obligation were maintained.

(3) In cases where, as a result of the assessment of the final fulfillment of obligations pursuant to subparagraph 1 of paragraph (2), a market maker has failed to fulfill the

obligations, the Exchange may take measures of imposition of demerit points and/or suspension of qualification against the market maker concerned, pursuant to the criteria specified in each of following subparagraphs:

1. The criteria for imposing demerit points: In cases where the number of days obtained by subtracting the minimum number of days with fulfilled obligations [referring to 70% of the total number of market making days during a quarter (the decimal places are rounded off)] from the number of obligation-fulfilled days during the quarter for each market making issue falls under any of following items, the demerit points specified in the relevant item.

- (a) Fewer than 5 days: 1 point;
- (b) 5 or more but less than 10 days: 2 points;
- (c) 10 or more but less than 20 days: 3 points
- (d) 20 or more but less than 30 days: 4 points; and
- (e) 30 days or more: 5 points

2. Criteria for suspension of qualification and effect thereof: In cases where accumulated demerit points for total market making issues of a market maker in the relevant year is more than the point set forth in each of the following items, the qualification of the market maker shall be suspended, and the suspension of qualification shall be effective for the period set forth in [§12-19(2)], terminating the agreement for market making.

(a) In cases where the number of market making issues (shall be based on the number of market making issues that have market making agreements in force as of the end of the assessment quarter; the same hereinafter in this Subparagraph) is less than 50: 50 points

(b) In cases where the number of market making issues is 50 or more but less than 100: 100 points

(c) In cases where the number of market making issues is 100 or more but less than 200: (No. of issues×1.5) points

(d) In cases where the number of market making issues is 200 or more: (No. of issues×2) point

(4) The Exchange may make payments for market making of market makers for each market making issue pursuant to the criteria specified in each of following subparagraphs:

1. Issues subject to payment: The obligation-fulfilled issues according to the result of the quarterly assessment noted in subparagraph 1 under paragraph (2) (hereinafter referred to as the “issues subject to payment”)

2. Criteria for calculation of payments for market making: The amount calculated by multiplying all of the following indicators for each of the issues subject to payment.

(a) Fee revenue: The fee revenue of the Exchange earned from the issues subject to payment, which is the sum of trading fees and clearing fees.

(b) Trading share of issues subject to payment: The figure obtained by dividing a market maker's trading volume of the issues subject to payment during a quarter by the total trading volume of the issues subject to payment during the quarter, pursuant to the following criteria.

(i) Total quarterly trading volume of the issues subject to payment: Accumulated quarterly trading volume which is the sum of purchasing and selling trading volumes.

(ii) A market maker's quarterly trading volume of the issues subject to payment: The trading volume that has been executed by a market maker out of accumulated trading volume of an issue subject to payment during a quarter. Provided that cross transactions, trading volume executed by other quotations or the quotations that were not submitted in accordance with the submission methods of market making quotations noted in [§12-10] shall be excluded.

(c) Payment rates: The payment rates are determined by dividing the assessment scores on the activeness in fulfilling obligations for the issues subject to payment by "200".

3. Payment of fixed amount of compensation

The amounts pre-determined in the market making agreement shall be paid to the issues specified in the agreement, from among the issues subject to payment.

4. Timing of payments: Payments shall be made within three (3) months after the end of each quarter. Provided that, when the Exchange deems it necessary due to changes in the contents of market making agreements, the timing of payment may be determined differently.

(5) The Exchange shall terminate the market making agreement for the relevant issue in cases where the average daily turnover ratio (excluding the last seven (7) trading days of each quarter) assessed every quarter pursuant to the following subparagraph 1 exceeds the ratio in subparagraph 2 for two (2) consecutive quarters:

1. Turnover ratio: The turnover ratio is calculated based on the volume of trades {limited to the volume of trades concluded during the trading hours of regular sessions by the methods of individual auction under [§18(1)3 through 5] of the Regulation and [§19] of the Regulation; the same hereinafter in this Annex} divided by the number of listed shares.
2. Ratio: 15%

[[Annex 6](#)] [Deleted on February 27, 2025]

[Annex 7] [Deleted on February 27, 2025]

[Annex 8] [Deleted on February 27, 2025]

[Annex 9] [Deleted on February 27, 2025]

[[Annex 10](#)] [Deleted on February 27, 2025]

[Annex: Form No. 1] Notification of Unsettled Trades

[March 12, 2009] (Amended on September 24, 2012; December 29, 2025)

Notification of Unsettled Trades

To: XXX Company

1. In accordance with [§9-4(1)] of the KOSDAQ Market Business Regulation and [§9-5(2)] of the Enforcement Rules thereof, we hereby notify the details of unsettled trades.
2. We do not guarantee the accuracy of the settlement shortage quantity (settlement quantity of the day - balance quantity on hand), and we are not responsible for any damages/losses arising from errors in the settlement shortage quantity.

Date: mm/dd/yyyy

Company name:

Director of the Department in charge: (seal)

(Unit: shares)

Settlement Date	Customer Name (ID)	Issue Name	Quantity Short	Reason for Settlement Failure	Remarks

Note. Enter one of the following in the Reason for Settlement Failure column. If the reason for settlement failure falls under item 1 and also falls under items 2 or 3, enter item 1. If the reason for settlement failure falls under item 4 and also falls under items 1 through 3, enter item 4:

1. Insufficient quantity;
2. Failure to receive settlement instruction;
3. Flawed settlement instruction; or
4. Delay in receipt of foreign exchange transaction settlement funds.

[Annex: Form No. 1-2] Application for Trading of Treasury Stocks (Under the Trust Contract) of Listed Corporations

(Amended on December 27, 2007; February 3, 2009; March 12, 2009)

Application for Trading of Treasury Stocks (Under the Trust Contract) of Listed Corporations

To: Korea Exchange

In accordance with [§10, §11 and §12] of the KOSDAQ Market Business Regulation t, we hereby submit an application for trading of treasury stocks of the listed corporations (by means of entrustment) as described below:

Name of Issue	Quantity	Type of trading	Quotation date	Type of market	Note

Notes:

1. Type of trading – Indicate “sell” or “buy”.
2. Type of market – Indicate “the regular session” (distinguish “before the market opening” and “during the session”) or “the off-hours session (off-hours block trading)”.
3. In Note column, write down “price limit not applied”, in the case of receiving an entrustment from a KOSDAQ-listed company that intends to acquire its treasury stocks pursuant to [§21(3)] of the Regulation.

mm/dd/yyyy
xxx Securities Company
Representative (seal)

[Annex: Form No. 2] [Deleted on May 30, 2005]

[Annex: Form No. 3] [Deleted on July 7, 2006]

[Annex: Form No. 4] [Deleted on December 10, 2015]

[Annex: Form No. 5] [Deleted on July 11, 2019]

[Annex: Form No. 6] [Deleted on December 28, 2011]

[Annex: Form No. 6-2] Notification of Details of Agreement for Liquidity Provision

[December 4, 2007] (Amended on February 3, 2009)

Notification of Details of Agreement for Liquidity Provision

To: Korea Exchange

In accordance with [§12-3(2)] of the KOSDAQ Market Business Regulation and [§12-4(2)] of the Enforcement Rules thereof, we hereby notify the details of agreement on liquidity provision as follows.

mm/dd/yyyy
xxx Securities Company
Staff in charge of liquidity provision (seal)

Contract type	New Contract/ Amendment /Termination
Stock for which the liquidity is provided	
Quotation spread ratio	
Quotation quantity	
Term of contract	
Reasons for exempting the obligation to submit liquidity providing quotation	

Notes:

1. In the case of amendment, the details before and after the amendment should be recorded separately.
2. The quotation spread ratio refers to the ratio pursuant to [§12-2(2)] of the KOSDAQ Market Business Regulation and it should be recorded up to two decimal points.
3. Reasons for exempting the obligation to submit liquidity providing quotation are the details stipulated in [§12-4(1)6] of the Enforcement Rules of the KOSDAQ Market Business Regulation if such details have been agreed on.

Attachment: A copy of the Agreement for Liquidity Provision

[Annex: Form No. 6-3] Written Report on Market Making Accounts

(Amended on March 25, 2016; September 19, 2017; March 12, 2021)

Written Report on Market Making Accounts

To: Korea Exchange

In accordance with [§12-10] of the Enforcement Rules of KOSDAQ Market Business Regulation, we hereby report the opening, changing or closing of market making accounts in respect of the following account.

Date: mm/dd/yyyy

Name of company:

Name and/or seal of the representative:

Cause of report		Open ☐ Change ☐ Close ☐
Number of account through which market-making quotations are submitted		(12 digits)
Staff in charge	Name	
	Phone number	
	Email	
Officer in charge	Name	
	Phone number	
	Email	

Note: The seal affixed above shall be the seal that has been reported to and registered with the Exchange.

Attachment: A copy of market making agreement

[Annex: Form No. 6-4] Written Report on Designation (Change) of Market Making Staff

(Amended on March 25, 2016; March 12, 2021)

Written Report on Designation (Change) of Market Making Staff

To: Korea Exchange

In accordance with [§12-11] of the Enforcement Rules of KOSDAQ Market Business Regulation, we report the designation (change) of the person as the market making staff of our company as follows:

Date: mm/dd/yyyy

Name of company:

Name and/or seal of the representative:

Name			
Department		Position	
Company phone number		Emergency contact	
E-mail address			
Name of market making issues			

Attachments:

1. Certificate of employment
2. Affirmation of non-existence of record of sanctions

[Annex: Form No. 6-5] Standard Agreement for Market Making in KOSDAQ Market

(Amended on March 25, 2016) (Amended on February 28, 2017; September 19, 2017; March 12, 2021; August 2, 2022; December 21, 2022; November 23, 2023)

Standard Agreement for Market Making in KOSDAQ Market

The Korea Exchange (hereinafter referred to as “the Exchange”) and xxx Securities Company (hereinafter referred to as “the market maker”) hereby enter into a market making agreement pursuant to [§12-7] of the KOSDAQ Market Business Regulation (hereinafter referred to as “the Regulation”) and [§12-14] of the Enforcement Rules of KOSDAQ Market Business Regulation (hereinafter referred to as “the Enforcement Rules”).

Article 1. Purpose of agreement

The market maker shall submit quotations or execute trades to improve the liquidity of stocks or DRs that were designated by the Exchange (hereinafter referred to as the “market making”) and the Exchange shall make payments for the market making of the market maker (hereinafter referred to as the “payments for market making”).

Article 2. Term of agreement

(1) This agreement shall remain valid and in full effect during the period specified in the separate statement (hereinafter referred to as “the statement”).

(2) Notwithstanding paragraph (1), in cases where the market making is terminated pursuant to the provisions of Article 9 hereof for each market making issue stated in Article 3 hereof, the term shall end on the date of termination.

Article 3. Market making issue

The market making issue shall be a stock or DR for which the market maker shall make the market (hereinafter referred to as “the market making issue”) and the starting date of market making shall be as specified in the statement.

Article 4. Obligations of market maker

(1) The market maker shall report one (1) account that is exclusively for market making to the Exchange (hereinafter referred to as the “market making account”) according to the method stipulated by the Regulation, etc., and the market making shall be carried out through this account. In such case, when a market maker submits quotations through the relevant account, it shall not input anything other than matters in each of the following Subparagraphs:

1. Type of account: [11] Market making account
2. Type of market making quotation: 2

- (2) The market maker shall designate two (2) or more officers and employees who will be responsible for market making and report it to the Exchange.
- (3) The market maker shall continuously submit and maintain market making quotations that satisfy the conditions specified in [§12-10] of the Enforcement Rules for the market making issues throughout the term of agreement. In such cases, the method of submission of quotations for the fulfillment of obligations - the obligatory spreads, the minimum quotation size, etc. - shall be as stipulated in the statement.
- (4) If the market maker intends to submit the quotations for covered short sales under [§9-2(2)] of the Regulation, the market maker shall have an internal control device that allows to submit quotations only if the relevant listed stocks are borrowed.
- (5) The market maker shall report to the Exchange as a high-speed algorithmic trader in advance. In the case where the market maker submits the quotations for the fulfillment of obligations, it shall affix the self-match prevention condition under [§18-3] of the Enforcement Rules to the quotations, except in unavoidable cases.
- (6) The market maker shall complete the training programs on the prevention of unfair trading provided by the Exchange after entering into the market making agreement.
- (7) The market maker may not transfer or entrust the rights and obligations under the market making agreement to a third party without the prior written consent of the Exchange.

Article 5. Assessment of market making performance

The Exchange shall make assessment (hereinafter referred to as the “market making assessment”) of whether or not the market maker has fulfilled the market making obligation stated in Article 4 hereof during the quarter for assessment (hereinafter referred to as the “assessment quarter”) on a quarterly basis and notify the market maker of the result in written form by the time for making the payments for market making specified in Article 7 hereof after the end of assessment quarter. Provided that, in cases where the number of market making days during the assessment quarter (referring to the number of market making days specified in the “guidelines for assessment of market makers and making payments for market making, etc.”; the same shall apply hereinafter) is fewer than five (5) days, the market making assessment may not take place.

Article 6. Suspension of qualification of market maker

In cases where the market maker, according to the result of assessment of market making performance conducted pursuant Article 5 hereof, has failed to perform its market making obligations faithfully and consequently falls under the criteria specified in [§12-19] of the Enforcement Rules, the Exchange shall suspend the qualification of the market maker.

Article 7. Payments for market making

(1) Based on the result of the assessment of market making performance of the market maker conducted pursuant to Article 5 hereof, the Exchange may make a payment for market making for the market making issue for which market making obligation was faithfully fulfilled.

(2) The guidelines for payment, calculation of amount and time for making, etc. of the payments for market making mentioned in paragraph (1) shall be as specified in the “guidelines for assessment of market makers and making payments for market making, etc.” that are set by the Exchange, unless otherwise stipulated in this Agreement.

Article 8. Exception to payment for market making

(1) Notwithstanding Article 7 hereof, the Exchange may not pay all or a part of payments for market making for the relevant quarter to the market maker in the case of falling under any of the following subparagraphs:

1. Where the market making assessment stipulated in Article 5 hereof has not been conducted;
2. Case of falling under any of subparagraphs 2 through 5 of paragraph (1) of Article 11; and
3. Where the market maker who intends to terminate the market making agreement pursuant to paragraph (2) of Article 11 hereof has not fully performed the explanation obligations.

(2) In cases when the Exchange has decided not to make the payments for market making wholly or partially pursuant to paragraph (1) hereof, the Exchange shall notify the market maker in writing of the decision on and the reasons for the non-payment.

Article 9. Termination of market making

(1) In cases where a market making issue falls under any of the following subparagraphs, the market making by the market maker for the relevant issue shall be terminated.

1. Where the average daily turnover ratio (excluding the last seven (7) trading days of each quarter) is assessed every quarter pursuant to [§12-14(6)1] of the Enforcement Rules and it exceeds 15% for two (2) consecutive quarters. In such case, the market making for the relevant issue shall terminate at the end of the concerned quarter;
2. Where the relevant issue is delisted;
3. Where the liquidity provision agreement pursuant to [§12-3] of the Regulation was concluded and is in force; and
4. Other cases that the Exchange deems necessary for market management.

(2) In cases where any of the causes specified in each of followings has occurred to a market making issue, the market maker may request the Exchange for the termination of market making for the relevant issue:

1. Where a resolution on being merged into another corporation or delisting was made;
2. Where a resolution on spin-off was made;
3. Where a resolution on merger, stock swap, business takeover, asset takeover, investment-in-kind, etc. noted in [§18-4(1)] of the KOSDAQ Market Listing Regulation was made;
4. Where the cause for review on listing maintenance eligibility has occurred; and
5. Other reasons equivalent to subparagraphs 1 through 4 hereof that may cause a significant change in the corporate entity of the market making issue or a significant effect on the sustainability of listing have occurred.

(3) When requesting for the termination of market making pursuant to paragraph (2), the market maker shall make a written notice which states the cause of termination to the Exchange, and the date of termination shall be the day immediately following the day when the Exchange has made the decision on the termination of the market making.

Article 10. Suspension of market making

In cases where a market making issue falls under any of the followings, the market making of the relevant issue by the market maker in charge shall be suspended during the periods specified in each of the followings:

1. The period from the time when the cause for delisting occurred to the time of delisting;
2. The period of time during which the issue remain designated as an administrative issue or an investment caution issue; and
3. [Deleted on March 12, 2021]

Article 11. Termination of agreement, etc.

(1) The Exchange may terminate the market making agreement with the market maker if any of the following subparagraphs occurs:

1. In cases where it becomes impossible to perform the market making or securities trading due to the bankruptcy, business suspension, revoked authorization, withdrawal from membership, etc. of the market maker;
2. In cases where the market maker significantly undermines legal order by such acts as breaching the laws and regulations relating to the payment of securities transaction taxes by intention or gross negligence and commits the acts falling under any of the following cases:
 - (a) Where the market maker trades non-market making issues through the market making accounts; and
 - (b) Where the market maker has been subject to sanctions from the tax authorities due to any untruthful reports on market making.
3. In cases where market maker has been subject to sanctions equivalent to or heavier than penalty surcharge from the Financial Services Commission or member fine (limited to a fine amounting to KRW 10 million or more) from the Exchange for unfair trading, etc. with respect to market making tasks related to stocks (referring to market making tasks for stocks in the KOSPI and KOSDAQ markets and equity derivatives in the derivatives market);
4. In cases where the market maker has violated the confidentiality obligation stipulated in Article 14 hereof. Provided that this provision shall not apply to the case when the market maker provides documents to the tax authorities to obtain the exemption from the securities transaction tax in accordance with subparagraph 3 of paragraph (1) under Article 117 of the Restriction of Special Taxation Act;
5. In cases where the market maker has refused or made a false, delayed or understated reports with respect to the request or demand made by the Exchange pursuant to Article 15 hereof or the matters to be reported, without any extraordinary circumstances;

6. In cases where the market maker falls under the causes for the suspension of qualification noted in Article 6 hereof;
7. In cases where the market maker transfers or entrusts the rights and obligations under the market making agreement to a third party without the written consent of the Exchange; and
8. In cases where the market maker has continuously failed to respond to or made a false or understated report with respect to any request, demand or report made by the Exchange in relation to the market maker's violation of obligations under Paragraph 4 ;
9. Other cases where it is deemed inappropriate to maintain the market marking agreement with the market maker.

(2) In cases where it is deemed difficult to perform the market making tasks due to a significant change in the contents of the agreement, internal affairs, etc., the market maker may terminate this agreement in consultation with the Exchange. In such cases, the market maker shall explain faithfully the reasons why it is difficult to conduct the market making to the Exchange.

(3) When intending to terminate this agreement pursuant to paragraph (1), the Exchange shall notify the market maker of the cause of termination, termination date, etc. in writing no later than five (5) trading days before the termination date.

(4) When intending to terminate this agreement pursuant to paragraph (2), the market maker shall notify the Exchange of the cause of termination in writing no later than the last trading day of the first month of a quarter. In such cases, the termination of agreement shall be effective from the first day of the quarter following the quarter to which the notification date belongs.

(5) The market maker shall inform the Exchange without delay when any of the causes noted in subparagraphs 1 through 3 of paragraph (1) occurs.

Article 12. Change in agreement etc.

The Exchange and the market maker may change the contents of the market making agreement by mutual consultation even during the term of agreement.

Article 13. Disclosure of market making details

The Exchange may disclose all market makers' trading volume, covered short sale volume and the individual market maker's performance of implementing obligations pursuant to Article 4 hereof on a quarterly basis on the website of the Exchange, etc.

Article 14. Confidentiality obligation, etc.

The market maker shall not disclose the material contents of this agreement to any party or to the public without prior consent from the Exchange.

Article 15. Request for change of market making staff

(1) In cases where the Exchange deems it is inappropriate for a market making staff designated by the market maker, taking the expertise, morality, etc. into account, to perform the market making tasks, the Exchange may request the market maker for the change of the

relevant market making staff pursuant to the regulation, and the market maker shall faithfully comply with such request for the change of staff-in-charge unless there exist extraordinary circumstances otherwise.

(2) The Exchange may request for documents or demand cooperation in business to the market maker in case when it is necessary for the effective implementation of this agreement, and the market maker shall faithfully comply with such request or demand unless there exist extraordinary circumstances otherwise.

(3) The market maker shall take necessary actions for the Exchange in making inquiries into details of trades through the market making account in order to conduct businesses relating to the market making or the exemption from securities transaction tax.

(4) In the case of having been sanctioned by the tax authorities in relation with the payments of securities transaction tax, the market maker shall make a report on such fact to the Exchange without delay.

Article 16. Exemption from liability

The market maker has no right to make an objection or claim damages against the Exchange in cases where the Exchange makes changes to the market making system and takes other related actions in accordance with the Act, Enforcement Decree, Regulations and Enforcement Rules relating to the securities trade.

Article 17. Application of Regulation

Other matters which are not stipulated in this agreement shall comply with the Regulations and Enforcement Rules of the Exchange.

We, the Exchange and the Company, hereby sign and affix our seals on two copies of the Agreement and keep one copy each as a proof of entering into the Agreement.

Date: mm/dd/yyyy

For and on behalf of the Korea Exchange:

President & CEO
KOSDAQ Market Division

For and on behalf of the Company:

Representative director
xxxx Securities Company

[Annex: Form No. 6-6] Written Report on Changes in Quantity of Stocks held in Market Making Account

(Amended on March 25, 2016; November 28, 2019)

Written Report on Changes in Quantity of Stocks held in Market Making Account

To: Korea Exchange

In accordance with [§12-17] of the Enforcement Rules of KOSDAQ Market Business Regulation, we hereby report the balance of the quantity of market making issues held in the market making account as follows:

<Management of Daily Quantity held by Market Maker>

Base date	Code of issue	Name of issue (Abbreviated)	Balance on previous day of base date		Changes in quantity held			Balance on base date		
			General	Borrowed	On-Exchange	OTC		General	Borrowed	Total
						Borrowed	Others			

Notes:

1. In the “on-exchange” changes in quantity held, the quantity purchased in the regular sessions less the quantity sold shall be stated.
2. In the “borrowed” and “others” changes in quantity held, the incoming quantity (based on the incoming date) less the outgoing quantity (based on the outgoing date) shall be stated.

Attachment: Evidential document for OTC trades

Date: mm/dd/yyyy

Name of company: xxxx Co., Ltd.

Name and seal of representative:

(Staff-in-charge: Name_____ Contact number_____)

[Annex: Form No. 7] [Deleted on December 23, 2005]

[Annex: Form No. 8] Request for Correction of Transaction Errors
(Amended on February 3, 2009)

Request for Correction of Transaction Errors

1. Details of trades (mm/dd/yyyy)

Name of Issue (Code No.)	Classification of sell or buy	Quantity	Price	Note

2. Details of correction requested

mm/dd/yyyy
xxx Securities Company (seal)

[Annex: Form No. 9] Agreement on Correction of Transaction Errors

(Amended on February 3, 2009)

Agreement on Correction of Transaction Errors

The Korea Exchange (hereinafter referred to as "the Exchange") and xxx Securities Company, Ltd., who is a member of the Exchange (hereinafter referred to as "the Company") agree on the following terms and conditions for the correction of transaction errors occurred in the course of execution of trades on the KOSDAQ Market by the Exchange and the errors occurred due to the failures of the Exchange computer system (hereinafter referred to as "transaction errors").

Article 1. In cases where any transaction error has occurred during the course of trade execution by the Exchange, the Company shall assume such transaction error as an own account transaction upon receiving the request from the Exchange (see [Annex: Form No. 10]: Request for correction of transaction errors).

Article 2. The Company shall trade the issues assumed upon receipt of the request from the Exchange by the way of reverse trade whose quotation participates in the determination of the opening price on the following day. Provided that, when, due to the unavoidable reasons such as the failure of the Exchange computer system, placing quotations participating in the determination of the opening price was not possible, the assumed securities shall be traded by way of reverse trade (except in the case of bonds) whose quotations participate in the determination of the closing price. The results of such reverse trade (see [Annex: Form No. 11]: Notification of Correction of Transaction Errors) shall be reported to the Exchange without delay. In cases where the assumed transaction error is not cleared by the reverse trade on the following day, it shall be traded by the same method on the next trading day in succession.

Article 3. The Exchange shall settle the profits and losses incurred to the Company (includes transaction tax, all expenses incidental to such transactions and the dues of concerned member; the same hereinafter) resulting from the assuming and trading the issue with transaction error as requested (see [Annex: Form No. 12]: Request for Settlement for Handling Transaction Errors) without delay. Provided that any profits and losses resulted from the errors made by the Company in the course of handling the assumed transaction error, shall be settled after the fact according to the request by the Exchange (see [Annex: Form No. 13]: Request for Settlement Adjustment for Handling Transaction Errors).

Article 4. If there is any difference of opinions on the methods of clearing the profits or losses incurred, including the method of settling profits and loss when ex-rights or ex-dividend occurs to the issue assumed and any other matters that are not stipulated in this

agreement, such differences shall be resolved through the consultation and mutual agreement between the Exchange and the Company.

Article 5. This agreement shall be valid for one (1) year from the date of signing, and unless any objection on the terms and conditions of this agreement is expressed at least thirty (30) days prior to the expiry date, it shall be deemed that an agreement with the same terms and conditions as the one expired has been signed on its expiry date.

We, the Exchange and the Company, hereby agree the above-mentioned terms and conditions, and sign and seal two (2) copies of the Agreement and keep one (1) copy each as a proof of agreement.

mm/dd/yyyy

For and on behalf of the Korea Exchange _____
Chairman of the Korea Exchange

For and on behalf of the Company _____
Chief Executive Officer
xxx Securities Company

[Annex: Form No. 10] Written Request for Correction of Transaction Errors

(Amended on February 3, 2009)

Written Request for Correction of Transaction Errors

To: xxx Securities Company

In accordance with Articles 1 and 2 of the Agreement for Correction of Transaction Errors, we cordially request you to assume and settle the following issues for which transaction errors have been made:

mm/dd/yyyy

Head of responsible Department, KOSDAQ Market Division
The Korea Exchange

Name of issue	Date Traded	Settlement date	Type of trade (sell or buy)	Quantity	Price	Comments

[Annex: Form No. 10-2] Written Request for Relief of Large-scale Transaction Errors

[June 21, 2016] (Amended on February 28, 2017)

Written Request for Relief of Large-scale Transaction Errors

To: Korea Exchange

In accordance with [§35-3(1)] of the Enforcement Rules of KOSDAQ Market Business Regulation, we hereby submit a written request for relief of large-scale transaction errors as follows.

Date: mm/dd/yyyy

Name of company:

Name and/or seal of the representative:

1. Causes for requesting for relief of large-scale transaction errors

Causes of the request	
-----------------------	--

2. Details of the request for relief of large-scale transaction errors

Account number		
The time when the large-scale transaction error started to occur		
The time when the occurrence of large-scale transaction has ended		
Classification of securities		Choose between stocks and BDCs.
Staff in charge	Name	
	Contact information	

Notes:

1. The seal affixed above shall be the seal that has been reported to and registered with the Exchange.
2. The starting and ending times of the erroneous transaction shall be entered in the unit of seconds.

[Annex: Form No. 10-3] Written Request for Adjustment of Settlement Prices for Relief of Large-scale Transaction Errors

[June 21, 2016]

Written Request for Adjustment of Settlement Prices for Relief of Large-scale Transaction Errors

To: Korea Exchange

In accordance with [§35-4(4)] of the Enforcement Rules of KOSDAQ Market Business Regulation, we hereby submit a written request for adjustment of the settlement prices for relieving large-scale transaction errors as follows.

Date: mm/dd/yyyy

Name of company:

Name and/or seal of the representative:

1. Causes for requesting for adjustment of settlement prices for relief of large-scale transaction errors

Causes of the request	
-----------------------	--

2. Details of the request for adjustment of settlement prices for relief of large-scale transaction errors

Occurrence date of the erroneous transactions		
Account number		
Name of issues with sequential transactions		
Execution number of sequential transactions		
Execution quantity of sequential transactions		
Execution price of sequential transactions		
Staff in charge	Name	
	Contact information	
Officer in charge	Name	
	Contact information	

Note: The seal affixed above shall be the seal that has been reported to and registered with the Exchange.

[Annex: Form No. 11] Notification of Correction of Transaction Errors

(Amended on February 3, 2009)

Notification of Correction of Transaction Errors

To: Korea Exchange (KOSDAQ Market Division)

In accordance with Article 2 of the Agreement for Correction of Transaction Errors, we hereby notify the results of trading the issues that we assumed.

mm/dd/yyyy

Head of unit in charge of processing concerned products (seal)
xxx Securities Company

Details of the assumed transaction errors					Results of trading				
Name of issue	Type of trade (sell or buy)	Quantity	Price	Date assumed	Name of issue	Type of trade (sell or buy)	Quantity	Price	Date traded

[Annex: Form No. 12] Request for Settlement for Handling Transaction Errors
(Amended on February 3, 2009)

Request for Settlement for Handling Transaction Errors

To: Korea Exchange (KOSDAQ Market Division)

In accordance with Article 3 of the Agreement for Correction of Transaction Errors, we hereby request you to settle the profit and loss resulted from our assuming and trading of your transaction errors as follows:

mm/dd/yyyy

Representative (seal)
xxx Securities Company

			Sell	Buy
Name of issue				
Details of the assumed transaction errors	Traded amount	Date traded		
		Quantity		
		Price		
		Amount (A)		
	Expenses	Transfer settlement		
		Member dues		
		Association dues		
		Transaction tax		
Subtotal (B)				
Results of trading the assumed transaction errors	Traded amount	Date traded		
		Quantity		
		Price		
		Amount (C)		
	Expenses	Transfer settlement		
		Member dues		
		Association dues		
		Transaction tax		
Subtotal (D)				
Amount to be settled (E)				

[Annex: Form No. 13] Request for Settlement Adjustment for Handling Transaction Errors

(Amended on February 3, 2009)

Request for Settlement Adjustment for Handling Transaction Errors

To: xxx Securities Company

In accordance with Article 3 of the Agreement for Correction of Transaction Errors, we hereby request you to adjust the profit and loss resulting from the oversight on your part during the course of your assuming and trading of our transaction errors as follows:

mm/dd/yyyy

Head of Responsible Department, KOSDAQ Market Division (Seal)
The Korea Exchange

			Sell	Buy
Name of issue				
Details of the assumed transaction errors	Traded amount	Date traded		
		Quantity		
		Price		
		Amount (A)		
	Expenses	Transfer settlement		
		Member dues		
		Association dues		
		Transaction tax		
	Subtotal (B)			
Results of trading the assumed transaction errors	Traded amount	Date traded		
		Quantity		
		Price		
		Amount (C)		
	Expenses	Transfer settlement		
		Member dues		
		Association dues		
		Transaction tax		
	Subtotal (D)			
Amount to be settled (E)				

[Annex: Form No. 14] Application for Cash Transaction
(Amended on February 3, 2009; December 30, 2011)

Application for Cash Transaction

To: Korea Exchange (KOSDAQ Market Division)

In accordance with the [§7-2(4)] of the KOSDAQ Market Business Regulation and [§4-2/1] of the Enforcement Rule thereof, we hereby request the Korea Exchange to designate the following transaction as cash transaction.

mm/dd/yyyy

xxx Securities Company
Representative xxx(seal)

- Reasons for designating as cash transaction (explain in detail):
- Names of selling and buying parties who have entrusted the transaction:
- Transaction details:

(Unit: shares)

Name of Issue	Quantity	Date to place quotation	Remarks

[Annex: Form No. 14-2] [Deleted on September 13, 2013]

[Annex: Form No. 14-3] [Deleted on September 13, 2013]

[Annex: Form No. 14-4] [Deleted on September 13, 2013]

[Annex: Form No. 15] [Deleted on December 30, 2011]

[Annex: Form No. 16] [Deleted on December 30, 2011]

[Annex: Form No. 17] [Deleted on February 27, 2025]

[Annex: Form No. 18] [Deleted on February 27, 2025]

[Annex: Form No. 19] Written Report on Algorithmic Trading Accounts
[June 21, 2016]

Written Report on Algorithmic Trading Accounts

To: Korea Exchange

In accordance with [§52-2] of the Enforcement Rules of KOSDAQ Market Business Regulation, we hereby report the opening, changing or closing of market making accounts in respect of the following account.

Date: mm/dd/yyyy

Name of company:

Name and/or seal of the representative:

Cause of report		Open ☐ Change ☐ Close ☐
Account number		
Investor classification		
Classification of foreign investors		
Classification of customer account / self-account		
Order process ID		
Staff in charge	Name	
	Department	
	Position	
	Phone number	
	Cellular phone number	
	Email	

Notes:

1. The seal affixed above shall be the seal that has been reported to and registered with the Exchange.
2. The order session ID shall be entered only when the ID concerned uses the dedicated sessions.

[Annex: Form No. 20] [Deleted on February 27, 2025]

[Annex: Form No. 21] [Deleted on February 27, 2025]

[\[Annex: Form No. 22\]](#) [Deleted on February 27, 2025]

[\[Annex: Form No. 23\]](#) [Deleted on January 15, 2026]

[Annex: Form No. 24] Application (Report) for Registration of High-speed Algorithmic Trader
[December 22, 2022]

Application (Report) for Registration of High-speed Algorithmic Trader

To: Korea Exchange

According to [§52-4(1)] of the Enforcement Rules of KOSDAQ Market Business Regulation, we hereby apply (report) for the registration of high-speed algorithmic trader as follows.

Date: mm/dd/yyyy

Nambe of corporation:

Name and seal of representative director:

	Details	
Corporation/Individual	Corporation ☐	Individual ☐
Corporate information	Trade name	
	Corporate registration Number*	
	Whether member or not	Member ☐ General ☐
	Name of representative	
Individual information	Name	
	Date of birth	
	Phone number	
	Individual or group**	Individual ☐ Group ☐
Type of investors (Investor classification code)		
Whether the investor is a foreigner or not	Foreigner ☐	Non-foreigner ☐
Foreign investor registration number		
Nationality		
Outline of business (up to 500 characters)		
Market for trading	KOSPI ☐ KOSDAQ ☐ Derivative market ☐ KONEX ☐	
Applying member		

* In the case of a foreign corporation, enter the number of the corporate (business) registration certificate (COI) of the foreign country of incorporation.

** In the case of registering a group under the name of a representative

[Annex: Form No. 25] Confirmation on Inspection of Registration Information of High-speed Algorithmic Trader

[December 21, 2022]

**Confirmation on Inspection of Registration Information of
High-speed Algorithmic Trader**

To: Korea Exchange

<Registration Information>

Corporation	Trade name	
	Corporate registration number*	
	Name of representative	
Individual	Name	
	Date of birth	
	Phone number	

* In the case of a foreign corporation, enter the number of the corporate (business) registration certificate (COI) of the foreign country of incorporation.

With respect to the registration of high-speed algorithmic trader pursuant to [§52-4] of the Enforcement Rules of KOSDAQ Market Business Regulation and the application for permission to use the trader registration number pursuant to [§56-6] of the same Enforcement Rules, we checked the above customer's registration information through related documents, etc. and hereby confirm that it is correct.

Date: mm/dd/yyyy

Nambe of corporation:

Name and seal of representative director:

Confirmation on High-speed Algorithmic Trader Registration Requirements

To: Korea Exchange

In accordance with [§52-4] of the Enforcement Rules of KOSDAQ Market Business Regulation, we hereby confirm whether the customer meets the requirements for the registration as a high-speed algorithmic trader as follow.

1. Name of customer:
2. Whether high-speed algorithmic trader registration requirements are met.

Registration requirements	Whether requirements are met or not
- The electronic system, such as ordering system, etc., used by the customer shall have the stability and adequacy suitable for conducting high-speed algorithmic trading*	Satisfied/ not satisfied
- The customer shall have sufficient knowledge and experience in conducting high-speed algorithmic trading	Satisfied/ not satisfied
- The customer shall have the management mechanism such as internal control organization and two or more professional personnel to effectively manage risks that may occur from high-speed algorithmic trading.	Satisfied/ not satisfied
- (In case of not meeting the above requirements) Case where the member judges that the customer can recognize, evaluate, monitor, and control all risks that may arise from high-speed algorithmic trading in a timely manner, or the member directly carries out the risk management.	Applicable/ not applicable

* Attached is the result of the electronic system inspection (including approval of the head of the department in charge) pursuant to [§52-7(1)1] of the Enforcement Rules of KOSDAQ Market Business Regulation in order to confirm whether the requirements are met.

Date: mm/dd/yyyy
Company name:
Name and seal of employee
in charge:
Name and seal of representative:.

Consent to Provide Personal (Credit) Information to Third Parties

In accordance with the Personal Information Protection Act and the Credit Information Use and Protection Act, I (name of company) agree to provide my personal (credit) information to the Korea Exchange regarding in relation to the registration of high-speed algorithmic trader and the use of risk management facility of high-speed algorithmic trading.

1. Information recipient: Korea Exchange

2. Items of personal (credit) information to be collected

- Corporation: Trade name, corporate number, name of representative, high-speed algorithmic trading account number
- Individual: Name, date of birth, mobile phone number, high-speed algorithmic trading account number

3. Purpose of acquiring person (credit) information of the recipient

- Understanding the current status of high-speed algorithmic traders and monitoring trades for stable market management, etc.

4. Period of retention and use of personal (credit) information

- Personal (credit) information is destroyed after 6 months after the cancellation of high-speed algorithmic trader registration

I agree to provide person (credit) information as above. Agree ☐ Disagree ☐

* You have the right to refuse consent to use personal information, but if you do not agree, you may not register with the Korea Exchange as a high-speed algorithmic trader.

Date:

Company name/name:

Corporate registration number/

Date of birth